TNPSC GROUP 1 · GROUP 2 · GROUP 2A

Economics Visual Memory Book

300 exam-critical terms · picture-first memory hooks · every trap pair separated

300 terms | ~100 moderate | ~120 tough | ~80 advanced | 50 MCQs | 20 match sets | 20 assertion–reason

Full PDF - all fields | Compact study PDF

BASIC CONCEPTS

1 Scarcity MODERATE

Simple meaning: We have unlimited wants but only limited resources.

Technical definition: Scarcity is the fundamental economic problem that resources (land, labour, capital) are limited while human wants are unlimited, forcing choice.

TNPSC key point: Scarcity is the ROOT of all economic problems; without scarcity, economics as a subject would not exist.

Hook: SCARCITY = ONE IDLI, THOUSAND PLATES → LIMITED RESOURCES, UNLIMITED WANTS.

Example: During summer, Chennai faces water scarcity — limited Cauvery/lake water but every household wants more, so water must be rationed by tankers.

BASIC CONCEPTS

2 Opportunity Cost MODERATE

Simple meaning: What you give up when you choose one thing over another.

Technical definition: Opportunity cost is the value of the next best alternative foregone when a choice is made.

TNPSC key point: It is the NEXT BEST alternative sacrificed — not all alternatives, only the second-best one given up.

Hook: OPPORTUNITY COST = THE CRYING TICKET → THE NEXT BEST THING YOU GAVE UP.

Example: If Tamil Nadu government spends Rs.1000 crore on a new flyover, the opportunity cost may be the new hospitals that money could have built.

BASIC CONCEPTS

3 Production Possibility Curve (PPC)

MODERATE

Simple meaning: A curve showing the maximum combinations of two goods an economy can produce with its resources.

Technical definition: The PPC shows all possible combinations of two goods that can be produced with full and efficient use of given resources and technology; it is concave to the origin due to increasing opportunity cost.

TNPSC key point: Points ON the curve = efficient; INSIDE = underutilisation of resources; OUTSIDE = unattainable with current resources.

Hook: PPC = THE TRADE-OFF SLIDE → MORE OF ONE GOOD MEANS LESS OF THE OTHER.

Example: If India shifts more land and labour from foodgrains to industrial goods, the PPC shows how much foodgrain output must be sacrificed.

BASIC CONCEPTS

4 Factors of Production MODERATE

Simple meaning: The four ingredients needed to produce anything: land, labour, capital and entrepreneur.

Technical definition: The inputs used in production — Land (natural resources, earns rent), Labour (human effort, earns wages), Capital (man-made assets, earns interest) and Entrepreneur/Organisation (risk-taker, earns profit).

TNPSC key point: Match factor to reward: Land-Rent, Labour-Wages, Capital-Interest, Entrepreneur-Profit — a classic MCQ pairing question.

Hook: FACTORS OF PRODUCTION = THE 4-HERO TEAM → LAND, LABOUR, CAPITAL, ENTREPRENEUR.

Example: A Coimbatore textile mill needs land for the factory, labour of workers, capital like looms and machines, and an entrepreneur who bears the risk.

BASIC CONCEPTS

5 Positive Economics TOUGH

Simple meaning: Economics that describes facts as they ARE, which can be tested true or false.

Technical definition: Positive economics deals with objective, verifiable statements about "what is" in the economy, without value judgements.

TNPSC key point: A positive statement can be TESTED with data (e.g., "India's inflation rose last year") — no opinion words like "should" or "ought".

Hook: POSITIVE = ROBOT WITH FACTS → WHAT IS, TESTABLE, NO OPINION.

> **DO NOT CONFUSE:** vs Normative Economics — Positive states testable facts ("what is"); Normative gives value judgements ("what should be").

Example: "Tamil Nadu's literacy rate is higher than the national average" is a positive statement — it can be checked against census data.

BASIC CONCEPTS

6 Normative Economics TOUGH

Simple meaning: Economics that says what SHOULD be done — opinions and value judgements.

Technical definition: Normative economics involves subjective statements about "what ought to be", based on values and ethics, which cannot be proved true or false by data.

TNPSC key point: Spot the words "should", "ought to", "must", "fair" — these signal a normative statement in MCQs.

Hook: NORMATIVE = THE "SHOULD!" SPEECH → OPINIONS ON WHAT OUGHT TO BE.

> **DO NOT CONFUSE:** vs Positive Economics — Normative is opinion-based "what should be"; Positive is fact-based "what is".

Example: "The government should give free electricity to all farmers" is a normative statement — it is a value judgement, not a testable fact.

BASIC CONCEPTS

7 Ceteris Paribus MODERATE

Simple meaning: A Latin phrase meaning "all other things remaining constant".

Technical definition: An assumption used in economic analysis where the effect of one variable is studied while all other influencing factors are held unchanged.

TNPSC key point: The Law of Demand and Law of Supply are both stated under the ceteris paribus assumption — only price changes, everything else is frozen.

Hook: CETERIS PARIBUS = WORLD ON PAUSE → OTHER THINGS CONSTANT, ONE THING STUDIED.

Example: "If onion prices rise, demand for onions falls" assumes ceteris paribus — incomes, tastes and other vegetable prices in the Koyambedu market stay unchanged.

BASIC CONCEPTS

8 Barter System MODERATE

Simple meaning: Exchanging goods directly for goods, without money.

Technical definition: A moneyless system of exchange where goods and services are traded directly; it requires "double coincidence of wants" — each party must want what the other offers.

TNPSC key point: The biggest defect of barter is the DOUBLE COINCIDENCE OF WANTS; money was invented mainly to remove this problem.

Hook: BARTER = COW FOR A HAIRCUT → GOODS FOR GOODS, NO MONEY.

Example: In old Tamil villages, farmers exchanged paddy directly for pots or cloth with artisans — a barter practice before money became common.

BASIC CONCEPTS

9 Invisible Hand MODERATE

Simple meaning: The idea that self-interest in free markets automatically guides the economy to good outcomes.

Technical definition: Adam Smith's concept (in "The Wealth of Nations", 1776) that individuals pursuing their own self-interest in free markets unintentionally promote the welfare of society, as if guided by an invisible hand.

TNPSC key point: The term belongs to ADAM SMITH, the "Father of Economics", from his 1776 book "The Wealth of Nations".

Hook: INVISIBLE HAND = GHOST HAND OVER THE MARKET → SELF-INTEREST QUIETLY ORDERS THE ECONOMY.

Example: No officer orders vegetables into Chennai daily — thousands of self-interested farmers and traders supply the city on their own, as if guided by an invisible hand.

BASIC CONCEPTS

10 Mixed Economy MODERATE

Simple meaning: An economy where both government and private businesses operate together.

Technical definition: An economic system in which the public sector and private sector coexist, combining features of capitalism (market) and socialism (state control).

TNPSC key point: India adopted a MIXED ECONOMY model after independence (formalised through the Industrial Policy Resolutions of 1948 and 1956).

Hook: MIXED ECONOMY = GOVERNMENT + PRIVATE IN ONE MIXER → BOTH SECTORS TOGETHER.

Example: In India, government-run Indian Railways and private companies like TVS and Infosys operate side by side — the classic mixed economy.

MICRO

11 Demand MODERATE

Simple meaning: The desire to buy a good, backed by money and willingness to pay.

Technical definition: Demand is the quantity of a good a consumer is willing AND able to buy at a given price during a given period. Desire without purchasing power is not demand.

TNPSC key point: Demand = Desire + Ability to pay + Willingness to pay; a beggar's wish for a car is desire, NOT demand.

Hook: DEMAND = DESIRE + WALLET → WANT IT AND CAN PAY FOR IT.

Example: During Pongal, demand for new clothes and sugarcane in Tamil Nadu shoots up — people both want them and are ready to spend.

MICRO

12 Law of Demand MODERATE

Simple meaning: When price rises, people buy less; when price falls, people buy more.

Technical definition: Ceteris paribus, there is an inverse relationship between the price of a good and its quantity demanded — the demand curve slopes downward.

TNPSC key point: The relationship is INVERSE and holds only ceteris paribus; exceptions include Giffen goods and Veblen goods.

Hook: LAW OF DEMAND = SEESAW → PRICE UP, QUANTITY DOWN.

> **DO NOT CONFUSE:** vs Giffen Good exception — for a Giffen good, demand RISES when price rises, breaking the law of demand.

Example: When tomato prices cross Rs.100/kg in Chennai markets, households sharply cut tomato purchases; when prices crash, they buy in kilos.

MICRO

13 Supply MODERATE

Simple meaning: The quantity of a good sellers are willing to sell at a given price.

Technical definition: Supply is the quantity of a good producers are willing and able to offer for sale at a given price in a given period; by the law of supply, higher price means higher quantity supplied (direct relationship).

TNPSC key point: Supply and price move in the SAME direction — the supply curve slopes UPWARD (opposite of demand).

Hook: SUPPLY = FARMER CHASING HIGH PRICE → PRICE UP, SELLERS OFFER MORE.

Example: When sugarcane prices announced are attractive, Tamil Nadu farmers plant and supply more cane to the mills the next season.

MICRO

14 Market Equilibrium MODERATE

Simple meaning: The point where the quantity buyers want equals the quantity sellers offer.

Technical definition: Market equilibrium occurs at the price where quantity demanded equals quantity supplied; at this price there is neither shortage nor surplus.

TNPSC key point: Equilibrium price is set where the demand curve INTERSECTS the supply curve; above it lies surplus, below it lies shortage.

Hook: EQUILIBRIUM = FROZEN TUG-OF-WAR → DEMAND EQUALS SUPPLY, PRICE SETTLES.

Example: In an uzhavar sandhai (farmers market), if brinjal is priced too high it goes unsold, too low it vanishes instantly — the day's steady price is the equilibrium.

MICRO

15 Marginal Utility MODERATE

Simple meaning: The extra satisfaction from consuming ONE more unit of a good.

Technical definition: Marginal utility is the addition made to total utility by consuming one additional unit of a commodity (MU = change in TU / change in quantity).

TNPSC key point: When marginal utility is ZERO, total utility is MAXIMUM — a favourite MCQ fact.

Hook: MARGINAL UTILITY = ONE MORE LADDU'S JOLT → EXTRA SATISFACTION FROM THE NEXT UNIT.

> **DO NOT CONFUSE:** vs Total Utility — Marginal utility is the extra satisfaction from ONE more unit; total utility is the SUM of satisfaction from all units consumed.

Example: Your first cup of filter coffee in the morning gives huge satisfaction; the fourth cup adds very little — that shrinking extra is marginal utility.

MICRO

16 Law of Diminishing Marginal Utility

MODERATE

Simple meaning: Each extra unit you consume gives less satisfaction than the one before.

Technical definition: As a consumer consumes successive units of a commodity continuously, the marginal utility from each additional unit goes on falling, other things remaining equal (associated with H.H. Gossen; Marshall popularised it).

TNPSC key point: The law explains why the demand curve slopes downward; it assumes continuous consumption of identical units.

Hook: DIMINISHING MU = DOSA 1 JOY, DOSA 6 MISERY → EACH EXTRA UNIT SATISFIES LESS.

Example: At a Tamil wedding feast, the first serving of payasam is heavenly; by the third forced serving, satisfaction has almost vanished.

MICRO

17 Indifference Curve ADVANCED

Simple meaning: A curve showing different combinations of two goods that give the consumer EQUAL satisfaction.

Technical definition: An indifference curve joins all combinations of two goods yielding the same level of satisfaction; it slopes downward, is convex to the origin, and two indifference curves never intersect.

TNPSC key point: Its convex shape is due to the diminishing Marginal Rate of Substitution (MRS); a higher curve means higher satisfaction.

Hook: INDIFFERENCE CURVE = THE GIANT SHRUG → ALL COMBINATIONS, SAME SATISFACTION.

Example: A Chennai commuter equally happy with "more metro rides + fewer auto rides" or "fewer metro rides + more auto rides" is on one indifference curve.

MICRO

18 Consumer Surplus TOUGH

Simple meaning: The bonus you enjoy when you pay LESS than what you were willing to pay.

Technical definition: Consumer surplus is the difference between the maximum price a consumer is willing to pay and the actual price paid (concept developed by Alfred Marshall).

TNPSC key point: Consumer Surplus = Willingness to pay MINUS Price actually paid; on a diagram it is the area below the demand curve and above the price line.

Hook: CONSUMER SURPLUS = THE JOY RAIN → WILLING PRICE MINUS PAID PRICE.

> **DO NOT CONFUSE:** vs Producer Surplus — Consumer surplus is the BUYER's gain (paid less than willing); producer surplus is the SELLER's gain (received more than the minimum acceptable).

Example: If you were ready to pay Rs.50 for a bus ride but Tamil Nadu's free bus travel scheme for women makes it Rs.0, the whole Rs.50 becomes consumer surplus.

MICRO

19 Producer Surplus TOUGH

Simple meaning: The bonus a seller enjoys when the market price is HIGHER than the minimum he would accept.

Technical definition: Producer surplus is the difference between the actual price received by a producer and the minimum price at which he was willing to sell.

TNPSC key point: Producer Surplus = Price received MINUS Minimum acceptable price; it is the area above the supply curve and below the price line.

Hook: PRODUCER SURPLUS = FARMER'S SECRET GRIN → GOT MORE THAN THE MINIMUM HE'D ACCEPT.

> **DO NOT CONFUSE:** vs Consumer Surplus — Producer surplus is the SELLER's extra gain; consumer surplus is the BUYER's extra gain.

Example: A Thanjavur paddy farmer willing to sell at Rs.1800 per quintal who receives a higher procurement price earns the difference as producer surplus.

MICRO

20 Engel's Law ADVANCED

Simple meaning: As a family gets richer, the SHARE of income spent on food falls.

Technical definition: Ernst Engel's law states that as household income rises, the proportion (percentage) of income spent on food declines, even if actual food spending rises.

TNPSC key point: It is the PERCENTAGE share of food in the budget that falls, not necessarily the absolute amount — the classic trick in MCQs.

Hook: ENGEL'S LAW = SHRINKING FOOD SLICE → RICHER FAMILY, SMALLER FOOD SHARE.

Example: A daily-wage family in rural Tamil Nadu may spend over half its income on food, while an IT couple in Chennai spends a small fraction — though the couple's food bill in rupees is larger.

MICRO

21 Price Elasticity of Demand

TOUGH

Simple meaning: How strongly the quantity demanded reacts when PRICE changes.

Technical definition: Price elasticity of demand = percentage change in quantity demanded / percentage change in price. If the value (ignoring sign) is greater than 1 demand is elastic; less than 1 it is inelastic; equal to 1 it is unitary.

TNPSC key point: Necessities (salt, medicines) have INELASTIC demand; luxuries have ELASTIC demand — a standard MCQ classification.

Hook: PRICE ELASTICITY = RUBBER BAND TEST → HOW MUCH DEMAND STRETCHES WHEN PRICE PULLS.

> **DO NOT CONFUSE:** vs Income Elasticity — Price elasticity measures response to a PRICE change; income elasticity measures response to an INCOME change.

Example: When petrol prices rise, demand falls only slightly (inelastic); when movie ticket prices rise, many people simply skip the cinema (elastic).

MICRO

22 Income Elasticity of Demand

TOUGH

Simple meaning: How strongly demand changes when the consumer's INCOME changes.

Technical definition: Income elasticity = percentage change in quantity demanded / percentage change in income. Positive for normal goods, negative for inferior goods, and greater than 1 for luxuries.

TNPSC key point: The SIGN identifies the good: positive = normal good, negative = inferior good, above +1 = luxury — memorise this mapping.

Hook: INCOME ELASTICTIY = SALARY BALLOON RIDE → INCOME MOVES, DEMAND MOVES WITH IT.

> **DO NOT CONFUSE:** vs Price Elasticity — Income elasticity tracks INCOME changes; price elasticity tracks PRICE changes.

Example: As Indian household incomes rise, demand for cars and air travel grows fast (high income elasticity), while demand for coarse grains falls.

MICRO

23 Cross Elasticity of Demand

TOUGH

Simple meaning: How demand for one good changes when the price of ANOTHER good changes.

Technical definition: Cross elasticity = percentage change in quantity demanded of good X / percentage change in price of good Y. Positive for substitutes, negative for complements, zero for unrelated goods.

TNPSC key point: Remember the sign rule: SUBSTITUTES → positive cross elasticity; COMPLEMENTS → negative; UNRELATED → zero.

Hook: CROSS ELASTICITY = TEA'S PRICE, COFFEE'S CROWD → ONE GOOD'S PRICE MOVES ANOTHER'S DEMAND.

Example: If train ticket prices rise sharply, demand for private buses on the Chennai-Madurai route increases — positive cross elasticity between substitutes.

MICRO

24 Price Elasticity of Supply TOUGH

Simple meaning: How strongly the quantity supplied reacts when price changes.

Technical definition: Price elasticity of supply = percentage change in quantity supplied / percentage change in price. Supply is more elastic in the long run and for easily-produced goods; perishables and fixed-supply goods are inelastic.

TNPSC key point: Agricultural goods have INELASTIC supply (crops take a season to grow); factory goods have more ELASTIC supply; land is perfectly inelastic.

Hook: SUPPLY ELASTICITY = FACTORY SPRINTS, TREE YAWNS → HOW FAST OUTPUT ANSWERS PRICE.

Example: Even if onion prices triple today, Tamil Nadu farmers cannot supply more until the next harvest — farm supply is inelastic in the short run.

MICRO

25 Giffen Good TOUGH

Simple meaning: A cheap basic food whose demand RISES when its price rises — breaking the law of demand.

Technical definition: A Giffen good is a highly inferior staple where the negative income effect of a price rise outweighs the substitution effect, so quantity demanded increases as price increases (named after Sir Robert Giffen; classic example: bread/potatoes of the poor).

TNPSC key point: Giffen goods are the classic EXCEPTION to the law of demand; every Giffen good is inferior, but not every inferior good is Giffen.

Hook: GIFFEN GOOD = VILLAIN BREAD → PRICE UP, POOR BUY EVEN MORE.

> **DO NOT CONFUSE:** vs Veblen Good — Giffen is a POOR man's staple bought more when dearer (survival); Veblen is a RICH man's luxury bought more when dearer (status show-off).

Example: If the price of cheap rice rises, a very poor family may drop vegetables and buy MORE rice to stay full — Giffen-type behaviour.

MICRO

26 Veblen Good TOUGH

Simple meaning: A luxury good people buy MORE of just because it is expensive — to show off.

Technical definition: A Veblen good exhibits conspicuous consumption: demand rises as price rises because the high price itself signals prestige and status (named after Thorstein Veblen).

TNPSC key point: Veblen goods violate the law of demand due to SNOB/PRESTIGE value — the high price IS the attraction.

Hook: VEBLEN GOOD = PRICE TAG AS TROPHY → COSTLIER IT IS, MORE THEY WANT IT.

> **DO NOT CONFUSE:** vs Giffen Good — Veblen is a luxury bought more when dearer for STATUS; Giffen is a poor man's staple bought more when dearer for SURVIVAL.

Example: Designer wedding sarees and luxury cars in India often sell better at higher prices — the price itself announces the family's status.

MICRO

27 Inferior Good MODERATE

Simple meaning: A good people buy LESS of when their income rises.

Technical definition: An inferior good has negative income elasticity of demand — as consumer income increases, its quantity demanded falls because buyers shift to better substitutes.

TNPSC key point: Inferior good = NEGATIVE income elasticity; "inferior" refers to the demand pattern, not to bad quality.

Hook: INFERIOR GOOD = DUMPED ON PAYDAY → INCOME UP, DEMAND DOWN.

> **DO NOT CONFUSE:** vs Giffen Good — every Giffen good is inferior, but a Giffen good additionally sees demand RISE when its own PRICE rises; a normal inferior good only reacts to income.

Example: As household incomes rise in Tamil Nadu, families shift from coarse grains and bus travel toward fine rice and two-wheelers — the older items act as inferior goods.

MICRO

28 Normal Good MODERATE

Simple meaning: A good people buy MORE of when their income rises.

Technical definition: A normal good has positive income elasticity of demand — quantity demanded increases as consumer income increases, other things equal.

TNPSC key point: Normal good = POSITIVE income elasticity (between 0 and 1 for necessities, above 1 for luxuries).

Hook: NORMAL GOOD = PURSE AND BASKET GROW TOGETHER → INCOME UP, DEMAND UP.

> **DO NOT CONFUSE:** vs Inferior Good — normal goods have POSITIVE income elasticity (buy more when richer); inferior goods have NEGATIVE (buy less when richer).

Example: As incomes grow, Indian families buy more milk, eggs and branded clothes — classic normal goods.

MICRO

29 Substitute Goods MODERATE

Simple meaning: Goods that can replace each other — if one gets costly, people switch to the other.

Technical definition: Substitutes are goods that satisfy the same want; a rise in the price of one increases the demand for the other (positive cross elasticity).

TNPSC key point: Substitutes have POSITIVE cross elasticity of demand — price of X up, demand for Y up.

Hook: SUBSTITUTES = RIVAL TWINS → ONE GETS COSTLY, CROWD RUNS TO THE OTHER.

> **DO NOT CONFUSE:** vs Complementary Goods — substitutes REPLACE each other (positive cross elasticity); complements are USED TOGETHER (negative cross elasticity).

Example: Tea and coffee, or train and bus travel between Chennai and Coimbatore — when one becomes expensive, demand shifts to the other.

MICRO

30 Complementary Goods

MODERATE

Simple meaning: Goods used TOGETHER — buying one makes you need the other.

Technical definition: Complements are goods consumed jointly; a rise in the price of one reduces the demand for the other (negative cross elasticity).

TNPSC key point: Complements have NEGATIVE cross elasticity — petrol price up, car demand down.

Hook: COMPLEMENTS = HANDCUFFED FRIENDS → USED TOGETHER, FALL TOGETHER.

> **DO NOT CONFUSE:** vs Substitute Goods — complements are partners used together; substitutes are rivals that replace each other.

Example: Idli and sambar, or smartphones and mobile data packs — a costly data pack reduces the appeal of buying a new smartphone.

MICRO

31 Perfect Competition MODERATE

Simple meaning: A market with very many sellers selling the SAME product, so no single seller can set the price.

Technical definition: A market structure with a large number of buyers and sellers, homogeneous products, free entry and exit, and perfect knowledge; each firm is a PRICE TAKER facing a horizontal demand curve.

TNPSC key point: In perfect competition the firm is a PRICE TAKER, and in the long run firms earn only NORMAL profit.

Hook: PERFECT COMPETITION = 500 CLONE STALLS → EVERYONE A PRICE TAKER.

Example: Vegetable sellers in a large uzhavar sandhai come close to perfect competition — many sellers, near-identical produce, one going rate.

MICRO

32 Monopoly MODERATE

Simple meaning: A market with only ONE seller and no close substitute for the product.

Technical definition: A market structure with a single seller controlling the entire supply of a good with no close substitutes and strong barriers to entry; the monopolist is a PRICE MAKER.

TNPSC key point: Monopoly = ONE SELLER, price maker, entry blocked; "mono" means single.

Hook: MONOPOLY = ONE-SELLER KING → HE ALONE MAKES THE PRICE.

> **DO NOT CONFUSE:** vs Monopsony — monopoly is ONE SELLER facing many buyers; monopsony is ONE BUYER facing many sellers.

Example: Indian Railways is effectively a monopoly in train transport — one seller for the whole country's rail travel.

MICRO

33 Oligopoly TOUGH

Simple meaning: A market ruled by a FEW big sellers who constantly watch each other.

Technical definition: A market structure with a small number of large firms whose decisions are interdependent — each firm's price and output strategy depends on rivals' expected reactions; often analysed with the kinked demand curve.

TNPSC key point: The defining feature of oligopoly is INTERDEPENDENCE among a few large firms.

Hook: OLIGOPOLY = FEW GIANTS WITH BINOCULARS → EVERY MOVE WATCHES THE RIVALS.

> **DO NOT CONFUSE:** vs Monopolistic Competition — oligopoly has FEW large interdependent firms; monopolistic competition has MANY small firms with differentiated products.

Example: India's telecom market — Jio, Airtel and Vi — is an oligopoly; one operator's tariff cut forces the others to respond.

MICRO

34 Monopolistic Competition

TOUGH

Simple meaning: Many sellers selling SIMILAR but slightly different (branded) products.

Technical definition: A market structure (developed by Edward Chamberlin) with many sellers, differentiated products, free entry and exit, and heavy use of advertising; each firm has limited price-making power over its own brand.

TNPSC key point: The key feature is PRODUCT DIFFERENTIATION — same basic product, different brands, packaging and advertising.

Hook: MONOPOLISTIC COMPETITION = SOAP BEAUTY CONTEST → MANY SELLERS, SLIGHTLY DIFFERENT BRANDS.

> **DO NOT CONFUSE:** vs Oligopoly — monopolistic competition = MANY firms with brand differences; oligopoly = FEW big firms watching each other.

Example: India's soap, toothpaste and biryani-restaurant markets — dozens of brands selling close substitutes with heavy advertising.

MICRO

35 Monopsony ADVANCED

Simple meaning: A market with only ONE BUYER and many sellers.

Technical definition: A market structure where a single buyer faces many sellers, giving the buyer power to push down the price it pays (e.g., a lone large employer setting low wages in a town).

TNPSC key point: Monopoly = one SELLER; Monopsony = one BUYER — the mirror image, and a favourite exam trick.

Hook: MONOPSONY = ONE-BUYER KING → MANY SELLERS, HE SETS THE BUYING PRICE.

> **DO NOT CONFUSE:** vs Monopoly — monopsony has power on the BUYING side (one buyer); monopoly has power on the SELLING side (one seller).

Example: When a single sugar mill is the only buyer of sugarcane from all farmers in its zone, the mill acts as a monopsonist.

MICRO

36 Cartel TOUGH

Simple meaning: A secret club of rival firms that agree to fix prices or output instead of competing.

Technical definition: A cartel is a formal collusive agreement among independent producers to fix prices, limit output or divide markets, so they jointly behave like a monopoly. Cartelisation is illegal in India under the Competition Act, 2002.

TNPSC key point: OPEC is the classic international cartel; in India the Competition Commission of India (CCI) acts against cartels.

Hook: CARTEL = MIDNIGHT HANDSHAKE → RIVALS SECRETLY FIX ONE PRICE.

Example: OPEC nations jointly deciding oil output is a cartel; in India, CCI has fined cement companies for cartel-like price fixing.

MICRO

37 Price Discrimination TOUGH

Simple meaning: Charging DIFFERENT prices to different buyers for the SAME product.

Technical definition: Price discrimination is a monopolist's practice of selling the same good at different prices to different consumers or markets, based on their willingness or ability to pay, where resale between them is not possible.

TNPSC key point: It is possible only when the seller has MONOPOLY power and the markets can be SEPARATED (no resale between them).

Hook: PRICE DISCRIMINATION = SAME PRODUCT, THREE TAGS → DIFFERENT BUYERS, DIFFERENT PRICES.

Example: Electricity boards in India charge lower tariffs for domestic users and farmers but higher tariffs for industries — the same electricity at different prices.

MICRO

38 Economies of Scale MODERATE

Simple meaning: The bigger the production, the cheaper each unit becomes.

Technical definition: Economies of scale are the reductions in long-run average cost per unit that arise as a firm expands its scale of output (through bulk buying, specialisation, better machinery, spread of fixed costs).

TNPSC key point: Economies of scale = falling AVERAGE COST as output expands; beyond a point, DISECONOMIES of scale set in and average cost rises.

Hook: ECONOMIES OF SCALE = GIANT FACTORY, ANT-SIZED COST TAG → PRODUCE MORE, EACH UNIT COSTS LESS.

Example: Large two-wheeler plants in Tamil Nadu (like those around Chennai's auto belt) produce lakhs of vehicles, cutting the cost per vehicle far below what a small workshop could achieve.

MICRO

39 Law of Variable Proportions

ADVANCED

Simple meaning: Keep adding workers to a fixed farm — extra output first rises, then falls.

Technical definition: In the short run, as more units of a variable factor are added to a fixed factor, total product passes through three stages: increasing returns, diminishing returns and finally negative returns to the variable factor.

TNPSC key point: It is a SHORT-RUN law (one factor fixed); rational production happens in Stage II — the stage of DIMINISHING returns.

Hook: VARIABLE PROPORTIONS = TOO MANY FARMERS, ONE FIELD → EXTRA OUTPUT RISES, THEN SHRINKS, THEN FALLS.

Example: On a fixed one-acre paddy plot in the Cauvery delta, the first few labourers add a lot of output, but the fifteenth labourer adds almost nothing.

MICRO

40 Marginal Cost

MODERATE

Simple meaning: The extra cost of producing ONE more unit.

Technical definition: Marginal cost is the addition to total cost from producing one additional unit of output (MC = change in TC / change in Q); the MC curve is U-shaped and cuts the average cost curve at its minimum point.

TNPSC key point: Profit is maximised where Marginal Cost = Marginal Revenue (MC = MR) — the golden rule of the firm.

Hook: MARGINAL COST = THE ONE-EXTRA-CAKE BILL → COST OF THE NEXT UNIT ONLY.

Example: For a Chennai idli shop, the marginal cost of one more idli is just the extra batter and gas — far below the average cost that includes rent and wages.

PUBLIC ECON

41 Market Failure

TOUGH

Simple meaning: When the free market on its own gives a bad or unfair result for society.

Technical definition: Market failure occurs when the free market fails to allocate resources efficiently — due to externalities, public goods, monopoly power or information problems — justifying government intervention.

TNPSC key point: The four classic causes: EXTERNALITIES, PUBLIC GOODS, MONOPOLY and ASYMMETRIC/IMPERFECT INFORMATION.

Hook: MARKET FAILURE = SELF-DRIVING MARKET IN THE DITCH → FREE MARKET MISALLOCATES, STATE STEPS IN.

Example: Factories polluting rivers like the Noyyal in Tamil Nadu is a market failure — the market alone would never pay for the cleanup, so courts and government must intervene.

PUBLIC ECON

42 Externality

TOUGH

Simple meaning: A side effect of one person's activity on OTHERS who are not part of the deal.

Technical definition: An externality is a cost (negative) or benefit (positive) imposed on third parties not involved in a transaction and not reflected in market prices — e.g., pollution (negative), vaccination (positive).

TNPSC key point: Negative externality → overproduction, corrected by taxes (Pigouvian tax); positive externality → underproduction, corrected by subsidies.

Hook: EXTERNALITY = SMOKE ON STRANGERS → YOUR DEAL, THEIR SIDE EFFECT.

Example: Firecracker smoke during Deepavali affects neighbours who never bought crackers (negative externality); one child's polio drops protect the whole street (positive externality).

PUBLIC ECON

43 Public Good

TOUGH

Simple meaning: A good everyone can use together and nobody can be stopped from using — like street lights.

Technical definition: A public good is NON-RIVALROUS (one person's use does not reduce another's) and NON-EXCLUDABLE (non-payers cannot be kept out) — e.g., defence, street lighting; markets underprovide them, so the state supplies them.

TNPSC key point: The two-word test: NON-RIVAL + NON-EXCLUDABLE = public good; national defence is the textbook example.

Hook: PUBLIC GOOD = STREET LIGHT FOR ALL → NON-RIVAL, NON-EXCLUDABLE.

> **DO NOT CONFUSE:** vs Merit Good — a public good CANNOT exclude non-payers (street light); a merit good CAN be sold privately but the state promotes it because it is good for people (education).

Example: National defence by the Indian Army protects every citizen equally — no one can be excluded and one person's protection does not reduce another's.

PUBLIC ECON

44 Merit Good

TOUGH

Simple meaning: A good so beneficial that the government pushes people to consume more of it — like education.

Technical definition: A merit good is one whose consumption benefits both the individual and society more than people realise, so it would be under-consumed if left to the market; the state subsidises or provides it free (education, vaccination, school meals).

TNPSC key point: Merit goods are UNDER-CONSUMED if left to the market, so the government subsidises them — the opposite of demerit goods.

Hook: MERIT GOOD = "TAKE MORE, IT'S GOOD FOR YOU" → STATE PUSHES UNDER-CONSUMED GOOD THINGS.

> **DO NOT CONFUSE:** vs Public Good — a merit good (education) CAN be priced and sold privately; a public good (defence) cannot exclude anyone at all.

Example: Tamil Nadu's free noon-meal scheme in schools and free bus travel for women are merit goods — the state promotes consumption because society gains.

PUBLIC ECON

45 Demerit Good TOUGH

Simple meaning: A good that harms people more than they realise, so the government discourages it — like tobacco.

Technical definition: A demerit good is over-consumed because consumers underestimate its harm to themselves and society; the state discourages it through high taxes, warnings, regulation or bans (tobacco, alcohol, gutka).

TNPSC key point: Demerit goods are OVER-CONSUMED if left to the market, so governments impose "sin taxes" (e.g., highest GST slab plus cess on tobacco).

Hook: DEMERIT GOOD = TEMPTING BUT CAGED → OVER-CONSUMED HARM, STATE TAXES IT DOWN.

Example: Tobacco and alcohol in India carry heavy taxes and statutory warnings; liquor sale in Tamil Nadu is tightly state-controlled through TASMAC to regulate its consumption.

PUBLIC ECON

46 Free Rider Problem TOUGH

Simple meaning: People enjoying a benefit WITHOUT paying for it, because they cannot be stopped.

Technical definition: The free rider problem arises with public goods: since non-payers cannot be excluded, individuals avoid paying and rely on others, so private markets underprovide the good.

TNPSC key point: Free riding is WHY markets fail to supply public goods and WHY the government must fund them through compulsory taxes.

Hook: FREE RIDER = ENJOY THE LIGHT, SKIP THE BILL → NON-PAYERS RIDE ON OTHERS' PAYMENT.

Example: Residents who never pay for a colony's common security guard still enjoy the safety he provides — classic free riding, which is why such services end up tax-funded.

PUBLIC ECON

47 Moral Hazard ADVANCED

Simple meaning: People behave more carelessly AFTER they are protected from the consequences.

Technical definition: Moral hazard is the change in behaviour that occurs AFTER a contract or protection is in place — the protected party takes more risk because someone else bears the cost (e.g., insured drivers driving rashly; banks lending recklessly expecting bailouts).

TNPSC key point: Moral hazard happens AFTER the deal (hidden ACTION); adverse selection happens BEFORE the deal (hidden TYPE) — the timeline is the exam key.

Hook: MORAL HAZARD = RECKLESS AFTER INSURED → PROTECTION FIRST, CARELESSNESS AFTER.

> **DO NOT CONFUSE:** vs Adverse Selection — moral hazard is bad BEHAVIOUR after the contract; adverse selection is bad SELECTION of customers before the contract.

Example: If banks believe the government will always rescue them, they may give risky loans freely — a moral hazard often discussed in India's NPA debates.

PUBLIC ECON

48 Adverse Selection ADVANCED

Simple meaning: The WRONG kind of customers get selected because the seller cannot see hidden facts BEFORE the deal.

Technical definition: Adverse selection occurs before a transaction under asymmetric information: the party with hidden information (e.g., a sick person buying health insurance, a bad-car seller) is the most eager to transact, so the market attracts the worst risks (Akerlof's "market for lemons").

TNPSC key point: Adverse selection is a BEFORE-contract, hidden-INFORMATION problem — linked to George Akerlof's "lemons" used-car market.

Hook: ADVERSE SELECTION = HIDDEN CRUTCHES IN THE QUEUE → THE RISKIEST ONES SIGN UP FIRST.

> **DO NOT CONFUSE:** vs Moral Hazard — adverse selection is the wrong people chosen BEFORE the contract; moral hazard is good people behaving badly AFTER the contract.

Example: In a used-car bazaar, sellers of defective cars ("lemons") are the keenest to sell at any price, so buyers fear every car — good cars quietly exit the market.

PUBLIC ECON

49 Asymmetric Information

ADVANCED

Simple meaning: One side of a deal knows much MORE than the other side.

Technical definition: Asymmetric information exists when one party to a transaction has more or better information than the other, distorting decisions and causing market failure — its two offspring are adverse selection and moral hazard (studied by Akerlof, Spence and Stiglitz).

TNPSC key point: Asymmetric information is the PARENT concept; adverse selection (before contract) and moral hazard (after contract) are its two consequences.

Hook: ASYMMETRIC INFORMATION = LOPSIDED KNOWLEDGE SEESAW → ONE KNOWS, ONE GUESSES.

Example: A moneylender in a Tamil Nadu village cannot fully know a borrower's true repayment ability — the borrower knows more, so lenders charge everyone higher interest.

PUBLIC ECON

50 Tragedy of the Commons TOUGH

Simple meaning: When a shared resource is free for all, everyone overuses it until it is destroyed.

Technical definition: The tragedy of the commons (Garrett Hardin, 1968) describes how individuals acting in self-interest over-exploit a common-pool resource — open pastures, fisheries, groundwater — because no one owns it, leading to its depletion.

TNPSC key point: The cause is ABSENCE OF PROPERTY RIGHTS over a shared resource; remedies include regulation, community management or pricing the resource.

Hook: TRAGEDY OF THE COMMONS = FREE FIELD EATEN TO DUST → NOBODY OWNS IT, EVERYBODY RUINS IT.

Example: Over-pumping of free groundwater by all farmers together has crashed water tables in many Tamil Nadu districts — each acts sensibly alone, all lose together.

MACRO

51 Aggregate Demand TOUGH

Simple meaning: The total demand for all goods and services in the whole economy.

Technical definition: Total planned spending on final goods and services in an economy at each price level: AD = C + I + G + (X - M), i.e. consumption + investment + government spending + net exports.

TNPSC key point: The four components of aggregate demand are Consumption, Investment, Government expenditure and Net exports (C + I + G + X - M).

Hook: AGGREGATE DEMAND = ONE GIANT NATIONAL SHOPPING CART → total spending of the whole economy.

Example: During Diwali and Pongal seasons, household spending across India surges, pushing up aggregate demand.

MACRO

52 Aggregate Supply TOUGH

Simple meaning: The total amount of goods and services all producers in the economy are willing to supply.

Technical definition: The total value of final goods and services that all firms in an economy plan to produce and sell at each price level in a given period.

TNPSC key point: In the long run, aggregate supply depends on the economy's productive capacity — land, labour, capital and technology — not on the price level.

Hook: AGGREGATE SUPPLY = ONE MEGA CONVEYOR BELT → total output the whole economy delivers.

Example: A good monsoon lifts farm output across Tamil Nadu and the country, raising aggregate supply.

MACRO

53 Business Cycle MODERATE

Simple meaning: The natural ups and downs of an economy over time.

Technical definition: Alternating phases of expansion (boom), peak, contraction (recession), trough (depression) and recovery in overall economic activity.

TNPSC key point: Remember the order of phases: boom (peak) → recession → depression (trough) → recovery → boom again.

Hook: BUSINESS CYCLE = ECONOMY ON A ROLLER COASTER → boom, bust and back again.

Example: India boomed in the 2000s, contracted sharply during the 2020-21 COVID lockdown, then recovered — one full swing of the cycle.

MACRO

54 Recession MODERATE

Simple meaning: The economy shrinking for a short period.

Technical definition: A significant decline in economic activity — falling output, income and employment; commonly identified as a fall in real GDP for two consecutive quarters.

TNPSC key point: The standard rule of thumb: two successive quarters of negative real GDP growth = technical recession.

Hook: RECESSION = ECONOMY DOWN WITH A COLD → short slowdown, two negative quarters.

> **DO NOT CONFUSE:** vs Depression — a recession is a short and milder decline; a depression is a recession that becomes severe and drags on for years.

Example: India's GDP contracted in the first two quarters of 2020-21 during the COVID lockdown — a technical recession.

MACRO

55 Depression (Economic)

MODERATE

Simple meaning: A very deep and very long economic collapse.

Technical definition: A severe and prolonged recession marked by massive unemployment, collapsing output, falling prices and widespread business failures.

TNPSC key point: The Great Depression of 1929 (starting with the US stock market crash) is the classic example of an economic depression.

Hook: DEPRESSION = ECONOMY FLAT IN A DEEP PIT → recession gone severe and long.

> **DO NOT CONFUSE:** vs Recession — depression = a recession that is far deeper, harsher and lasts years, not quarters.

Example: During the 1930s Great Depression, world crop prices collapsed and Indian farmers under British rule suffered crushing losses.

MACRO

56 Stagflation ADVANCED

Simple meaning: Prices keep rising while the economy stays stuck.

Technical definition: A situation of high inflation occurring together with stagnant output growth and high unemployment — stagnation + inflation.

TNPSC key point: Stagflation breaks the Phillips curve trade-off (inflation and unemployment high TOGETHER); the classic trigger was the 1970s oil price shock.

Hook: STAGFLATION = STUCK CAR WITH A SWELLING BALLOON → no growth, yet prices rise.

Example: Mid-1970s India: the oil shock plus droughts brought high inflation alongside sluggish growth — stagflationary conditions.

MACRO

57 Phillips Curve ADVANCED

Simple meaning: A curve saying low unemployment usually comes with high inflation.

Technical definition: A curve (A.W. Phillips, 1958) showing an inverse relationship between the rate of inflation and the rate of unemployment in the short run.

TNPSC key point: The inflation-unemployment trade-off shown by the Phillips curve breaks down under stagflation, when both rise together.

Hook: PHILLIPS CURVE = INFLATION-UNEMPLOYMENT SEE-SAW → one up, the other down.

Example: RBI's dilemma: tightening policy to cool inflation can slow growth and job creation — the see-saw in action.

MACRO

58 Multiplier Effect TOUGH

Simple meaning: One rupee of new spending ends up creating more than one rupee of income.

Technical definition: An initial rise in spending raises incomes, which are partly re-spent, raising incomes again — total income rises by a multiple: K = 1 / (1 - MPC).

TNPSC key point: Multiplier K = 1/(1 - MPC); the higher the marginal propensity to consume, the bigger the multiplier (concept popularised by Keynes, building on R.F. Kahn).

Hook: MULTIPLIER = ONE SPLASH, MANY MONEY RIPPLES → spending multiplies into income.

> **DO NOT CONFUSE:** vs Fiscal Multiplier (see term 158) — Multiplier Effect is the general spending-to-income concept; the Fiscal Multiplier measures it specifically for government spending.

Example: A Rs. 100 MGNREGA wage spent at the village shop becomes the shopkeeper's income, who spends again — income multiplies through the village.

MACRO

59 Paradox of Thrift ADVANCED

Simple meaning: If everyone saves more at the same time, everyone can end up poorer.

Technical definition: Keynes' idea that when all households raise saving together, total demand, output and income fall — so total saving may not rise, and can even fall.

TNPSC key point: Given by J.M. Keynes — saving is a private virtue but can become a public vice during a slump.

Hook: PARADOX OF THRIFT = FAT PIGGY BANKS, STARVING SHOPS → all saving, no spending, all poorer.

Example: If every Indian household cut festival spending to save more, shops would sell less, incomes would fall — and so would saving itself.

MACRO

60 Say's Law ADVANCED

Simple meaning: Whatever is produced will automatically find buyers.

Technical definition: Classical economist J.B. Say's proposition that "supply creates its own demand" — production itself generates exactly enough income to purchase the output.

TNPSC key point: Say's Law is the foundation of classical economics; it was rejected by Keynes, who showed during the Great Depression that goods can pile up unsold.

Hook: SAY'S LAW = EVERY PRODUCT CONJURES ITS BUYER → supply creates its own demand.

Example: The Great Depression proved goods can remain unsold in warehouses — the failure Keynes used to demolish Say's Law.

NATIONAL INCOME

61 National Income MODERATE

Simple meaning: The total income earned by a country's people in one year.

Technical definition: The money value of all final goods and services produced by the normal residents of a country in a year; strictly, National Income = NNP at factor cost.

TNPSC key point: National Income = NNP at factor cost; first estimated for India by Dadabhai Naoroji, and today estimated officially by the NSO (earlier CSO).

Hook: NATIONAL INCOME = INDIA-SHAPED PIGGY BANK OF ALL PAY SLIPS → the nation's yearly earnings.

Example: India's national income estimates are released by the National Statistical Office (NSO).

NATIONAL INCOME

62 Gross Domestic Product (GDP)

MODERATE

Simple meaning: The value of everything produced INSIDE a country in a year.

Technical definition: The money value of all final goods and services produced within the domestic territory of a country in a year, whoever produces them.

TNPSC key point: GDP is location-based; GDP at market price includes indirect taxes minus subsidies (unlike factor cost), and India's GDP base year is 2011-12.

Hook: GDP = EVERYTHING INSIDE THE FENCE → production counted by LOCATION.

> **DO NOT CONFUSE:** vs GNP — GDP counts by LOCATION (made inside India); GNP counts by NATIONALITY (made by Indians anywhere).

Example: Cars built by Hyundai (a Korean company) in its Chennai plant count fully in India's GDP.

NATIONAL INCOME

63 Gross National Product (GNP)

MODERATE

Simple meaning: The value of everything produced by a country's own people, wherever in the world they are.

Technical definition: GNP = GDP + Net Factor Income from Abroad (NFIA) — income earned by normal residents both at home and abroad.

TNPSC key point: GNP = GDP + NFIA; since India's NFIA is negative, India's GNP is less than its GDP.

Hook: GNP = THE PASSPORT COLLECTS WORLDWIDE → production counted by NATIONALITY.

> **DO NOT CONFUSE:** vs GDP — GNP follows the passport (nationality), GDP follows the fence (location); and NNP = GNP minus depreciation.

Example: Profits TCS earns in the USA add to India's GNP but not to India's GDP.

NATIONAL INCOME

64 Net Domestic Product (NDP)

TOUGH

Simple meaning: GDP after subtracting the wear and tear of machines.

Technical definition: NDP = GDP - depreciation (consumption of fixed capital) — domestic output net of the capital used up in producing it.

TNPSC key point: NDP = GDP - depreciation, so NDP is ALWAYS less than GDP (depreciation is always positive).

Hook: NDP = GDP MINUS THE RUST BUCKET → domestic output after wear and tear.

> **DO NOT CONFUSE:** vs NNP — NDP is DOMESTIC (GDP - depreciation); NNP is NATIONAL (GNP - depreciation, i.e. it also includes net factor income from abroad).

Example: From the value of trucks produced in India, subtract the year's wear of plant machinery to reach NDP.

NATIONAL INCOME

65 Net National Product (NNP)

TOUGH

Simple meaning: GNP minus the wear and tear of capital.

Technical definition: NNP = GNP - depreciation; NNP measured at factor cost is defined as the National Income of the country.

TNPSC key point: NNP at factor cost = National Income; India's official per capita income is per capita Net National Income.

Hook: NNP = PASSPORT SACK MINUS RUST SCOOP → national income after depreciation.

> **DO NOT CONFUSE:** vs GNP and NDP — NNP = GNP - depreciation; NDP = GDP - depreciation. "Net" always means depreciation removed; "National" always means NFIA included.

Example: India's widely quoted per capita income figure is derived from Net National Income, an NNP measure.

NATIONAL INCOME

66 Per Capita Income MODERATE

Simple meaning: The average income earned per person in a country.

Technical definition: National income divided by total population; in India, per capita Net National Income estimated by the NSO.

TNPSC key point: Per Capita Income = National Income / Population — it is only an AVERAGE and hides inequality between rich and poor.

Hook: PER CAPITA INCOME = NATIONAL CAKE CUT INTO EQUAL SLICES → the average per head, not the reality.

Example: Tamil Nadu's per capita income is higher than the all-India average, yet averages still hide gaps within the state.

NATIONAL INCOME

67 Factor Cost TOUGH

Simple meaning: The value producers actually receive for making goods — payments to land, labour, capital.

Technical definition: Output valued as the sum of payments to factors of production (rent, wages, interest, profit) — excluding indirect taxes and including subsidies.

TNPSC key point: Factor Cost = Market Price - indirect taxes + subsidies.

Hook: FACTOR COST = THE BACKSTAGE SHARE-OUT → producers' true earnings, tax kept out.

> **DO NOT CONFUSE:** vs Market Price — market price INCLUDES indirect taxes; factor cost strips taxes out and adds subsidies back.

Example: A shirt sells for Rs. 112 including Rs. 12 GST — its factor cost is Rs. 100.

NATIONAL INCOME

68 Market Price (National Income)

TOUGH

Simple meaning: The price buyers actually pay at the shop, tax included.

Technical definition: Output valued at prices paid by final buyers: Market Price = Factor Cost + indirect taxes - subsidies.

TNPSC key point: Since the 2015 revision, India's headline GDP is reported at MARKET PRICES (earlier it was at factor cost).

Hook: MARKET PRICE = SHOP PRICE WITH THE TAXMAN ON TOP → factor cost plus net indirect taxes.

> **DO NOT CONFUSE:** vs Factor Cost — market price is what the buyer pays (with taxes); factor cost is what the producer keeps (without taxes, with subsidies).

Example: A subsidised LPG cylinder's market price paid by the household is LOWER than its factor cost by the subsidy amount.

NATIONAL INCOME

69 Gross Value Added (GVA)

ADVANCED

Simple meaning: The value each producer ADDS at their own stage of production.

Technical definition: Value of output minus value of intermediate inputs used up; it measures the supply-side contribution of each sector at basic prices.

TNPSC key point: GDP = GVA + product taxes - product subsidies.

Hook: GVA = ONE GOLDEN BRICK PER STAGE → each producer's own addition of value.

> **DO NOT CONFUSE:** vs GDP — GVA is the production-side measure at basic prices; add net product taxes to GVA and you get GDP at market prices.

Example: India's sector-wise growth figures — agriculture, industry, services — are published in GVA terms.

NATIONAL INCOME

70 Circular Flow of Income

MODERATE

Simple meaning: Money keeps moving in a circle between households and firms.

Technical definition: Households supply factors of production and receive income; firms supply goods and receive spending — income, output and expenditure flow round and round continuously.

TNPSC key point: The circular flow gives the three equivalent methods of measuring national income — product (output) method, income method and expenditure method.

Hook: CIRCULAR FLOW = THE MONEY WATER WHEEL → income and spending chase each other in a loop.

Example: A Kanchipuram weaver earns wages from the loom firm, spends them at the grocery shop, whose owner buys sarees — the rupee circles back.

NATIONAL INCOME

71 Nominal GDP TOUGH

Simple meaning: GDP measured at today's prices, inflation and all.

Technical definition: GDP valued at current market prices of the same year, with no adjustment for inflation.

TNPSC key point: Nominal GDP rises when prices rise, even if actual production does not grow at all.

Hook: NOMINAL GDP = WEIGHED WITH THE PUFFY JACKET ON → today's prices, hot air included.

> **DO NOT CONFUSE:** vs Real GDP — nominal uses CURRENT-year prices; real uses CONSTANT base-year prices, removing inflation.

Example: In a high-inflation year, India's nominal GDP growth can look impressive even when real output growth is weak.

NATIONAL INCOME

72 Real GDP TOUGH

Simple meaning: GDP after removing the effect of rising prices.

Technical definition: GDP valued at constant prices of a chosen base year; it measures the true change in the volume of output.

TNPSC key point: India's real GDP is measured at constant 2011-12 prices; the "GDP growth rate" in headlines is real GDP growth.

Hook: REAL GDP = WEIGHED WITH THE JACKET OFF → pure output, inflation removed.

> **DO NOT CONFUSE:** vs Nominal GDP — real GDP strips out price changes using base-year prices; nominal GDP keeps them in.

Example: India's official growth rate is computed from real GDP at constant 2011-12 prices.

NATIONAL INCOME

73 GDP Deflator ADVANCED

Simple meaning: The price index hiding inside the GDP numbers themselves.

Technical definition: GDP Deflator = (Nominal GDP / Real GDP) x 100 — the broadest measure of the price level in the economy.

TNPSC key point: The deflator covers ALL goods and services produced domestically, unlike the CPI which tracks only a fixed consumer basket.

Hook: GDP DEFLATOR = THE PIN THAT MEASURES THE HOT AIR → nominal over real, times 100.

> **DO NOT CONFUSE:** vs CPI — the deflator covers everything the economy produces (basket changes with output); the CPI covers only a fixed basket of consumer goods and services.

Example: If India's nominal GDP is Rs. 220 lakh crore and real GDP is Rs. 200 lakh crore, the deflator is 110.

NATIONAL INCOME

74 Base Year MODERATE

Simple meaning: The reference year against which prices and growth are compared.

Technical definition: A chosen normal year whose prices are treated as constant for computing real GDP and index numbers; the index equals 100 in the base year.

TNPSC key point: India's GDP base year is 2011-12 (WPI base 2011-12; CPI base 2012).

Hook: BASE YEAR = THE YEAR FROZEN AT 100 → the yardstick every other year is measured against.

Example: India's real GDP is always announced "at constant 2011-12 prices" — 2011-12 is the frozen yardstick.

NATIONAL INCOME

75 Purchasing Power Parity (PPP)

ADVANCED

Simple meaning: Comparing countries' money by what it can actually BUY, not by exchange rates.

Technical definition: A method of comparing currencies and economies by equalising the price of an identical basket of goods and services across countries.

TNPSC key point: Measured by PPP, India ranks as the world's third-largest economy — far higher than its market-exchange-rate rank.

Hook: PPP = THE BURGER BALANCES THE CURRENCIES → compare money by what it buys.

> **DO NOT CONFUSE:** vs Exchange Rate — the market exchange rate is set by currency demand and supply; the PPP rate is set by comparing the cost of one common basket of goods.

Example: A haircut costs about Rs. 100 in Chennai but 20 dollars in New York — PPP captures this gap that exchange rates ignore.

NATIONAL INCOME

76 Green GDP TOUGH

Simple meaning: GDP after subtracting the damage done to nature.

Technical definition: Conventional GDP minus the monetary cost of environmental degradation and depletion of natural resources caused by production.

TNPSC key point: Ordinary GDP OVERSTATES growth that destroys forests, rivers and air; Green GDP corrects this by deducting environmental cost.

Hook: GREEN GDP = TROPHY MINUS THE POLLUTION SLICE → growth after nature's bill is paid.

> **DO NOT CONFUSE:** vs Green Economy — Green GDP is a measurement adjustment to GDP; Green Economy (term 217) is a whole low-carbon, resource-efficient model of running the economy.

Example: Pollution of the Noyyal river by Tiruppur dyeing units would be deducted when computing Tamil Nadu's Green GDP.

NATIONAL INCOME

77 Output Gap ADVANCED

Simple meaning: The gap between what the economy IS producing and what it COULD produce.

Technical definition: Actual GDP minus potential GDP (usually expressed as a percentage of potential); a negative gap means slack, a positive gap means overheating.

TNPSC key point: Negative output gap = economy running below capacity with weak demand; positive output gap = overheating that fuels inflation.

Hook: OUTPUT GAP = THE EMPTY TOP OF THE JUG → actual output versus full capacity.

Example: During the COVID lockdown, Indian factories sat idle — actual output fell far below potential, a large negative output gap.

NATIONAL INCOME

78 Hindu Rate of Growth TOUGH

Simple meaning: The mocking name for India's slow growth in the decades before the 1980s.

Technical definition: The sluggish average annual GDP growth of about 3.5 percent that India recorded from the 1950s to the 1980s, despite planning efforts.

TNPSC key point: Term coined by economist RAJ KRISHNA; the rate is approximately 3.5 percent per year.

Hook: HINDU RATE = THE 3.5% BULLOCK CART → Raj Krishna's name for India's stuck pre-reform growth.

Example: In the licence-permit era before the 1991 reforms, India's growth stayed stuck near 3.5 percent; liberalisation finally broke the crawl.

NATIONAL INCOME

79 Transfer Payments TOUGH

Simple meaning: Money given to people without getting any good or service in return.

Technical definition: One-way payments such as old-age pensions, scholarships, subsidies and unemployment allowances, made without any productive service rendered in exchange.

TNPSC key point: Transfer payments are NOT included in national income, because no production corresponds to them.

Hook: TRANSFER PAYMENT = FULL BELT OUT, EMPTY BELT BACK → money for nothing, so not in national income.

Example: The old-age pension paid by the Tamil Nadu government is a transfer payment — excluded from national income.

NATIONAL INCOME

80 Depreciation (Capital Consumption)

TOUGH

Simple meaning: The wear and tear of machines and buildings used in production.

Technical definition: Consumption of fixed capital — the fall in the value of capital assets during a year because of use, wear and obsolescence.

TNPSC key point: "Gross minus depreciation = Net": GNP - depreciation = NNP, and GDP - depreciation = NDP.

Hook: DEPRECIATION = THE MACHINE GROWING OLD → yearly wear that turns Gross into Net.

> **DO NOT CONFUSE:** vs Currency Depreciation — capital depreciation is the wearing out of machines; currency depreciation (term 257) is the rupee losing value against other currencies.

Example: A power loom in Erode loses part of its value every year through constant running — that loss is capital depreciation.

INFLATION

81 Inflation MODERATE

Simple meaning: Prices keep going up, so money buys less and less.

Technical definition: A sustained rise in the GENERAL price level over time, which reduces the purchasing power of money.

TNPSC key point: Inflation must be a sustained, general rise — a one-time jump in one good's price is not inflation; India's headline inflation is measured by CPI (Combined).

Hook: INFLATION = BALLOON UP, WALLET DOWN → prices swell, money shrinks.

> **DO NOT CONFUSE:** vs Deflation — inflation is the general price level RISING; deflation is the general price level FALLING.

Example: The same Rs. 500 note buys fewer groceries in a Chennai market every passing year.

INFLATION

82 Deflation MODERATE

Simple meaning: Prices falling everywhere, across the whole economy.

Technical definition: A sustained FALL in the general price level — the inflation rate turns negative (below zero).

TNPSC key point: Deflation = negative inflation rate; it is harmful because buyers postpone purchases, so output and jobs collapse.

Hook: DEFLATION = THE PUNCTURED BALLOON → prices actually falling, and that is dangerous.

> **DO NOT CONFUSE:** vs Disinflation — deflation means prices actually FALL (rate below 0%); disinflation means prices still RISE, just more slowly.

Example: India's WPI inflation turned negative during 2015 — wholesale prices of goods were actually falling.

INFLATION

83 Disinflation TOUGH

Simple meaning: Prices still rising, but more slowly than before.

Technical definition: A fall in the RATE of inflation — the price level continues to rise, but at a decreasing speed; the inflation rate stays positive.

TNPSC key point: Inflation easing from 8% to 4% is DISINFLATION; only when the rate crosses below 0% does it become deflation.

Hook: DISINFLATION = THE TIRED BALLOON-BLOWER → inflation slowing down but still positive.

> **DO NOT CONFUSE:** vs Deflation — in disinflation prices still rise (slower); in deflation prices actually fall below last year's level.

Example: India's CPI inflation cooling from near double digits in 2013 to around 5% in later years was disinflation, not deflation.

INFLATION

84 Reflation ADVANCED

Simple meaning: The government deliberately pumping prices and demand back UP after a slump.

Technical definition: A deliberate policy of stimulating the economy — tax cuts, higher public spending, cheaper money — to lift it out of deflation or recession back toward normal price levels.

TNPSC key point: Reflation is the intended, policy-driven counter-attack on deflation, using expansionary fiscal and monetary policy together.

Hook: REFLATION = THE DOCTOR RE-PUMPS THE BALLOON → policy revival of prices and demand.

Example: Post-COVID stimulus spending by the Centre plus RBI rate cuts worked as reflationary policy to revive demand.

INFLATION

85 Hyperinflation MODERATE

Simple meaning: Prices exploding totally out of control.

Technical definition: Extremely rapid, runaway inflation (classically defined by Cagan as over 50 percent PER MONTH), where money loses value so fast people abandon it.

TNPSC key point: Classic cases: Germany 1923, Zimbabwe 2008, Venezuela — India has never experienced hyperinflation.

Hook: HYPERINFLATION = A WHEELBARROW OF CASH FOR ONE BREAD → money dying by the hour.

Example: Zimbabwe printed 100-trillion-dollar notes in 2008 — the note itself became cheaper than the bread it could not buy; India has never come close.

INFLATION

86 Demand-Pull Inflation TOUGH

Simple meaning: Too much money chasing too few goods.

Technical definition: Inflation caused by aggregate demand exceeding aggregate supply at existing prices — excess spending pulls prices upward.

TNPSC key point: The phrase "too much money chasing too few goods" ALWAYS refers to demand-pull inflation.

Hook: DEMAND-PULL = THE MONEY MOB CHASES ONE BASKET → buyers' excess demand pulls prices up.

> **DO NOT CONFUSE:** vs Cost-Push Inflation — demand-pull starts on the BUYERS' side (excess demand); cost-push starts on the PRODUCERS' side (rising input costs).

Example: Festival-season buying surges in India pull up prices of gold, clothes and electronics — demand-pull at work.

INFLATION

87 Cost-Push Inflation TOUGH

Simple meaning: Costlier inputs push selling prices up.

Technical definition: Inflation caused by rising costs of production — wages, raw materials, fuel — which push firms to raise prices even without extra demand.

TNPSC key point: An oil price shock is the classic cost-push trigger — and severe cost-push can produce stagflation.

Hook: COST-PUSH = WRESTLERS SHOVING THE PRICE TAG UP → producers' costs push prices, not buyers.

> **DO NOT CONFUSE:** vs Demand-Pull Inflation — cost-push is supply-side (inputs get costlier); demand-pull is demand-side (spending gets excessive).

Example: A global crude oil spike raises transport costs, pushing up vegetable prices at Chennai's Koyambedu market.

INFLATION

88 Core Inflation TOUGH

Simple meaning: Inflation measured AFTER leaving out food and fuel.

Technical definition: Inflation excluding the volatile food and fuel components, revealing the underlying, persistent trend of prices.

TNPSC key point: Core inflation = headline inflation MINUS food and fuel; it shows the sticky, long-lasting part of inflation.

Hook: CORE INFLATION = THE APPLE WITHOUT ITS FLESH → strip food and fuel, see the stubborn core.

> **DO NOT CONFUSE:** vs Headline Inflation — core EXCLUDES food and fuel; headline INCLUDES the full basket.

Example: When tomato prices crash in India, headline inflation drops sharply but core inflation barely moves.

INFLATION

89 Headline Inflation TOUGH

Simple meaning: The total inflation number, everything included.

Technical definition: Overall CPI inflation covering the complete consumer basket, including volatile food and fuel prices.

TNPSC key point: RBI's 4% inflation target applies to HEADLINE CPI inflation, not core.

Hook: HEADLINE INFLATION = THE FULL FRONT PAGE → every item, food and fuel included.

> **DO NOT CONFUSE:** vs Core Inflation — headline includes everything (food and fuel in); core deliberately leaves food and fuel out.

Example: An onion price spike can swing India's headline inflation sharply within a single month.

INFLATION

90 Skewflation ADVANCED

Simple meaning: Prices of a FEW items skyrocket while everything else stays calm.

Technical definition: A sustained price rise concentrated in a small group of commodities while the overall inflation rate remains moderate — inflation that is "skewed" toward a few goods.

TNPSC key point: The term was popularised in India by the Economic Survey to describe episodes like isolated food-price spikes (onions, pulses).

Hook: SKEWFLATION = ONE ONION ON A ROCKET → a few prices explode, the rest stay flat.

Example: Around 2010, onion and pulses prices soared in India while general inflation stayed moderate — classic skewflation.

INFLATION

91 Wholesale Price Index (WPI)

TOUGH

Simple meaning: The price index of goods traded in bulk between businesses.

Technical definition: An index of wholesale prices of GOODS only (primary articles, fuel and power, manufactured products), published by the Office of Economic Adviser, DPIIT; base year 2011-12.

TNPSC key point: WPI includes NO services, and RBI does NOT target WPI; manufactured products carry the highest weight.

Hook: WPI = THE GODOWN SCALE THAT REJECTS THE BARBER → bulk goods only, no services, not RBI's target.

> **DO NOT CONFUSE:** vs CPI — WPI has no services and is NOT RBI's target; CPI includes services and IS the index RBI targets.

Example: In 2015, India's WPI inflation turned negative — wholesale goods prices were falling even as retail CPI stayed positive.

INFLATION

92 Consumer Price Index (CPI)

TOUGH

Simple meaning: The price index of what ordinary households actually buy.

Technical definition: An index of retail price changes of a fixed basket of consumer goods AND services; CPI (Combined) is compiled by the NSO with base year 2012.

TNPSC key point: CPI (Combined) is RBI's inflation-target index — target 4% with a ±2% band; the food group carries nearly half the weight.

Hook: CPI = THE CROWNED FAMILY BASKET → the retail index the RBI actually targets.

> **DO NOT CONFUSE:** vs WPI — CPI covers retail prices including services and is RBI's target; WPI covers wholesale goods only and is not targeted.

Example: Every RBI Monetary Policy Committee decision on the repo rate is anchored to CPI (Combined) inflation.

INFLATION

93 Base Effect ADVANCED

Simple meaning: Last year's number distorts this year's inflation rate.

Technical definition: The influence of the previous year's price level (the base) on the year-on-year inflation calculation — a low base exaggerates the rate, a high base understates it.

TNPSC key point: Inflation can appear to "rise" or "fall" purely due to the base effect, with no real change in current prices.

Hook: BASE EFFECT = ONE KID IN A DITCH → the comparison lies, not the prices.

Example: If onion prices crashed last July, even a normal price this July shows scary year-on-year inflation — pure base effect.

INFLATION

94 Indexation (Dearness Allowance) TOUGH

Simple meaning: Automatically raising payments to keep pace with inflation.

Technical definition: Linking wages, pensions or other payments to a price index so their real purchasing power is protected; Dearness Allowance is the Indian form of wage indexation.

TNPSC key point: DA of government employees in India is linked to the CPI for Industrial Workers (CPI-IW).

Hook: INDEXATION = SALARY CHAINED TO THE PRICE BALLOON → pay auto-climbs with inflation.

Example: Tamil Nadu government employees' Dearness Allowance is revised upward as CPI-IW rises.

INFLATION

95 Real Interest Rate TOUGH

Simple meaning: Your interest earning AFTER removing inflation's bite.

Technical definition: The nominal interest rate minus the inflation rate (Fisher relation) — the true growth in the purchasing power of your money.

TNPSC key point: Real interest rate = Nominal rate - Inflation; it can turn NEGATIVE when inflation exceeds the deposit rate.

Hook: REAL RATE = FRUITS LEFT AFTER THE GOAT → nominal minus inflation.

> **DO NOT CONFUSE:** vs Nominal Interest Rate — real = nominal MINUS inflation; the nominal rate is the quoted rate before inflation is deducted.

Example: A bank FD paying 7% during 6% inflation gives a real return of only about 1%.

INFLATION

96 Nominal Interest Rate TOUGH

Simple meaning: The interest rate as written on paper.

Technical definition: The stated market rate of interest on a loan or deposit, with no adjustment for inflation.

TNPSC key point: Fisher equation: Nominal rate = Real rate + expected inflation.

Hook: NOMINAL RATE = THE POSTER NUMBER → the quoted rate before inflation takes its bite.

> **DO NOT CONFUSE:** vs Real Interest Rate — nominal is the advertised paper rate; real is what remains after subtracting inflation.

Example: A bank FD advertised at "7% per annum" states the nominal rate — inflation decides what it is really worth.

INFLATION

97 Inflation Targeting ADVANCED

Simple meaning: The RBI is given one fixed inflation number to aim at.

Technical definition: A monetary policy framework where the central bank publicly commits to keep inflation at an announced target; India adopted flexible inflation targeting through the RBI Act amendment of 2016.

TNPSC key point: India's target: CPI (Combined) inflation of 4% with a ±2% band (2%-6%), pursued by the six-member Monetary Policy Committee.

Hook: INFLATION TARGETING = ARROW LOCKED ON THE 4% BULLSEYE → RBI's one public promise.

Example: The MPC raises or cuts the repo rate with the single stated aim of keeping CPI inflation inside the 2%-6% band.

INFLATION

98 Wage-Price Spiral ADVANCED

Simple meaning: Wages and prices keep chasing each other upward, endlessly.

Technical definition: Higher prices lead workers to demand higher wages; higher wages raise production costs, which raise prices again — a self-reinforcing inflation loop.

TNPSC key point: The wage-price spiral is a cost-push mechanism that makes inflation SELF-SUSTAINING once it starts.

Hook: WAGE-PRICE SPIRAL = TWO RIVALS ON AN ENDLESS STAIRCASE → each rise triggers the next.

Example: High inflation triggers a DA hike for employees, raising costs, which raises prices — feeding the next DA hike.

INFLATION

99 Shrinkflation TOUGH

Simple meaning: Same price, smaller packet.

Technical definition: Producers quietly reduce the quantity or size of a product while keeping its price unchanged — a hidden rise in the price per unit.

TNPSC key point: Shrinkflation is HIDDEN inflation — the price tag never changes, so ordinary price comparison misses it.

Hook: SHRINKFLATION = SAME TAG, VANISHING PACKET → the price hides, the quantity shrinks.

Example: A Rs. 10 biscuit or chips packet in India quietly slimming from 100g to 80g over the years is textbook shrinkflation.

INFLATION

100 Deflationary Spiral ADVANCED

Simple meaning: Falling prices drag the whole economy down in circles.

Technical definition: Falling prices cut profits, forcing production cuts and job losses, which reduce incomes and demand, making prices fall further — a self-reinforcing downward loop.

TNPSC key point: The spiral explains why deflation is feared more than moderate inflation — buyers postponing purchases keep deepening the fall; the Great Depression is the classic case.

Hook: DEFLATIONARY SPIRAL = THE WHIRLPOOL THAT FEEDS ITSELF → falling prices sink demand, which sinks prices.

Example: Japan's "lost decades" of falling prices and stagnant demand show the spiral policymakers dread — one reason RBI targets 4%, not 0%.

MONEY

101 Fiat Money MODERATE

Simple meaning: Money that has value only because the government says so.

Technical definition: Currency that is not backed by gold or any commodity; its value comes purely from government order (fiat) and public trust.

TNPSC key point: Indian rupee is fiat money — its value rests on government decree, NOT on gold backing.

Hook: FIAT MONEY = royal stamp on plain paper → value by government order, not gold.

> **DO NOT CONFUSE:** vs Legal Tender — Fiat money gets value BY government order; legal tender is money that MUST be accepted for payment by law.

Example: A Rs.500 note costs only a few rupees to print, yet buys Rs.500 of goods in a Chennai shop because the RBI and Government of India declare its value.

MONEY

102 Legal Tender TOUGH

Simple meaning: Money that no one can legally refuse when you pay a debt.

Technical definition: Money that must, by law, be accepted in settlement of debts. Currency notes are unlimited legal tender; coins are limited legal tender up to specified amounts under the Coinage Act, 2011.

TNPSC key point: Cheques, demand drafts and UPI are NOT legal tender — they can be legally refused; only notes and coins are legal tender.

Hook: LEGAL TENDER = coin with a gavel → by law it CANNOT be refused for payment.

> **DO NOT CONFUSE:** vs Fiat Money — legal tender is about compulsory acceptance in payment; fiat money is about value created by government order.

Example: Some Tamil Nadu shops once refused Rs.10 coins on rumours, but RBI clarified the coins remain valid legal tender and cannot be refused.

MONEY

103 Money Supply MODERATE

Simple meaning: The total money available with the public at a point of time.

Technical definition: The stock of money held by the public (currency plus bank deposits) at a given point of time; measured by RBI through the aggregates M0, M1, M2 and M3.

TNPSC key point: Money supply is a STOCK concept (measured at a point of time) and excludes money held by the government and banks themselves.

Hook: MONEY SUPPLY = tank of money with a dipstick → total money with the public at one point of time.

Example: The cash in a Madurai family's purse plus their bank deposits are part of India's money supply; RBI publishes these figures regularly.

MONEY

104 Narrow Money (M1) ADVANCED

Simple meaning: The most liquid money — cash plus money you can withdraw anytime.

Technical definition: M1 = Currency with the public + Demand deposits with banks + Other deposits with RBI. It is the most liquid measure of money supply.

TNPSC key point: M1 includes DEMAND deposits only — time deposits (fixed deposits) are NOT part of M1.

Hook: M1 = skinny sprinter → narrow, fastest, most liquid money (currency + demand deposits).

> **DO NOT CONFUSE:** vs Broad Money (M3) — M1 is currency + demand deposits; M3 adds TIME deposits on top of M1.

Example: Cash in a Coimbatore trader's drawer plus the balance in his current and savings accounts counts in M1; his 5-year fixed deposit does not.

MONEY

105 Broad Money (M3) ADVANCED

Simple meaning: All of M1 plus fixed deposits — the widest common measure of money.

Technical definition: M3 = M1 + Time deposits with banks. It is the most widely used measure of money supply in India, also called aggregate monetary resources.

TNPSC key point: M3 = M1 + TIME deposits; it is the measure RBI most commonly uses to track money supply.

Hook: M3 = broad sumo with FD belly → M1 plus time deposits, the broadest common measure.

> **DO NOT CONFUSE:** vs Narrow Money (M1) — M3 includes time (fixed) deposits; M1 stops at currency + demand deposits.

Example: A Trichy teacher's cash, savings account AND her 3-year fixed deposit all sit inside M3.

MONEY

106 High-Powered Money (M0)

ADVANCED

Simple meaning: The base money created directly by the RBI.

Technical definition: M0 (Reserve Money / Monetary Base) = Currency in circulation + Bankers' deposits with RBI + Other deposits with RBI. It is the base on which banks create credit.

TNPSC key point: M0 is called HIGH-POWERED because every rupee of it supports the creation of many rupees of bank money (via the money multiplier).

Hook: M0 = superhero rupee cloning itself → RBI base money that powers all money creation.

Example: The notes printed by RBI plus the balances Indian banks keep with RBI together form India's reserve money (M0).

MONEY

107 Velocity of Money ADVANCED

Simple meaning: How many times the same rupee changes hands in a year.

Technical definition: The average number of times a unit of money is used for transactions in a period; in Fisher's equation of exchange MV = PT, V is the velocity of money.

TNPSC key point: Fisher's equation MV = PT — higher velocity with the same money supply can push prices up.

Hook: VELOCITY = rocket-skate note racing hand to hand → number of times money circulates.

Example: In Koyambedu market, Chennai, the same Rs.100 note may pass through a flower seller, a porter and a tea stall in a single day — that speed is velocity.

MONEY

108 Credit Creation ADVANCED

Simple meaning: Banks turn one deposit into many loans, creating new money.

Technical definition: The process by which commercial banks expand money supply by lending out deposits repeatedly, keeping only a fraction as reserves (limited by CRR/SLR).

TNPSC key point: Commercial banks — not the mint — create most of the money in the economy, through repeated lending of deposits.

Hook: CREDIT CREATION = magician's hat trick → banks multiply one deposit into many loans.

Example: A Rs.1 lakh deposit in an SBI branch in Salem is largely lent to a borrower, redeposited elsewhere, lent again — the banking system ends up creating several lakhs of credit.

MONEY

109 Money Multiplier ADVANCED

Simple meaning: The number showing how much total money one rupee of base money creates.

Technical definition: The ratio of broad money to base money (M3/M0); it rises when the reserve ratio and the public's cash holding fall.

TNPSC key point: Money multiplier = M3 divided by M0; a higher CRR LOWERS the money multiplier.

Hook: MONEY MULTIPLIER = note photocopier → how many times base money multiplies into total money.

> **DO NOT CONFUSE:** vs Multiplier Effect — money multiplier is about banks multiplying BASE MONEY; the Keynesian multiplier effect is about spending multiplying INCOME.

Example: If India's M3 is about five times its M0, the money multiplier is about 5 — each RBI rupee supports roughly five rupees of total money.

MONEY

110 Demonetisation MODERATE

Simple meaning: The government cancels the legal value of existing currency notes.

Technical definition: Withdrawal of the legal tender status of specified currency notes by the government, usually to curb black money, fake currency and illegal transactions.

TNPSC key point: On November 8, 2016, Rs.500 and Rs.1000 notes lost legal tender status; earlier demonetisations happened in 1946 and 1978.

Hook: DEMONETISATION = midnight "CANCELLED" stamp → notes stripped of legal tender status.

Example: After November 8, 2016, long queues formed outside banks across Tamil Nadu as people exchanged their old Rs.500 and Rs.1000 notes.

BANKING

111 Scheduled Bank TOUGH

Simple meaning: A bank officially listed in the RBI's special schedule.

Technical definition: A bank included in the Second Schedule of the RBI Act, 1934, satisfying conditions like minimum paid-up capital and reserves; it becomes eligible for RBI facilities such as borrowing at the bank rate.

TNPSC key point: "Scheduled" means listed in the SECOND SCHEDULE of the RBI Act, 1934 — this is the classic MCQ answer.

Hook: SCHEDULED BANK = name on RBI's golden VIP list → listed in Second Schedule, RBI Act 1934.

Example: City Union Bank, headquartered in Kumbakonam, Tamil Nadu, is a scheduled commercial bank listed in the Second Schedule.

BANKING

112 Regional Rural Bank (RRB)

MODERATE

Simple meaning: A bank created specially to serve villages and farmers.

Technical definition: Banks set up under the RRB Act, 1976 (first RRB in 1975) to provide credit to small farmers, artisans and rural workers; owned by Centre (50%), sponsor bank (35%) and state government (15%).

TNPSC key point: RRB ownership ratio is 50:35:15 — Centre : Sponsor Bank : State Government; first RRB, Prathama Bank, opened on October 2, 1975.

Hook: RRB = bank on a bullock cart → rural bank owned 50:35:15 by Centre, sponsor bank and state.

Example: Tamil Nadu Grama Bank (headquartered in Salem, sponsored by Indian Bank) serves farmers across Tamil Nadu after the 2019 merger of Pandyan Grama Bank and Pallavan Grama Bank.

BANKING

113

Non-Banking Financial Company (NBFC)

TOUGH

Simple meaning: A finance company that lends like a bank but is not a bank.

Technical definition: A company registered under the Companies Act doing financial business (loans, leasing, investments) but which cannot accept demand deposits, cannot issue cheques on itself, and is outside the payment and settlement system; regulated by RBI.

TNPSC key point: NBFCs CANNOT accept demand deposits and their depositors get NO DICGC insurance — the two classic differences from banks.

Hook: NBFC = masked bank-lookalike → lends like a bank but no demand deposits, no cheques.

> **DO NOT CONFUSE:** vs Bank — a bank accepts demand deposits and issues cheques; an NBFC can do neither.

Example: Sundaram Finance and Shriram Finance, both headquartered in Chennai, are famous NBFCs financing trucks and vehicles across India.

BANKING

114 Payments Bank TOUGH

Simple meaning: A small bank that can take deposits and make payments but cannot give loans.

Technical definition: A differentiated bank (based on the Nachiket Mor Committee) that accepts deposits up to a capped amount per customer (Rs.1 lakh, later raised to Rs.2 lakh) and offers payment/remittance services, but CANNOT lend or issue credit cards.

TNPSC key point: Payments banks CANNOT LEND and have a deposit cap per customer; Airtel Payments Bank (2017) was India's first.

Hook: PAYMENTS BANK = piggy with tied hands → takes deposits and pays, but can never lend.

> **DO NOT CONFUSE:** vs Small Finance Bank — a payments bank cannot lend and has a deposit cap; a small finance bank CAN lend.

Example: India Post Payments Bank operates through post offices in Tamil Nadu villages, letting people deposit and transfer money without any lending.

BANKING

115 Small Finance Bank TOUGH

Simple meaning: A full bank in miniature — it takes deposits AND lends, mainly to small people.

Technical definition: A differentiated bank licensed to accept deposits and lend, with focus on small farmers, micro industries and unorganised sector; a high share of its credit must go to priority sectors and small-ticket loans.

TNPSC key point: Unlike a payments bank, a small finance bank CAN LEND — and must direct 75% of its credit to priority sectors.

Hook: SMALL FINANCE BANK = mini hero giving micro-loans → small bank that CAN lend to small borrowers.

> **DO NOT CONFUSE:** vs Payments Bank — small finance banks lend; payments banks cannot lend at all.

Example: Equitas Small Finance Bank, headquartered in Chennai, lends to small traders and micro-entrepreneurs across Tamil Nadu.

BANKING

116 Non-Performing Asset (NPA)

MODERATE

Simple meaning: A loan on which the borrower has stopped paying.

Technical definition: A loan or advance whose interest or principal remains overdue for more than 90 days; classified further as substandard, doubtful and loss assets.

TNPSC key point: The 90-DAY overdue rule defines an NPA — remember "90 days = NPA".

Hook: NPA = loan in a hospital bed → loan unpaid beyond 90 days stops "performing".

Example: If a Chennai businessman's bank loan EMIs stay unpaid for over 90 days, the bank must classify that loan as an NPA in its books.

BANKING

117 Basel Norms ADVANCED

Simple meaning: Global rules telling banks how much capital cushion to keep.

Technical definition: International banking regulations on capital adequacy, stress testing and liquidity framed by the Basel Committee on Banking Supervision under the Bank for International Settlements (BIS), Basel, Switzerland; Basel III is the latest set.

TNPSC key point: Basel norms come from the BIS Basel Committee (Switzerland); they set CAPITAL ADEQUACY requirements so banks can absorb losses.

Hook: BASEL = Swiss referee's safety cushion → global capital rules so banks survive shocks.

Example: RBI requires Indian banks to maintain a capital adequacy ratio of 9%, stricter than the Basel minimum of 8%.

BANKING

118 Bank Run TOUGH

Simple meaning: Panicked depositors rush to withdraw all their money at once.

Technical definition: A situation where a large number of depositors, fearing bank failure, simultaneously withdraw funds, which can itself make the bank collapse since banks hold only a fraction of deposits as cash.

TNPSC key point: A bank run is driven by PANIC and fractional reserves — even a healthy bank can fail if all depositors demand cash together.

Hook: BANK RUN = marathon stampede at the bank door → mass panic withdrawal that can sink a bank.

Example: In 2020, depositors of Karur-based Lakshmi Vilas Bank in Tamil Nadu rushed to withdraw funds amid its crisis before it was merged with DBS Bank India.

BANKING

119 Deposit Insurance (DICGC)

TOUGH

Simple meaning: Insurance that protects your bank deposits if the bank fails.

Technical definition: The Deposit Insurance and Credit Guarantee Corporation (DICGC), a wholly owned subsidiary of RBI, insures bank deposits up to Rs.5 lakh per depositor per bank (principal plus interest); the premium is paid by banks.

TNPSC key point: DICGC cover is Rs.5 LAKH per depositor per bank (raised from Rs.1 lakh in 2020) — and DICGC is a subsidiary of RBI.

Hook: DICGC = Rs.5 lakh umbrella → RBI's arm insures each depositor up to Rs.5 lakh per bank.

Example: When a cooperative bank fails, a Tamil Nadu depositor with Rs.8 lakh in it gets only Rs.5 lakh back through DICGC insurance.

BANKING

120 Priority Sector Lending

ADVANCED

Simple meaning: Banks are forced to lend a fixed share to farmers, small businesses and the weak.

Technical definition: RBI mandate requiring banks to lend a minimum share of credit to priority sectors — agriculture, MSMEs, education, housing, export credit and weaker sections; 40% of Adjusted Net Bank Credit (ANBC) for commercial banks.

TNPSC key point: PSL target is 40% of ANBC for banks, with a sub-target of 18% for agriculture.

Hook: PSL = compulsory 40% pizza slice → banks must lend 40% of ANBC to priority sectors.

Example: Crop loans to paddy farmers in the Thanjavur delta and loans to Tirupur garment MSMEs both count toward banks' priority sector targets.

RBI

121 Monetary Policy

MODERATE

Simple meaning: RBI's control of money supply and interest rates.

Technical definition: The policy by which the central bank (RBI) manages money supply, credit and interest rates using tools like repo rate, CRR, SLR and OMO to achieve price stability and growth.

TNPSC key point: Monetary policy is made by the RBI (not the government); its primary objective in India is PRICE STABILITY while keeping growth in mind.

Hook: MONETARY POLICY = RBI's money valve → central bank controls money supply and rates.

> **DO NOT CONFUSE:** vs Fiscal Policy — monetary policy is RBI's money and interest rate control; fiscal policy is the GOVERNMENT's tax and spending decisions.

Example: When RBI changes the repo rate, home loan EMIs of families in Chennai and Coimbatore move up or down — that is monetary policy at work.

RBI

122 Repo Rate

MODERATE

Simple meaning: The rate at which RBI lends short-term money to banks.

Technical definition: The rate at which RBI LENDS short-term funds to commercial banks against the collateral of government securities under a repurchase agreement; it is India's key policy rate.

TNPSC key point: Repo = RBI LENDS to banks (with G-Sec collateral); raising repo makes loans costlier and fights inflation. [CURRENT RATE — VERIFY SEPARATELY]

Hook: REPO = RBI pouring money INTO the bank's bucket → the rate at which RBI lends to banks.

> **DO NOT CONFUSE:** vs Reverse Repo Rate — in repo, RBI LENDS to banks; in reverse repo, RBI BORROWS from banks and absorbs liquidity.

Example: When RBI cuts the repo rate, banks can cut home and vehicle loan rates for customers across Tamil Nadu.

RBI

123 Reverse Repo Rate

MODERATE

Simple meaning: The rate RBI pays when banks park their extra money with RBI.

Technical definition: The rate at which RBI BORROWS short-term funds from commercial banks; it absorbs excess liquidity from the banking system and is always kept below the repo rate.

TNPSC key point: Reverse repo = RBI BORROWS from banks — it is a liquidity ABSORPTION tool, and it is lower than the repo rate.

Hook: REVERSE REPO = money flowing back INTO RBI → RBI borrows from banks and soaks up liquidity.

> **DO NOT CONFUSE:** vs Repo Rate — reverse repo is RBI BORROWING (absorbing liquidity); repo is RBI LENDING (injecting liquidity).

Example: When Tamil Nadu banks have surplus funds with no borrowers, they park the money with RBI overnight and earn the reverse repo rate.

RBI

124 Cash Reserve Ratio (CRR)

TOUGH

Simple meaning: The share of deposits banks must keep as cash with RBI.

Technical definition: The percentage of a bank's Net Demand and Time Liabilities (NDTL) that must be maintained as cash balances WITH THE RBI; banks earn NO interest on CRR balances.

TNPSC key point: CRR is kept WITH RBI and earns NO INTEREST — raising CRR sucks money out of the system instantly.

Hook: CRR = cash locked in RBI's safe at 0% interest → compulsory cash reserve kept with RBI.

> **DO NOT CONFUSE:** vs SLR — CRR is CASH kept WITH RBI (no interest); SLR is liquid assets like G-Secs kept with the BANK ITSELF.

Example: For every Rs.100 of deposits an Indian Overseas Bank branch in Chennai collects, a fixed CRR percentage must sit idle as cash with RBI.

RBI

125 Statutory Liquidity Ratio (SLR)

TOUGH

Simple meaning: The share of deposits banks must hold in safe liquid assets with themselves.

Technical definition: The percentage of NDTL that banks must maintain in specified liquid assets — cash, gold and approved government securities — held WITH THE BANK ITSELF (not with RBI).

TNPSC key point: SLR assets (cash, gold, G-Secs) stay in the BANK'S OWN vault — unlike CRR, which goes to RBI.

Hook: SLR = treasure shelf in the bank's OWN vault → liquid assets (gold, G-Secs) held by the bank itself.

> **DO NOT CONFUSE:** vs CRR — SLR is liquid assets (gold, G-Secs, cash) with the bank ITSELF; CRR is pure cash parked WITH RBI earning no interest.

Example: A Tamil Nadu bank branch's investment in central and state government securities helps its head office meet the SLR requirement.

RBI

126 Bank Rate TOUGH

Simple meaning: The rate at which RBI lends long-term money to banks without security.

Technical definition: The rate at which RBI lends LONG-TERM funds to banks WITHOUT collateral; it is also used as a penal rate when banks fail to meet CRR/SLR, and is aligned with the MSF rate.

TNPSC key point: Bank rate = long-term, NO collateral, used as a PENAL rate — repo is short-term WITH collateral.

Hook: BANK RATE = trust loan plus penalty cane → RBI's long-term, no-collateral, penal lending rate.

> **DO NOT CONFUSE:** vs Repo Rate — bank rate is long-term lending with NO collateral (and penal in nature); repo is short-term lending AGAINST G-Sec collateral.

Example: If an Indian bank falls short of its SLR requirement, RBI charges it a penalty linked to the bank rate.

RBI

127 Open Market Operations (OMO)

ADVANCED

Simple meaning: RBI buys or sells government securities to control money in the market.

Technical definition: The purchase and sale of government securities by RBI in the open market — buying G-Secs INJECTS liquidity, selling G-Secs ABSORBS liquidity.

TNPSC key point: OMO buy = money flows INTO the economy; OMO sell = money is SUCKED OUT — a quantitative tool of monetary policy.

Hook: OMO = RBI's bond bazaar → buying G-Secs injects money, selling G-Secs absorbs it.

Example: When festival-season cash demand tightens liquidity, RBI buys government securities through OMOs to release money into Indian banks.

RBI

128 Marginal Standing Facility (MSF)

ADVANCED

Simple meaning: The emergency overnight window where banks borrow from RBI at a costlier rate.

Technical definition: A facility (introduced in 2011) under which scheduled banks borrow OVERNIGHT funds from RBI at a rate ABOVE the repo rate, and may even dip into their SLR holdings up to a limit to pledge securities.

TNPSC key point: MSF rate is ABOVE the repo rate — it is the EMERGENCY overnight borrowing window where banks can dip into SLR.

Hook: MSF = RBI's costly emergency back door → overnight borrowing at a rate above repo.

> **DO NOT CONFUSE:** vs Repo Rate — MSF is the emergency overnight window priced ABOVE the repo rate; repo is the normal short-term borrowing route.

Example: An Indian bank facing a sudden overnight cash shortfall after a big withdrawal day borrows under MSF by pledging securities from its SLR stock.

RBI

129

Monetary Policy Committee (MPC)

TOUGH

Simple meaning: The six-member team that fixes India's policy interest rate.

Technical definition: A statutory six-member body (under the amended RBI Act, set up in 2016) that sets the repo rate to keep CPI inflation at 4% with a tolerance band of plus or minus 2%; three members from RBI and three appointed by the government.

TNPSC key point: MPC = 6 members (3 RBI + 3 government), RBI Governor has the CASTING vote, target = CPI 4% plus/minus 2%.

Hook: MPC = six judges and one golden gavel → 3 RBI + 3 government members target CPI 4% +/- 2%, Governor breaks ties.

Example: The MPC's bi-monthly repo rate decisions in Mumbai decide whether loan EMIs rise or fall for households across Tamil Nadu.

RBI

130

Liquidity Adjustment Facility (LAF)

ADVANCED

Simple meaning: RBI's daily window to lend or absorb money using repo and reverse repo.

Technical definition: The framework (introduced in 2000, following the Narasimham Committee) through which RBI manages day-to-day liquidity via repo (injection) and reverse repo (absorption) auctions against government securities.

TNPSC key point: LAF is the UMBRELLA that contains both repo and reverse repo operations — RBI's daily liquidity fine-tuning tool.

Hook: LAF = two-way money pump → the repo/reverse-repo window that adjusts daily liquidity.

Example: Every working day, Indian banks either borrow from RBI or park surplus funds with it through the LAF window, smoothing cash flows in the system.

ADVANCED MONETARY

131 Quantitative Easing (QE)

ADVANCED

Simple meaning: A central bank prints money on a massive scale to buy bonds and flood the economy.

Technical definition: An UNCONVENTIONAL monetary policy in which a central bank makes large-scale purchases of government and other securities to inject liquidity, used when interest rates are already near zero and normal tools fail.

TNPSC key point: QE is used when policy rates are near ZERO — famously by the US Federal Reserve after the 2008 crisis.

Hook: QE = money cannon flooding the bond mountain → massive unconventional asset buying near zero rates.

> **DO NOT CONFUSE:** vs OMO — OMO is routine, normal-scale buying/selling of G-Secs; QE is LARGE-SCALE, unconventional purchasing when normal policy is exhausted.

Example: RBI's G-SAP (G-Sec Acquisition Programme) of 2021, with pre-announced large-scale bond purchases during the pandemic, was a QE-style operation.

ADVANCED MONETARY

132 Liquidity Trap ADVANCED

Simple meaning: Interest rates are near zero, yet people just hoard cash — monetary policy stops working.

Technical definition: A Keynesian situation where interest rates are so low that people prefer holding cash to bonds, making further monetary expansion ineffective in stimulating demand.

TNPSC key point: Concept given by KEYNES — in a liquidity trap, monetary policy fails and FISCAL policy must do the lifting.

Hook: LIQUIDITY TRAP = cash pit where money sleeps → near-zero rates, hoarding, monetary policy paralysed.

Example: Japan's economy in the 1990s-2000s is the textbook case; Indian exam answers cite it as the classic liquidity trap, with Keynes as the source of the idea.

ADVANCED MONETARY

133 Monetary Transmission

ADVANCED

Simple meaning: How an RBI rate change actually reaches your loan EMI.

Technical definition: The process by which changes in the policy (repo) rate pass through to banks' lending and deposit rates and finally to spending, investment and prices in the economy.

TNPSC key point: To speed up weak transmission, RBI made banks link loan rates to EXTERNAL BENCHMARKS like the repo rate (from October 2019).

Hook: TRANSMISSION = rate-cut ball rolling down the pipeline → policy rate changes travelling to real loan rates.

Example: When RBI cuts the repo rate, a Coimbatore home loan on a repo-linked rate gets cheaper within months — that pass-through is monetary transmission.

ADVANCED MONETARY

134 Seigniorage ADVANCED

Simple meaning: The profit the government/RBI makes just by printing money.

Technical definition: The profit earned by the currency-issuing authority, equal to the face value of money issued minus the cost of producing it.

TNPSC key point: Seigniorage = FACE VALUE minus PRINTING COST — the issuer's profit from creating currency.

Hook: SEIGNIORAGE = printing press profit → face value of money minus its production cost.

Example: If printing a Rs.500 note costs only a few rupees, nearly the whole difference is seigniorage income for the issuing authority in India.

ADVANCED MONETARY

135 Sterilisation (Monetary)

ADVANCED

Simple meaning: RBI cancels out the extra money created when it buys foreign currency.

Technical definition: Central bank operations (like selling government securities) that offset the increase in domestic money supply caused by its foreign exchange purchases, keeping liquidity unchanged.

TNPSC key point: India's Market Stabilisation Scheme (MSS, 2004) was created precisely to STERILISE liquidity from heavy dollar inflows.

Hook: STERILISATION = spray rupees, sponge them back → neutralising the liquidity from forex buying.

Example: When export dollars flooded in during the mid-2000s, RBI sold MSS bonds to absorb the rupees it had created buying those dollars.

ADVANCED MONETARY

136 Helicopter Money ADVANCED

Simple meaning: The central bank gives free money directly to people — never to be repaid.

Technical definition: An extreme, unconventional policy where newly created money is distributed directly to the public or government with NO repayment obligation; the idea was coined by Milton Friedman (1969).

TNPSC key point: Helicopter money is FREE and IRREVERSIBLE (no repayment); QE, by contrast, is an asset purchase that can be unwound.

Hook: HELICOPTER MONEY = cash rain from the sky → free money to the public, nothing to repay.

> **DO NOT CONFUSE:** vs QE — helicopter money is FREE money with no repayment; QE is the central bank BUYING assets (bonds), which it can later sell back.

Example: During the 2020 pandemic, some Indian economists debated helicopter money — direct RBI-financed cash transfers to citizens — though India did not adopt it.

ADVANCED MONETARY

137 Lender of Last Resort TOUGH

Simple meaning: RBI rescues banks with emergency loans when no one else will lend.

Technical definition: The central bank's function of providing emergency liquidity to solvent but cash-strapped banks facing crisis, when they cannot raise funds from any other source, to protect the financial system.

TNPSC key point: Lender of last resort is a CLASSIC FUNCTION OF RBI — it prevents bank failures from becoming system-wide collapses.

Hook: LENDER OF LAST RESORT = RBI lifeguard's final rescue → emergency loans when all doors are shut.

Example: During the 2020 crises at Yes Bank and Karur-based Lakshmi Vilas Bank, RBI stepped in with liquidity support and rescue plans as the system's last-resort backstop.

ADVANCED MONETARY

138 Ways and Means Advances (WMA)

ADVANCED

Simple meaning: Short-term RBI advances that help governments pay bills until revenue arrives.

Technical definition: Temporary advances given by RBI to the Central and State governments (under Section 17(5) of the RBI Act) to bridge short-term mismatches between receipts and expenditure, normally repayable within 90 days.

TNPSC key point: WMA = RBI's SHORT-TERM advance to GOVERNMENTS (Centre and States) — not a loan to banks, and not long-term borrowing.

Hook: WMA = RBI's cash bridge to the government → short-term advance until revenues flow in.

Example: The Tamil Nadu government, like other states, uses WMA from RBI to manage weeks when salary payments fall due before tax collections arrive.

ADVANCED MONETARY

139 Operation Twist ADVANCED

Simple meaning: RBI buys long-term bonds and sells short-term bonds at the same time.

Technical definition: A special OMO in which the central bank SIMULTANEOUSLY buys long-term government securities and sells short-term ones, lowering long-term yields without changing total liquidity.

TNPSC key point: Operation Twist = BUY LONG, SELL SHORT simultaneously — it twists the yield curve; RBI first used it in December 2019.

Hook: OPERATION TWIST = twisting the yield ribbon → buy long-term G-Secs, sell short-term, in one move.

Example: In December 2019, RBI bought 10-year G-Secs and sold short-term securities on the same day to bring down long-term borrowing costs in India.

ADVANCED MONETARY

140 Inflation-Indexed Bonds

ADVANCED

Simple meaning: Bonds whose value rises with inflation, protecting your real returns.

Technical definition: Government bonds whose principal (and hence interest) is adjusted according to an inflation index, so investors' returns are protected against rising prices; India issued WPI-linked IIBs in 2013 and later CPI-linked bonds for retail savers.

TNPSC key point: IIBs protect the REAL return of investors — the principal is indexed to inflation (2013 issue was WPI-linked).

Hook: IIB = bond in a life jacket on rising water → principal rises with inflation, real value protected.

Example: A Chennai retiree holding inflation-indexed bonds keeps her purchasing power even when vegetable and fuel prices climb, because the bond's principal climbs too.

BUDGET

141 Fiscal Policy MODERATE

Simple meaning: The government's use of taxes and spending to steer the economy.

Technical definition: Policy through which the GOVERNMENT uses taxation, public expenditure and borrowing to influence output, employment and demand; presented mainly through the Union Budget.

TNPSC key point: Fiscal policy belongs to the GOVERNMENT (Finance Ministry); monetary policy belongs to the RBI — the most repeated distinction in exams.

Hook: FISCAL POLICY = tax vacuum vs spending cannon → the government's tax-and-spend steering wheel.

> **DO NOT CONFUSE:** vs Monetary Policy — fiscal policy is the government's taxes and spending; monetary policy is RBI's money supply and interest rates.

Example: Union Budget decisions on income tax slabs and highway spending — and Tamil Nadu's own state budget schemes — are fiscal policy in action.

BUDGET

142 Revenue Receipts TOUGH

Simple meaning: Regular government income that creates no debt and sells no asset.

Technical definition: Government receipts that neither create a liability nor reduce assets — tax revenue (income tax, GST) plus non-tax revenue (interest, dividends, fees, fines).

TNPSC key point: Test for revenue receipts: NO liability created, NO asset reduced — taxes and dividends qualify; borrowings do not.

Hook: REVENUE RECEIPTS = clean tap water income → regular receipts with no debt and no asset sale.

> **DO NOT CONFUSE:** vs Capital Receipts — revenue receipts create no liability; capital receipts (like borrowings or disinvestment) create liabilities or reduce assets.

Example: GST collected on sales in Chennai shops and dividends the government earns from PSUs are revenue receipts of the government.

BUDGET

143 Capital Receipts TOUGH

Simple meaning: Government money that comes from borrowing or selling assets.

Technical definition: Receipts that either CREATE a liability (borrowings, small savings) or REDUCE assets (disinvestment proceeds, recovery of loans given by government).

TNPSC key point: Borrowings, disinvestment and loan recoveries are capital receipts — remember "creates liability OR reduces asset".

Hook: CAPITAL RECEIPTS = cash with IOU balloons attached → money from borrowing or selling assets.

> **DO NOT CONFUSE:** vs Revenue Receipts — capital receipts create debt or shrink assets; revenue receipts (taxes, fees) do neither.

Example: The government's market borrowings and the money raised by selling shares in a PSU (like the LIC IPO) are capital receipts.

BUDGET

144 Revenue Expenditure TOUGH

Simple meaning: Day-to-day government spending that creates no lasting asset.

Technical definition: Expenditure that neither creates assets nor reduces liabilities — salaries, pensions, subsidies, interest payments and administrative running costs.

TNPSC key point: Salaries, subsidies, pensions and INTEREST PAYMENTS are revenue expenditure — nothing durable is built.

Hook: REVENUE EXPENDITURE = money burnt as daily cooking fuel → running costs that build no asset.

> **DO NOT CONFUSE:** vs Capital Expenditure — revenue expenditure keeps the machine running; capital expenditure builds new assets like roads and bridges.

Example: Salaries of Tamil Nadu government teachers and the food subsidy for ration shops are revenue expenditure.

BUDGET

145 Capital Expenditure TOUGH

Simple meaning: Government spending that builds assets or repays debt.

Technical definition: Expenditure that CREATES assets (roads, bridges, buildings, machinery) or REDUCES liabilities (repayment of loans); it adds to the economy's productive capacity.

TNPSC key point: Asset creation OR loan repayment = capital expenditure; it has a lasting multiplier effect on growth.

Hook: CAPITAL EXPENDITURE = cash welded into a bridge → spending that leaves an asset standing.

> **DO NOT CONFUSE:** vs Revenue Expenditure — capital expenditure builds durable assets; revenue expenditure is consumed the same year (salaries, subsidies).

Example: Spending on Chennai Metro Rail construction and new national highways in Tamil Nadu is capital expenditure.

BUDGET

146 Consolidated Fund of India

TOUGH

Simple meaning: The government's main account holding all its revenues and loans.

Technical definition: The fund under Article 266(1) into which all government revenues, loans raised and loan recoveries flow; NO money can be withdrawn from it without PARLIAMENT'S approval (via an Appropriation Act).

TNPSC key point: Article 266(1) — and every withdrawal needs PARLIAMENTARY authorisation; salaries of judges and CAG are "charged" on this fund.

Hook: CONSOLIDATED FUND = vault whose key is with Parliament → Article 266, no withdrawal without approval.

> **DO NOT CONFUSE:** vs Public Account — the Consolidated Fund needs Parliament's approval for withdrawals; the Public Account (banker money like provident funds) does not.

Example: All central taxes collected in Tamil Nadu flow into the Consolidated Fund of India; Tamil Nadu likewise has its own Consolidated Fund under Article 266.

BUDGET

147 Contingency Fund of India

TOUGH

Simple meaning: The President's emergency purse for sudden, unforeseen expenses.

Technical definition: A fund under Article 267 placed at the disposal of the PRESIDENT to meet unforeseen expenditure without waiting for Parliament; corpus originally Rs.500 crore (enhanced to Rs.30,000 crore in 2021); Parliament later regularises the spending.

TNPSC key point: Article 267 + at the disposal of the PRESIDENT + classic corpus figure Rs.500 crore — the three MCQ anchors.

Hook: CONTINGENCY FUND = President's break-glass cash box → Article 267 emergency money, approval comes later.

> **DO NOT CONFUSE:** vs Consolidated Fund — the Contingency Fund (Art 267) is spent by the President FIRST and regularised later; the Consolidated Fund (Art 266) needs Parliament's approval BEFORE withdrawal.

Example: Sudden cyclone relief can be met from the Contingency Fund; Tamil Nadu maintains its own state contingency fund under Article 267(2) at the Governor's disposal.

BUDGET

148 Public Account of India TOUGH

Simple meaning: Money the government holds for others, like a banker.

Technical definition: The account under Article 266(2) holding money for which the government acts as a BANKER or trustee — provident funds, small savings, security deposits; withdrawals need NO parliamentary approval since the money is not the government's own.

TNPSC key point: Article 266(2), government acts in BANKER capacity, and NO Parliament approval is needed for payments from it.

Hook: PUBLIC ACCOUNT = government as locker-room cashier → Article 266(2), banker's money, no approval needed.

> **DO NOT CONFUSE:** vs Consolidated Fund — the Public Account holds others' money (banker role, no approval needed); the Consolidated Fund holds the government's own money and needs Parliament's nod.

Example: A Tamil Nadu government employee's General Provident Fund contributions sit in the Public Account until she claims them.

BUDGET

149 Vote on Account TOUGH

Simple meaning: Parliament's advance permission for the government to spend for a few months.

Technical definition: A grant made in advance under Article 116, allowing the government to draw funds from the Consolidated Fund for essential EXPENDITURE for part of the year (usually two months) until the full budget is passed; covers only expenditure, not taxation.

TNPSC key point: Vote on Account = EXPENDITURE side only, Article 116, typically for two months, passed without detailed discussion.

Hook: VOTE ON ACCOUNT = two-month snack coupon → advance spending permission until the full budget passes.

> **DO NOT CONFUSE:** vs Interim Budget — a vote on account covers ONLY expenditure; an interim budget is a fuller statement with both receipts and expenditure, presented by an outgoing government.

Example: Before general elections, the outgoing Union government takes a vote on account so that salaries and pensions — including those of central staff in Tamil Nadu — continue without a full budget.

BUDGET

150 Appropriation Bill TOUGH

Simple meaning: The law that lets the government actually withdraw money from its main fund.

Technical definition: A bill under Article 114 that authorises the government to WITHDRAW money from the Consolidated Fund of India for the expenditures approved by Parliament; no amendment can be moved to vary any granted amount.

TNPSC key point: Appropriation Bill (Art 114) = permission to WITHDRAW from the Consolidated Fund; the Finance Bill deals with TAXATION.

Hook: APPROPRIATION BILL = the vault's key-card scroll → legal pass to withdraw from the Consolidated Fund.

> **DO NOT CONFUSE:** vs Finance Bill — the Appropriation Bill authorises WITHDRAWAL from the Consolidated Fund; the Finance Bill gives effect to TAX proposals of the budget.

Example: Every year after budget discussions, Parliament passes the Appropriation Bill so ministries can spend — Tamil Nadu's Assembly passes a similar bill for the state's Consolidated Fund.

DEFICITS

151 Fiscal Deficit MODERATE

Simple meaning: How much extra money the government spends beyond what it truly earns in a year.

Technical definition: Fiscal Deficit = Total Expenditure − Total Receipts EXCLUDING borrowings. It shows the total borrowing requirement of the government for the year.

TNPSC key point: Fiscal Deficit equals the total borrowings of the government; borrowings are excluded from receipts while calculating it.

Hook: FISCAL DEFICIT = LEAKING GOVT WALLET → the gap filled only by borrowing.

> **DO NOT CONFUSE:** vs Revenue Deficit, Primary Deficit — Fiscal Deficit covers the TOTAL gap (excluding borrowings); Revenue Deficit is only the revenue-account gap; Primary Deficit is Fiscal Deficit minus interest payments.

Example: The Union Budget announces a fiscal deficit target as a percentage of GDP every year; the FRBM Act, 2003 set 3% of GDP as the goal. [CURRENT DATA — VERIFY SEPARATELY for the latest year's target.]

DEFICITS

152 Revenue Deficit TOUGH

Simple meaning: The government's daily-running expenses are more than its daily-running income.

Technical definition: Revenue Deficit = Revenue Expenditure − Revenue Receipts. It shows the government is dis-saving, using borrowed money even for routine consumption.

TNPSC key point: Revenue Deficit involves ONLY the revenue account (salaries, pensions, subsidies, interest vs taxes, fees) — no capital items at all.

Hook: REVENUE DEFICIT = GROCERY BILL > SALARY → borrowing just to eat, not to build.

> **DO NOT CONFUSE:** vs Fiscal Deficit — Revenue Deficit counts only revenue-account items; Fiscal Deficit counts total expenditure minus total non-borrowing receipts.

Example: A large share of the Union government's revenue expenditure goes to interest, salaries, pensions and subsidies; the FRBM Act originally aimed to eliminate the revenue deficit entirely.

DEFICITS

153 Primary Deficit TOUGH

Simple meaning: The government's fresh borrowing need this year, ignoring interest on old loans.

Technical definition: Primary Deficit = Fiscal Deficit − Interest Payments. It measures the borrowing needed for current-year activities alone.

TNPSC key point: A zero primary deficit means the government borrows ONLY to pay interest on past loans — the classic MCQ statement.

Hook: PRIMARY DEFICIT = FISCAL DEFICIT MINUS INTEREST BACKPACK → this year's real borrowing.

> **DO NOT CONFUSE:** vs Fiscal Deficit — Fiscal Deficit includes interest payments; Primary Deficit strips interest out (PD = FD − Interest Payments).

Example: India's Union Budget documents show the primary deficit separately, revealing how much of the fiscal deficit is caused purely by interest on accumulated public debt.

DEFICITS

154 Effective Revenue Deficit

ADVANCED

Simple meaning: Revenue deficit after removing grants that actually build assets.

Technical definition: Effective Revenue Deficit = Revenue Deficit − Grants given to states/bodies for creation of capital assets. It shows the "truly wasteful" part of the revenue gap.

TNPSC key point: Introduced in Union Budget 2011-12; grants for creating capital assets (roads, schools) are deducted because they are productive though booked as revenue expenditure.

Hook: EFFECTIVE RD = REVENUE DEFICIT MINUS NOTE-TO-BRICK GRANTS → the real waste.

> **DO NOT CONFUSE:** vs Revenue Deficit — Effective Revenue Deficit is ALWAYS smaller or equal, because asset-creating grants are subtracted from the Revenue Deficit.

Example: Central grants to Tamil Nadu for building rural roads under central schemes count as revenue expenditure, but are excluded when computing the effective revenue deficit.

DEFICITS

155 Deficit Financing ADVANCED

Simple meaning: Filling the budget gap by borrowing or by creating new money.

Technical definition: Meeting the budget deficit through borrowing from the public, the market, or the RBI (which effectively means printing new currency), instead of raising taxes.

TNPSC key point: Deficit financing through the RBI (monetising the deficit) increases money supply and is INFLATIONARY — the most-tested consequence.

Hook: DEFICIT FINANCING = PRINT AND FILL → the gap closes, prices balloon.

Example: India relied heavily on deficit financing in the planning era; today direct RBI monetisation is restricted, and the government mainly borrows from the market instead.

DEFICITS

156 Public Debt MODERATE

Simple meaning: The total loan burden the government owes to everyone.

Technical definition: The accumulated borrowings of the government — internal debt (from citizens, banks, RBI) plus external debt (from foreign governments and institutions) — repayable from the Consolidated Fund.

TNPSC key point: Union borrowing power is under Article 292 and state borrowing under Article 293; most of India's public debt is INTERNAL, not external.

Hook: PUBLIC DEBT = IOU MOUNTAIN ON THE GOVT ELEPHANT → all past borrowings piled up.

Example: Tamil Nadu, like other states, borrows under Article 293 within limits linked to its GSDP; the state's outstanding debt is reported in its annual budget documents. [CURRENT DATA — VERIFY SEPARATELY.]

DEFICITS

157 Crowding Out ADVANCED

Simple meaning: Heavy government borrowing pushes private businesses out of the loan queue.

Technical definition: Large government borrowing absorbs available loanable funds and raises interest rates, thereby reducing (crowding out) private investment.

TNPSC key point: Mechanism to remember: high fiscal deficit → more government borrowing → higher interest rates → lower private investment.

Hook: CROWDING OUT = ELEPHANT IN THE LOAN QUEUE → private investors squeezed out.

Example: Economists warn that when the Centre and states together borrow heavily from Indian banks, less credit remains for private firms, such as MSMEs in Coimbatore seeking expansion loans.

DEFICITS

158 Fiscal Multiplier ADVANCED

Simple meaning: One rupee of government spending grows into more than one rupee of national income.

Technical definition: The ratio of the change in national income to the change in government spending (or taxes) that caused it; spending multipliers are generally larger than tax-cut multipliers.

TNPSC key point: Capital expenditure has a HIGHER fiscal multiplier than revenue expenditure — one rupee on infrastructure raises GDP by more than one rupee on subsidies.

Hook: FISCAL MULTIPLIER = ONE COIN, MANY RIPPLES → govt spending multiplies income.

> **DO NOT CONFUSE:** vs Multiplier Effect — the Multiplier Effect is the general Keynesian ripple concept; the Fiscal Multiplier measures it specifically for government spending or tax changes.

Example: Indian budget debates cite the high multiplier of capital expenditure to justify big outlays on highways and railways rather than only subsidy increases.

DEFICITS

159 FRBM Act TOUGH

Simple meaning: The law that puts the government's borrowing habit on a strict diet.

Technical definition: The Fiscal Responsibility and Budget Management Act, 2003 mandates fiscal discipline — targeting a fiscal deficit of 3% of GDP, reduction of revenue deficit, and transparent fiscal reporting to Parliament.

TNPSC key point: FRBM Act year = 2003; core target = fiscal deficit 3% of GDP; the N.K. Singh Committee (2016-17) reviewed it and an escape clause allows limited deviation during crises.

Hook: FRBM = 2003 BORROWING DIET BELT → fiscal deficit squeezed to 3% of GDP.

Example: Tamil Nadu enacted its own Fiscal Responsibility Act in 2003, following the central FRBM model, committing the state to deficit and debt targets.

DEFICITS

160 Fiscal Consolidation ADVANCED

Simple meaning: The government's step-by-step plan to shrink its deficits and debt.

Technical definition: Policies that reduce fiscal deficit and public debt over time — by raising revenues (better tax collection, disinvestment) and rationalising expenditure (cutting wasteful spending, targeting subsidies).

TNPSC key point: Fiscal consolidation means reducing deficits WITHOUT harming growth — via revenue augmentation plus expenditure rationalisation, following the FRBM glide path.

Hook: FISCAL CONSOLIDATION = STITCH THE WALLET, SHORTEN THE LADDER → deficits shrink year by year.

Example: After COVID-19 pushed deficits up, the Union government announced a fiscal consolidation glide path to bring the fiscal deficit back down over several years. [CURRENT DATA — VERIFY SEPARATELY for latest targets.]

TAXATION

161 Direct Tax MODERATE

Simple meaning: A tax you must pay yourself — you cannot pass it to anyone else.

Technical definition: A tax whose impact and incidence fall on the same person; the burden cannot be shifted. Examples: income tax, corporation tax, capital gains tax.

TNPSC key point: Burden CANNOT be shifted; administered by CBDT; direct taxes are generally progressive and reduce inequality.

Hook: DIRECT TAX = ARROW GLUED TO YOUR CHEST → the burden sticks, never shifts.

> **DO NOT CONFUSE:** vs Indirect Tax — direct tax burden cannot be shifted (income tax); indirect tax burden is shifted to the final consumer (GST).

Example: A software engineer in Chennai pays income tax on her salary directly to the government — she cannot transfer that bill to her employer or customers.

TAXATION

162 Indirect Tax MODERATE

Simple meaning: A tax collected from sellers but actually paid by you, the buyer.

Technical definition: A tax levied on goods and services where the burden is shifted from the taxpayer (seller) to the final consumer through the price. Examples: GST, customs duty, excise duty.

TNPSC key point: Burden IS shifted to the consumer; indirect taxes tend to be regressive because rich and poor pay the same rate on the same product.

Hook: INDIRECT TAX = ARROW HIDDEN IN THE PRICE TAG → seller collects, buyer bears.

> **DO NOT CONFUSE:** vs Direct Tax — indirect tax burden travels to the final consumer; direct tax burden stays glued to the person taxed.

Example: When you buy soap in a Madurai shop, the GST included in the printed price is deposited by the seller but truly paid by you.

TAXATION

163 Progressive Tax

MODERATE

Simple meaning: The richer you are, the higher the RATE of tax you pay.

Technical definition: A tax whose rate rises as income rises, so higher-income earners pay a larger proportion of their income; based on the ability-to-pay principle.

TNPSC key point: The RATE (not just the amount) rises with income — India's income tax slabs are the standard example; it reduces income inequality.

Hook: PROGRESSIVE = BIGGER WALLET, BIGGER SCISSORS → tax rate climbs with income.

> **DO NOT CONFUSE:** vs Regressive Tax — progressive means the rich pay a higher share; regressive means the poor end up paying a higher share of their income.

Example: India's income tax slab system charges 0% on low incomes and rising rates on higher slabs, making it a progressive tax.

TAXATION

164 Regressive Tax

MODERATE

Simple meaning: A tax that bites the poor harder than the rich.

Technical definition: A tax that takes a larger PERCENTAGE of income from the poor than from the rich, because everyone pays the same amount or rate regardless of income.

TNPSC key point: Indirect taxes like GST on essentials are effectively regressive — a flat rate is a heavier share of a poor person's income.

Hook: REGRESSIVE = SAME COIN, CRUSHED SMALL PURSE → poor pay the bigger share.

> **DO NOT CONFUSE:** vs Progressive Tax — regressive burdens fall proportionally more on the poor; progressive rates rise with income and burden the rich more.

Example: A flat GST rate on cooking essentials takes a much bigger bite from a Tiruvannamalai farm labourer's income than from a Chennai executive's income.

TAXATION

165 Goods and Services Tax (GST)

MODERATE

Simple meaning: One single nationwide tax that replaced many different indirect taxes.

Technical definition: A destination-based, multi-stage indirect tax on the supply of goods and services with input tax credit at each stage; levied as CGST, SGST and IGST.

TNPSC key point: Introduced by the 101st Constitutional Amendment Act; in force from 1 July 2017; GST Council under Article 279A, chaired by the Union Finance Minister.

Hook: GST = MANY TAXES BLENDED INTO ONE BOTTLE → one nation, one tax, from 1 July 2017.

Example: A Tirupur T-shirt sold in Delhi carries IGST; the revenue flows to the destination state — the GST Council, with Tamil Nadu's Finance Minister as a member, decides the rates.

TAXATION

166 Tax Incidence

ADVANCED

Simple meaning: The person on whom the tax burden FINALLY lands.

Technical definition: The final resting point of a tax burden after all shifting is complete; distinct from the initial legal liability. Incidence depends on the relative elasticities of demand and supply.

TNPSC key point: Impact = first point (person legally taxed); Incidence = final point (person who ultimately bears it); the more inelastic side of the market bears more incidence.

Hook: INCIDENCE = WHERE THE HOT POTATO FINALLY LANDS → the ultimate bearer of the tax.

> **DO NOT CONFUSE:** vs Tax Impact — impact is the FIRST point where tax is levied; incidence is the FINAL point where the burden settles.

Example: GST on cement is deposited by the manufacturer (impact), but a family building a house in Salem ultimately bears it in the price (incidence).

TAXATION

167 Tax Buoyancy

ADVANCED

Simple meaning: How fast tax collections actually jump when the economy grows.

Technical definition: The ratio of the percentage change in ACTUAL tax revenue to the percentage change in GDP, INCLUDING the effects of policy changes like new rates, wider base and better enforcement.

TNPSC key point: Buoyancy includes discretionary policy changes; buoyancy greater than 1 means tax revenue grows faster than GDP.

Hook: BUOYANCY = BOAT WITH ROCKETS ON A RISING SEA → actual revenue response, policy changes included.

> **DO NOT CONFUSE:** vs Tax Elasticity — buoyancy measures ACTUAL revenue response including policy changes; elasticity assumes the tax structure stays unchanged.

Example: After GST enforcement tightened with e-invoicing, India's indirect tax collections grew faster than GDP in some years — high tax buoyancy.

TAXATION

168 Tax Elasticity

ADVANCED

Simple meaning: How much tax revenue would grow with the economy if tax rules never changed.

Technical definition: The responsiveness of tax revenue to GDP growth assuming an UNCHANGED tax structure — no new rates, exemptions or enforcement drives; it isolates the automatic response.

TNPSC key point: Elasticity EXCLUDES discretionary policy changes — that single word "unchanged tax structure" decides the MCQ.

Hook: ELASTICITY = BOAT WITHOUT ROCKETS → revenue response with tax rules frozen.

> **DO NOT CONFUSE:** vs Tax Buoyancy — elasticity freezes the tax structure; buoyancy counts everything, including rate hikes and enforcement.

Example: If India's income tax slabs stayed untouched and collections still rose with growing incomes, that automatic rise reflects tax elasticity.

TAXATION

169 Laffer Curve ADVANCED

Simple meaning: Raise tax rates too high, and total tax money actually FALLS.

Technical definition: An inverted-U curve (by Arthur Laffer) showing tax revenue against the tax rate: revenue is zero at 0% and 100%, rising to a maximum at an optimal rate in between, then falling as high rates kill work incentives and encourage evasion.

TNPSC key point: Laffer Curve = tax revenue vs tax rate, inverted-U shape; beyond the optimal rate, HIGHER rates yield LOWER revenue.

Hook: LAFFER = SQUEEZE THE ORANGE TOO HARD, LOSE THE JUICE → over-taxing shrinks revenue.

Example: India's 1970s income tax rates rose above 90%, encouraging massive evasion; later rate cuts widened compliance — the Laffer logic used in Indian tax reform debates.

TAXATION

170 Tobin Tax ADVANCED

Simple meaning: A tiny tax on currency trades to slow down hit-and-run speculators.

Technical definition: A small tax proposed by James Tobin on foreign exchange (currency) transactions to discourage short-term speculative flows and reduce exchange-rate volatility.

TNPSC key point: Tobin Tax = tax on FOREX transactions; purpose = curb currency speculation, not raise big revenue.

Hook: TOBIN = TOLL GATE ON THE FOREX HIGHWAY → tiny tax, fewer speculators.

Example: Indian policy debates have cited a Tobin-type tax as a possible shield when sudden hot-money outflows shake the rupee's exchange rate.

PUBLIC FINANCE

171 Cess TOUGH

Simple meaning: An extra tax collected for ONE named purpose only.

Technical definition: A tax levied for a specific, earmarked purpose (education, health, roads); it is credited to a dedicated fund and its proceeds are NOT shared with the states.

TNPSC key point: Cess = earmarked purpose + NOT part of the divisible pool shared with states — the double fact examiners love.

Hook: CESS = PURPOSE-LOCKED PIGGY BANK → earmarked money, states get no share.

> **DO NOT CONFUSE:** vs Surcharge — cess is for a named purpose; surcharge is a "tax on tax" with no earmarked purpose — neither is shared with states.

Example: The Health and Education Cess of 4% on income tax and the GST Compensation Cess on luxury goods are current Indian examples.

PUBLIC FINANCE

172 Surcharge TOUGH

Simple meaning: A tax charged ON TOP of your tax — a tax on tax.

Technical definition: An additional charge computed as a percentage of the tax payable (not of income), typically on high-income earners; under Article 271 its proceeds go entirely to the Centre and are not shared with states.

TNPSC key point: Surcharge = TAX ON TAX; levied under Article 271; not shared with states and needs no earmarked purpose.

Hook: SURCHARGE = A BILL WEARING A BILL → tax calculated on the tax itself.

> **DO NOT CONFUSE:** vs Cess — surcharge is a tax on tax with no fixed purpose; cess is tied to a named purpose — and neither goes into the states' divisible pool.

Example: India levies an income tax surcharge on individuals earning above Rs. 50 lakh, rising in steps for higher income brackets.

PUBLIC FINANCE

173 Tax Evasion MODERATE

Simple meaning: Illegally hiding income to escape tax — a punishable crime.

Technical definition: The ILLEGAL non-payment or underpayment of tax by concealing income, inflating expenses, faking documents or dealing in unaccounted cash; punishable with penalty and prosecution.

TNPSC key point: Evasion is ILLEGAL — the one word that separates it from avoidance in every MCQ; it creates black money.

Hook: EVASION = CASH IN THE MATTRESS, HANDCUFFS AT THE DOOR → illegal hiding of income.

> **DO NOT CONFUSE:** vs Tax Avoidance — evasion breaks the law (hiding income); avoidance bends the law (using legal loopholes).

Example: Income tax raids on businesses that keep unbilled cash sales in "number two" accounts are actions against tax evasion.

PUBLIC FINANCE

174 Tax Avoidance TOUGH

Simple meaning: Legally arranging your money so you pay less tax.

Technical definition: Reducing tax liability WITHIN the letter of the law by exploiting loopholes, exemptions and treaty gaps; legal but often against the spirit of the law — India counters aggressive avoidance with GAAR.

TNPSC key point: Avoidance is LEGAL (loopholes); GAAR — General Anti-Avoidance Rules — is India's weapon against aggressive avoidance.

Hook: AVOIDANCE = SLIPPING THROUGH THE LEGAL GAP → less tax, no crime.

> **DO NOT CONFUSE:** vs Tax Evasion — avoidance uses legal loopholes and invites no jail; evasion hides income illegally and invites prosecution.

Example: Companies once routed investments through Mauritius to use treaty benefits and cut Indian tax — legal avoidance that led India to renegotiate the treaty and enforce GAAR.

PUBLIC FINANCE

175 Pigouvian Tax ADVANCED

Simple meaning: A tax that makes polluters pay for the harm they cause others.

Technical definition: A tax (named after Arthur Pigou) imposed on activities generating NEGATIVE EXTERNALITIES, set to make the private cost equal the social cost — e.g., taxes on pollution, tobacco, carbon.

TNPSC key point: Pigouvian tax corrects negative externalities by internalising the social cost — the "polluter pays" tax.

Hook: PIGOUVIAN = METER ON THE SMOKESTACK → polluter pays for the harm.

Example: India's cess on coal (the clean energy/GST compensation levy on coal) and high taxes on tobacco act like Pigouvian taxes on harmful activities.

PUBLIC FINANCE

176 Finance Commission MODERATE

Simple meaning: The referee that decides how tax money is divided between the Centre and the states.

Technical definition: A constitutional body under Article 280, constituted by the President every 5 years, to recommend the distribution of net tax proceeds between the Union and the states and grants-in-aid to states.

TNPSC key point: Article 280; constituted every 5 years by the PRESIDENT; the 15th Finance Commission (chair N.K. Singh) recommended a 41% share of central taxes for states.

Hook: FINANCE COMMISSION = THE 5-YEARLY CAKE-CUTTER (ART 280) → divides taxes between Centre and states.

> **DO NOT CONFUSE:** vs NITI Aayog — Finance Commission is a constitutional body (Art 280) that divides taxes; NITI Aayog is a non-constitutional policy think tank with no tax-sharing power.

Example: Tamil Nadu submits detailed memoranda to each Finance Commission seeking a fairer share; the state's receipts depend heavily on the Commission's devolution formula.

PUBLIC FINANCE

177 Fiscal Federalism ADVANCED

Simple meaning: The money-sharing arrangement between the Centre and the states.

Technical definition: The division of taxing powers, spending responsibilities and transfer arrangements between the Union and state governments, framed by the Seventh Schedule and Articles 268-293 of the Constitution.

TNPSC key point: Fiscal federalism = financial relations between Centre and states — taxing powers via Union/State/Concurrent Lists, transfers via the Finance Commission.

Hook: FISCAL FEDERALISM = THE FAMILY MONEY RULEBOOK → who taxes, who spends, who shares.

Example: GST is a fiscal federalism landmark — Centre and states pooled their indirect tax powers into one GST Council where both vote on rates.

PUBLIC FINANCE

178 Tax Devolution TOUGH

Simple meaning: The states' rightful share of the taxes collected by the Centre.

Technical definition: The constitutionally mandated sharing of the net proceeds of Union taxes with states under Article 270, as per the percentage and inter-state formula recommended by the Finance Commission.

TNPSC key point: Devolution flows from the DIVISIBLE POOL under Article 270 — but cess and surcharge are OUTSIDE this pool and never devolved.

Hook: DEVOLUTION = WATERFALL TO THE STATES' CANALS → the shared divisible pool, minus cess and surcharge.

Example: The 15th Finance Commission recommended 41% devolution to states; each state's slice depends on population, area, forest cover, income distance and demographic performance. [CURRENT DATA — VERIFY SEPARATELY for the 16th Finance Commission.]

PUBLIC FINANCE

179 Zero-Based Budgeting

ADVANCED

Simple meaning: Every year, every expense must justify itself from zero — no automatic repeats.

Technical definition: A budgeting method (developed by Peter Pyhrr) where each item starts from a "zero base" every year and must be freshly justified on merit, instead of simply adding increments to last year's allocation.

TNPSC key point: Base = ZERO each year; opposite of incremental budgeting; India experimented with it in the late 1980s.

Hook: ZBB = BLACKBOARD WIPED TO ZERO → every rupee re-justified every year.

Example: The Government of India promoted zero-based budgeting in 1987 to weed out schemes that survived only because "they existed last year".

PUBLIC FINANCE

180 Gender Budgeting TOUGH

Simple meaning: Checking every budget rupee through a "how does this help women?" lens.

Technical definition: Analysing and designing the budget from a gender perspective, tracking allocations that benefit women and girls; it is a budgeting APPROACH, not a separate women's budget.

TNPSC key point: India publishes a Gender Budget Statement with the Union Budget since 2005-06 — two parts: schemes 100% for women, and schemes with at least 30% allocation for women.

Hook: GENDER BUDGETING = SPECTACLES ON THE BUDGET → every allocation checked for women's benefit.

Example: Tamil Nadu's schemes such as free bus travel for women and the Kalaignar Magalir Urimai Thogai monthly payment are showcased in gender-responsive budgeting.

POVERTY

181 Poverty Line MODERATE

Simple meaning: The official cut-off income below which a person is counted as poor.

Technical definition: A threshold level of income or consumption expenditure needed to meet minimum basic needs; people below it are classified as poor. In India it was estimated by expert committees (Tendulkar 2009, Rangarajan 2014).

TNPSC key point: India's poverty line is based on CONSUMPTION EXPENDITURE (not income); Tendulkar methodology estimated 21.9% of Indians below the line in 2011-12. [CURRENT DATA — VERIFY SEPARATELY.]

Hook: POVERTY LINE = THE RED CUT-OFF LINE → below it, officially poor.

Example: Committees named after Tendulkar and Rangarajan set India's poverty line benchmarks; ration and welfare targeting in Tamil Nadu historically drew on such cut-offs.

POVERTY

182 Absolute Poverty MODERATE

Simple meaning: Not having even the bare minimum — food, clothing, shelter — to survive.

Technical definition: Poverty measured against a fixed minimum standard of basic needs (subsistence level); a person below that minimum is absolutely poor regardless of how others live.

TNPSC key point: Absolute poverty = below MINIMUM NEEDS (a fixed line); it can be fully eliminated, unlike relative poverty.

Hook: ABSOLUTE = BASKET BELOW THE SURVIVAL KIT → measured against fixed minimum needs.

> **DO NOT CONFUSE:** vs Relative Poverty — absolute poverty compares a person with fixed minimum needs; relative poverty compares a person with OTHER people.

Example: India's traditional poverty line, built on minimum calorie and consumption norms, measures absolute poverty.

POVERTY

183 Relative Poverty MODERATE

Simple meaning: Being poor compared to the people around you.

Technical definition: Poverty measured by comparing a person's income with others in society (e.g., below a share of median income); it reflects INEQUALITY and exists even in rich countries.

TNPSC key point: Relative poverty is about comparison and inequality — it can never be fully abolished as long as incomes differ.

Hook: RELATIVE = BICYCLE AMONG CARS → poor only by comparison with others.

> **DO NOT CONFUSE:** vs Absolute Poverty — relative poverty compares people with each other; absolute poverty compares them with a fixed minimum-needs line.

Example: A family earning above India's poverty line in a Chennai suburb may still be relatively poor beside high-earning IT-corridor neighbours.

POVERTY

184 Multidimensional Poverty Index (MPI)

ADVANCED

Simple meaning: Measuring poverty by many deprivations at once, not just low money.

Technical definition: An index (global MPI by UNDP and OPHI; national MPI by NITI Aayog) measuring overlapping deprivations across three equally weighted dimensions — HEALTH, EDUCATION and LIVING STANDARD.

TNPSC key point: MPI dimensions = health, education, living standard (equal weights); in India the national MPI is published by NITI Aayog.

Hook: MPI = THREE TORCHES ON ONE HUT → poverty counted in health, education and living standard.

> **DO NOT CONFUSE:** vs HDI — HDI averages a country's overall achievement; MPI counts how many people are deprived and how intensely, across the same three dimensions.

Example: NITI Aayog's national MPI reports rank states and districts; Tamil Nadu records one of the lower MPI poverty ratios among large states. [CURRENT DATA — VERIFY SEPARATELY.]

POVERTY

185 Head Count Ratio TOUGH

Simple meaning: Simply counting what share of people fall below the poverty line.

Technical definition: The proportion (percentage) of the population living below the poverty line; the simplest poverty measure, but it ignores HOW FAR below the line the poor are.

TNPSC key point: Head Count Ratio = number below the poverty line divided by total population; its weakness is ignoring the DEPTH of poverty.

Hook: HEAD COUNT = CLICKER BELOW THE RED LINE → share of people who are poor, depth ignored.

Example: The statement "21.9% of Indians were below the poverty line in 2011-12 (Tendulkar)" is a head count ratio.

POVERTY

186 Poverty Trap ADVANCED

Simple meaning: A situation where being poor itself keeps you poor.

Technical definition: A self-reinforcing mechanism in which low income prevents the investment in health, education or assets needed to raise future income, so poverty persists across generations without outside help.

TNPSC key point: A poverty trap is SELF-REINFORCING — escape usually needs an external push (a "big push" of aid, credit or public investment).

Hook: POVERTY TRAP = PIT WITH TOO-SHORT LADDERS → poverty that recycles itself.

Example: A landless labourer's child leaving school early to earn wages, and therefore remaining a low-wage labourer, shows the trap; schemes like free education and MGNREGA act as the outside rope.

POVERTY

187 Vicious Circle of Poverty

TOUGH

Simple meaning: A country is poor because it is poor — poverty chasing its own tail.

Technical definition: Ragnar Nurkse's concept: low income → low savings → low investment → low productivity → low income again, forming a circle that keeps whole economies underdeveloped.

TNPSC key point: Associated with RAGNAR NURKSE; his famous line: "A country is poor because it is poor."

Hook: VICIOUS CIRCLE = FOUR OXEN CHASING TAILS → low income feeding low income (Nurkse).

Example: Planners in early independent India invoked Nurkse's circle to justify state-led "big push" investment in dams, steel and railways to break the loop.

POVERTY

188 Feminisation of Poverty

ADVANCED

Simple meaning: Poverty increasingly wearing a woman's face.

Technical definition: The trend of women forming a disproportionate and growing share of the world's poor, due to wage gaps, unpaid care work, weaker property rights and female-headed households facing higher poverty risk.

TNPSC key point: The phrase highlights that poverty burdens fall MORE heavily on women; the term is credited to researcher Diana Pearce (1978).

Hook: FEMINISATION = THE POVERTY QUEUE TURNS FEMALE → women bear the heavier share of poverty.

Example: Widow-headed rural households and underpaid women farm labourers in India illustrate the pattern; schemes like SHG bank linkage and women-targeted pensions respond to it.

POVERTY

189 Universal Basic Income (UBI)

TOUGH

Simple meaning: A fixed cash amount paid to EVERY citizen, no questions asked.

Technical definition: An unconditional, universal, periodic cash transfer paid to all citizens individually, regardless of income or work status — proposed as a cleaner substitute for leaky, targeted subsidies.

TNPSC key point: UBI was prominently discussed in India's ECONOMIC SURVEY 2016-17; its three pillars: universality, unconditionality, cash payment.

Hook: UBI = THE SAME MONEY RAIN ON EVERY HEAD → unconditional cash for all.

Example: The Economic Survey 2016-17 devoted a chapter to UBI for India as a possible replacement for multiple welfare subsidies; no nationwide UBI has been implemented.

POVERTY

190 Welfare State

MODERATE

Simple meaning: A state that takes responsibility for its citizens' basic well-being.

Technical definition: A state that actively protects and promotes the economic and social well-being of citizens — through education, health care, social security and poverty relief — based on equality of opportunity and fair distribution.

TNPSC key point: India's welfare state ideal flows from the Directive Principles of State Policy (especially Article 38 — social order with justice) — directive, not enforceable.

Hook: WELFARE STATE = THE GIANT STATE UMBRELLA → government shields citizens from cradle to grave.

Example: Tamil Nadu's welfare model is famous — the noon meal scheme pioneered by K. Kamaraj, Amma canteens, free bus travel for women — all classic welfare state measures.

UNEMPLOYMENT

191 Disguised Unemployment

MODERATE

Simple meaning: People look employed, but removing them changes nothing in output.

Technical definition: A situation where more workers are engaged than actually needed, so the MARGINAL PRODUCTIVITY of the extra workers is zero or near zero; common in Indian agriculture.

TNPSC key point: Marginal productivity of the surplus workers is approximately ZERO; the classic Indian example is family farms in agriculture.

Hook: DISGUISED = FIVE ON A TWO-MAN FIELD → remove the extras, output stays the same.

> **DO NOT CONFUSE:** vs Underemployment — disguised workers add nothing (marginal productivity ~zero); underemployed workers do add output but work below their capacity or skill.

Example: On small paddy farms in the Cauvery delta, whole families work plots that two people could manage — the surplus members are disguisedly unemployed.

UNEMPLOYMENT

192 Structural Unemployment

TOUGH

Simple meaning: Jobs exist, but jobless people do not have the skills those jobs demand.

Technical definition: Unemployment caused by a MISMATCH between workers' skills or location and the requirements of available jobs, usually due to technological change or shifts in the economy's structure; long-term in nature.

TNPSC key point: Keyword = SKILLS MISMATCH; it is long-lasting and needs retraining, unlike short frictional gaps.

Hook: STRUCTURAL = TYPEWRITER AT A LAPTOP-SHAPED DOOR → skills no longer fit the jobs.

> **DO NOT CONFUSE:** vs Frictional — structural is a lasting skills mismatch needing retraining; frictional is a short, temporary gap between jobs.

Example: Handloom weavers displaced by powerlooms and mill automation around Tamil Nadu's textile belt face structural unemployment until they are re-skilled.

UNEMPLOYMENT

193 Frictional Unemployment

TOUGH

Simple meaning: The short jobless gap while moving from one job to another.

Technical definition: TEMPORARY unemployment arising while workers search for new jobs or transition between jobs; it exists even in a healthy economy and is considered normal and voluntary in nature.

TNPSC key point: Frictional = BETWEEN JOBS, temporary, search-related — present even at "full employment".

Hook: FRICTIONAL = THE MID-AIR JUMP BETWEEN TWO JOBS → short, normal, temporary.

> **DO NOT CONFUSE:** vs Structural — frictional workers have the right skills and are just searching; structural workers cannot get jobs because their skills no longer match.

Example: An IT employee in Chennai who resigns in June and joins a better firm in August is frictionally unemployed for those weeks in between.

UNEMPLOYMENT

194 Cyclical Unemployment

TOUGH

Simple meaning: Job losses caused by a slump in the economy's business cycle.

Technical definition: Unemployment caused by deficient aggregate demand during recessions; jobs vanish across sectors when spending falls and return when the economy recovers — the Keynesian, demand-deficient type.

TNPSC key point: Cyclical = tied to the BUSINESS CYCLE (recession phase); the remedy is boosting aggregate demand through fiscal and monetary stimulus.

Hook: CYCLICAL = FALLING OFF THE ECONOMY'S FERRIS WHEEL → jobs lost in the downswing.

Example: During the COVID-19 downturn, hotels, auto plants and export units across India laid off workers — cyclical unemployment that eased as demand recovered.

UNEMPLOYMENT

195 Seasonal Unemployment

MODERATE

Simple meaning: Having work only in certain seasons and sitting idle the rest of the year.

Technical definition: Unemployment that occurs when work is available only during particular seasons of the year — typical in agriculture, fisheries, tourism and sugar mills — leaving workers jobless off-season.

TNPSC key point: Linked to the CALENDAR, not the economy's health; Indian agriculture's sowing-harvest cycle is the textbook case, and MGNREGA is the classic off-season remedy.

Hook: SEASONAL = THE CALENDAR DECIDES YOUR JOB → busy harvest, idle summer.

Example: Cauvery delta farm labourers after harvest, and Marina beach vendors in the off-tourist monsoon months, face seasonal unemployment; many take MGNREGA work in the lean season.

UNEMPLOYMENT

196 Underemployment

TOUGH

Simple meaning: Having a job that is far below your skill, time or capacity.

Technical definition: A situation where a person works fewer hours than desired or in a job well below their qualification and productivity potential; they DO contribute output, but far less than they could.

TNPSC key point: Underemployed workers have positive but LOW productivity relative to potential — unlike disguised unemployment's near-zero marginal product.

Hook: UNDEREMPLOYMENT = ENGINEER DRIVING AN AUTO → working far below capacity.

> **DO NOT CONFUSE:** vs Disguised Unemployment — the underemployed produce something but below potential; the disguised add virtually nothing (marginal productivity ~zero).

Example: Postgraduates applying for village sweeper or peon posts in Indian government recruitment drives are a widely reported sign of underemployment pressure.

UNEMPLOYMENT

197 Labour Force Participation Rate

TOUGH

Simple meaning: What share of working-age people are working OR looking for work.

Technical definition: LFPR = (Employed + Unemployed persons seeking work) as a percentage of the working-age population; those neither working nor seeking work (students, homemakers) are OUTSIDE the labour force.

TNPSC key point: LFPR's denominator is the working-age POPULATION; India's female LFPR is notably low — a favourite exam theme. [CURRENT DATA — VERIFY SEPARATELY.]

Hook: LFPR = FIELD CROWD OVER FULL STADIUM → workers plus job-seekers as a share of working-age people.

> **DO NOT CONFUSE:** vs Unemployment Rate — LFPR divides by the working-age POPULATION; the unemployment rate divides the unemployed by the LABOUR FORCE only.

Example: The Periodic Labour Force Survey (PLFS) of the NSO publishes India's LFPR, with separate male and female rates for rural and urban areas.

UNEMPLOYMENT

198 Unemployment Rate

MODERATE

Simple meaning: Of the people who want work, what percentage cannot find it.

Technical definition: Unemployment Rate = Unemployed persons as a percentage of the LABOUR FORCE (employed + unemployed) — NOT of the total population; measured in India by the PLFS.

TNPSC key point: The denominator is the LABOUR FORCE, not the population — the single most-tested trick in this topic.

Hook: UNEMPLOYMENT RATE = RED FLAGS OVER THE FIELD ONLY → unemployed as a share of the labour force.

> **DO NOT CONFUSE:** vs LFPR — unemployment rate = unemployed / labour force; LFPR = labour force / working-age population. Different denominators!

Example: When PLFS reports India's unemployment rate, it means that percentage of the labour force — not of all Indians — was jobless and seeking work. [CURRENT DATA — VERIFY SEPARATELY.]

UNEMPLOYMENT

199 Jobless Growth

ADVANCED

Simple meaning: The economy grows fast, but new jobs barely grow at all.

Technical definition: A phase where GDP rises significantly without a matching rise in employment — because growth comes from capital-intensive, technology-driven sectors with low employment elasticity.

TNPSC key point: Keyword = LOW EMPLOYMENT ELASTICITY of growth; India's post-1991 growth, led by services and automation, is the standard example.

Hook: JOBLESS GROWTH = GDP ROCKET, NO PASSENGERS → output soars, employment stands still.

Example: India's IT and finance-led boom of the 1990s-2000s lifted GDP sharply while factory-scale job creation lagged — economists labelled it jobless growth.

UNEMPLOYMENT

200 Informal Sector

MODERATE

Simple meaning: Jobs without contracts, fixed salaries or social security — the unorganised world of work.

Technical definition: The unorganised part of the economy — small unregistered units and casual workers without written contracts, paid leave, provident fund or job security; it employs the overwhelming majority of India's workforce.

TNPSC key point: Around 90% of India's workers are in informal/unorganised employment; the e-Shram portal registers unorganised workers. [CURRENT DATA — VERIFY SEPARATELY.]

Hook: INFORMAL SECTOR = THE GIANT BAZAAR WITHOUT A SAFETY NET → most Indian workers, least protection.

Example: Chennai's construction workers, Koyambedu market loadmen and street food vendors are informal sector workers, now encouraged to register on the e-Shram portal.

DEVELOPMENT

201 Economic Growth MODERATE

Simple meaning: The country produces MORE goods and services than before.

Technical definition: A sustained increase in a country's real GDP (or real per capita income) over time; a purely quantitative measure of output expansion.

TNPSC key point: Growth is QUANTITATIVE — it is measured only by the rise in real GDP/national income, and says nothing about welfare or distribution.

Hook: GROWTH = MUSCLE BAR → GDP gets BIGGER, nothing more.

> **DO NOT CONFUSE:** vs Economic Development — Growth = quantitative rise in GDP only; Development = growth PLUS welfare, health, education (qualitative, measured by HDI).

Example: India's real GDP expanding around 7% a year is economic growth — the number rises even if inequality stays.

DEVELOPMENT

202 Economic Development

MODERATE

Simple meaning: The country grows AND people's lives actually get better.

Technical definition: Economic growth accompanied by improvement in living standards — education, health, equality and institutions; a qualitative plus quantitative concept, measured by indicators like HDI.

TNPSC key point: Development = Growth + Welfare change; it is judged by HDI-type indicators, not by GDP alone.

Hook: DEVELOPMENT = SMILING GRADUATE BAR → growth plus a better life.

> **DO NOT CONFUSE:** vs Economic Growth — Growth is possible without Development, but Development is NOT possible without growth; Development adds welfare/HDI to the GDP rise.

Example: Kerala and Tamil Nadu score high on literacy and health indicators — development, not just income growth.

DEVELOPMENT

203 Human Capital MODERATE

Simple meaning: The skills, education and health stored inside people.

Technical definition: The stock of knowledge, skills, education, training and health embodied in a population that raises its productivity; built by investment in education and healthcare.

TNPSC key point: Expenditure on education and health is INVESTMENT (human capital formation), not consumption.

Hook: HUMAN CAPITAL = TREASURE INSIDE THE HEAD → skills and health are wealth.

Example: Tamil Nadu Skill Development Corporation (Naan Mudhalvan scheme) trains youth — investment in human capital.

DEVELOPMENT

204 Demographic Dividend TOUGH

Simple meaning: A growth bonus when a country has many workers and few dependents.

Technical definition: The potential economic growth boost that arises when the share of the working-age population (15-64 years) rises relative to dependents (children and elderly).

TNPSC key point: Dividend comes from a RISING working-age SHARE — it is only a potential bonus; it pays off only with jobs, education and health investment.

Hook: DIVIDEND = YOUTH ARMY LIFTS THE COIN → more workers, fewer dependents, growth bonus.

Example: India is currently in its demographic dividend window with one of the world's largest working-age populations.

DEVELOPMENT

205 Demographic Transition

TOUGH

Simple meaning: How a country's births and deaths change as it develops.

Technical definition: The theory that populations move through stages: high birth and death rates, then falling death rates (population explosion), then falling birth rates, and finally low birth and death rates.

TNPSC key point: In Stage 2 the DEATH rate falls while the birth rate stays high — that gap causes population explosion; India is now in the later (third) stage with falling birth rates.

Hook: TRANSITION = FOUR-STEP STAIRCASE → high births and deaths slowly become low births and deaths.

Example: Tamil Nadu's fertility rate fell below replacement level early — the state completed its transition ahead of most of India.

DEVELOPMENT

206 Trickle-Down Theory TOUGH

Simple meaning: Help the rich grow first; benefits will slowly drip down to the poor.

Technical definition: The idea that overall growth concentrated among big business and the rich eventually spreads to lower income groups through jobs and spending — without direct redistribution.

TNPSC key point: Trickle-down is criticised for failing the poor — its failure is the main argument FOR inclusive growth policies in India.

Hook: TRICKLE-DOWN = OVERFLOWING TOP GLASS, THIRSTY BOTTOM → rich first, poor wait for drops.

Example: India's early growth strategy assumed trickle-down; its failure led planners to adopt direct poverty programmes and inclusive growth.

DEVELOPMENT

207 Kuznets Curve ADVANCED

Simple meaning: As a country gets richer, inequality first rises, then falls.

Technical definition: Simon Kuznets' inverted-U hypothesis: in early growth, income inequality increases; after a turning point of development, inequality declines.

TNPSC key point: Kuznets Curve = INVERTED-U between inequality (Y-axis) and per capita income/growth (X-axis).

Hook: KUZNETS = INEQUALITY ROLLERCOASTER → up first, down later, inverted-U.

> **DO NOT CONFUSE:** vs Environmental Kuznets Curve — same inverted-U shape but it plots POLLUTION (not income inequality) against per capita income.

Example: Debates on whether India's post-1991 rise in inequality will follow Kuznets' predicted decline are common in Economic Survey discussions.

DEVELOPMENT

208 Lorenz Curve TOUGH

Simple meaning: A graph that shows how unequally income is shared.

Technical definition: A curve plotting the cumulative percentage of population (X-axis) against the cumulative percentage of income they receive (Y-axis); the farther it sags below the 45-degree line of equality, the greater the inequality.

TNPSC key point: Lorenz Curve is a GRAPH of income distribution; the 45-degree diagonal is the line of PERFECT EQUALITY.

Hook: LORENZ = SAGGING HAMMOCK vs THE STRAIGHT ROPE → deeper sag, deeper inequality.

> **DO NOT CONFUSE:** vs Gini Coefficient — Lorenz is the GRAPH of inequality; Gini is the single NUMBER (0 to 1) calculated FROM that graph.

Example: NSO consumption survey data can be drawn as a Lorenz Curve to compare inequality between Indian states.

DEVELOPMENT

209 Gini Coefficient TOUGH

Simple meaning: One number between 0 and 1 that scores a country's inequality.

Technical definition: The ratio of the area between the line of equality and the Lorenz Curve to the total area under the line of equality; 0 = perfect equality, 1 = perfect inequality.

TNPSC key point: Gini 0 = PERFECT EQUALITY, Gini 1 = perfect inequality — it is derived from the Lorenz Curve.

Hook: GINI = JUDGE'S SCORE FOR THE HAMMOCK → 0 equal, 1 totally unequal.

> **DO NOT CONFUSE:** vs Lorenz Curve — Gini is the NUMBER (0 to 1) derived from the Lorenz Curve; Lorenz is the graph itself.

Example: Economists track India's consumption Gini to test whether inequality rose after liberalisation.

DEVELOPMENT

210 Inclusive Growth TOUGH

Simple meaning: Growth in which every section of society gets a share.

Technical definition: Broad-based growth that creates opportunities for all — the poor, rural areas, women and backward regions — and reduces inequality while GDP rises.

TNPSC key point: The 11th Five Year Plan (2007-12) was themed "Towards Faster and More Inclusive Growth".

Hook: INCLUSIVE GROWTH = NO COACH LEFT BEHIND → everyone rides the growth train.

Example: MGNREGA and financial inclusion drives like Jan Dhan are flagship inclusive growth tools in India.

HUMAN DEVELOPMENT

211 Human Development Index (HDI)

MODERATE

Simple meaning: A score that ranks countries by health, education and income together.

Technical definition: UNDP composite index (0 to 1) combining three dimensions: long and healthy life (life expectancy), knowledge (mean and expected years of schooling) and decent standard of living (GNI per capita, PPP).

TNPSC key point: HDI is published by UNDP (first Human Development Report 1990), created by Mahbub ul Haq with Amartya Sen — THREE dimensions: health, education, income. India's current rank: [CURRENT DATA — VERIFY SEPARATELY].

Hook: HDI = THREE-LEGGED STOOL → health + education + income, by UNDP.

> **DO NOT CONFUSE:** vs MPI — HDI averages a country's ACHIEVEMENTS in health, education and income; MPI counts the overlapping DEPRIVATIONS suffered by poor households.

Example: Kerala tops Indian states on HDI-type indicators thanks to high literacy and life expectancy.

HUMAN DEVELOPMENT

212 Gender Inequality Index

ADVANCED

Simple meaning: A score showing how much a country loses because women are treated unequally.

Technical definition: UNDP index measuring gender-based disadvantage across three dimensions: reproductive health, empowerment (education and parliament seats) and labour market participation; higher value = more inequality.

TNPSC key point: GII is by UNDP with THREE dimensions — reproductive health, empowerment, labour market; value 0 means perfect gender equality.

Hook: GII = TILTED SEE-SAW → the more tilt against women, the higher the score.

Example: India's low female labour force participation is a major reason its GII remains poor despite growth.

HUMAN DEVELOPMENT

213 Physical Quality of Life Index (PQLI)

ADVANCED

Simple meaning: An old quality-of-life score that ignores money completely.

Technical definition: Index developed by Morris David Morris (1979) averaging three indicators: literacy rate, infant mortality rate and life expectancy at age one — with NO income component.

TNPSC key point: PQLI (Morris D. Morris) uses literacy, infant mortality and life expectancy — income is NOT included.

Hook: PQLI = BABY + BOOK, MONEYBAG BANNED → life quality without income.

> **DO NOT CONFUSE:** vs HDI — PQLI has NO income measure; HDI includes income (GNI per capita) as one of its three dimensions.

Example: Before HDI became standard, India's social progress was often compared using PQLI in development literature.

HUMAN DEVELOPMENT

214 Gross National Happiness

TOUGH

Simple meaning: Measuring a country's success by happiness, not just money.

Technical definition: Bhutan's development philosophy that judges progress by collective well-being across pillars like sustainable development, cultural preservation, environmental conservation and good governance — instead of GDP alone.

TNPSC key point: GNH is BHUTAN's concept, coined by King Jigme Singye Wangchuck (1972), with FOUR pillars.

Hook: GNH = SMILES OUTWEIGH COINS → Bhutan measures happiness, not GDP.

Example: Indian policy debates cite Bhutan's GNH when arguing that GDP alone cannot capture well-being.

HUMAN DEVELOPMENT

215 Sustainable Development Goals (SDGs)

MODERATE

Simple meaning: The world's shared to-do list of 17 goals to fix poverty, health and the planet by 2030.

Technical definition: 17 global goals with 169 targets under the UN 2030 Agenda for Sustainable Development, adopted by the UN in 2015 as successor to the Millennium Development Goals (MDGs).

TNPSC key point: SDGs = 17 goals, 169 targets, adopted 2015, deadline 2030 — SDG 1 is "No Poverty"; NITI Aayog tracks states via the SDG India Index.

Hook: SDGs = EARTH'S 17-ITEM CHECKLIST WITH A 2030 ALARM → global goals, 2030 Agenda.

Example: NITI Aayog's SDG India Index scores Indian states on the goals; Tamil Nadu consistently figures among the front-runner states.

HUMAN DEVELOPMENT

216 Sustainable Development

MODERATE

Simple meaning: Grow today without eating up tomorrow's resources.

Technical definition: Development that meets the needs of the present without compromising the ability of future generations to meet their own needs — the classic Brundtland Commission definition.

TNPSC key point: The definition comes from the Brundtland Report "Our Common Future" (1987).

Hook: SUSTAINABLE = SHARE THE MANGO TREE WITH THE GRANDCHILD → today's needs, tomorrow protected.

Example: Tamil Nadu's big push for wind and solar power aims at growth without exhausting fossil fuels.

HUMAN DEVELOPMENT

217 Green Economy

TOUGH

Simple meaning: An economy built to be low-carbon, resource-saving and fair to all.

Technical definition: UNEP's model of an economy that is low-carbon, resource-efficient and socially inclusive — where growth in income and jobs comes from investments that cut pollution and protect ecosystems.

TNPSC key point: Green Economy is a UNEP concept — low carbon + resource efficient + socially inclusive; it is a MODEL of the economy, not a statistic.

Hook: GREEN ECONOMY = CITY ON A LEAF → the whole economy runs clean and inclusive.

> **DO NOT CONFUSE:** vs Green GDP — Green GDP is a NUMBER (GDP adjusted for environmental damage); Green Economy is a whole MODEL of running the economy.

Example: India's National Solar Mission and green hydrogen push are steps toward a green economy.

HUMAN DEVELOPMENT

218 Circular Economy

TOUGH

Simple meaning: Nothing is thrown away — everything is reused, repaired or recycled.

Technical definition: An economic model that keeps materials in use through reduce-reuse-recycle loops, replacing the linear "take-make-dispose" model and minimising waste and resource extraction.

TNPSC key point: Circular = closed LOOP (reduce, reuse, recycle) versus the LINEAR take-make-dispose economy.

Hook: CIRCULAR ECONOMY = MERRY-GO-ROUND OF STUFF → waste never exits the loop.

Example: India's Extended Producer Responsibility rules make companies collect and recycle their plastic packaging — circular economy in action.

HUMAN DEVELOPMENT

219 Carbon Pricing

ADVANCED

Simple meaning: Making polluters pay a price for every tonne of carbon they emit.

Technical definition: Policy instruments that attach a monetary cost to greenhouse gas emissions — mainly carbon TAXES and emissions TRADING (cap-and-trade) systems — so polluters internalise climate damage.

TNPSC key point: Carbon Pricing is the umbrella policy of putting a price on carbon — it INCLUDES both carbon tax and carbon trading.

Hook: CARBON PRICING = TOLL GATE FOR SMOKE → tax it or trade it, but pay for it.

> **DO NOT CONFUSE:** vs Carbon Credit — a Carbon Credit is ONE tradable permit (1 tonne of CO_2); Carbon Pricing is the whole POLICY of pricing carbon, covering both tax and trading.

Example: India taxes coal via GST compensation cess and is building a domestic carbon market — both are forms of carbon pricing.

HUMAN DEVELOPMENT

220 Carbon Credit ADVANCED

Simple meaning: A tradable ticket that allows emitting one tonne of carbon dioxide.

Technical definition: A tradable certificate representing the right to emit one tonne of CO_2 (or equivalent); firms that cut emissions can sell surplus credits to polluters — a mechanism popularised under the Kyoto Protocol.

TNPSC key point: 1 carbon credit = 1 TONNE of CO_2 equivalent, and it is TRADABLE between firms and countries.

Hook: CARBON CREDIT = 1-TONNE POLLUTION TICKET → cut smoke, sell the ticket.

> **DO NOT CONFUSE:** vs Carbon Pricing — the credit is the tradable PERMIT itself; carbon pricing is the broader policy (tax + trading) that gives carbon a price.

Example: India's Carbon Credit Trading Scheme (2023) creates a national market where Indian industries can earn and trade credits.

AGRICULTURE

221 Minimum Support Price (MSP)

MODERATE

Simple meaning: A guaranteed floor price the government promises farmers before sowing.

Technical definition: The price at which the government stands ready to buy notified crops from farmers so that market prices do not crash below it; announced before the sowing season for about 22 crops (sugarcane gets FRP instead).

TNPSC key point: MSP is announced by the CCEA (Cabinet Committee on Economic Affairs) based on the recommendations of the CACP (Commission for Agricultural Costs and Prices).

Hook: MSP = THE FLOOR FARMERS CANNOT FALL THROUGH → CCEA announces, CACP recommends.

> **DO NOT CONFUSE:** vs Procurement Price — MSP is the pre-sowing guarantee FLOOR; procurement price is the price at which government actually buys grain for its buffer/PDS stocks.

Example: Tamil Nadu delta farmers sell paddy to government procurement centres at MSP (plus a state incentive announced by Tamil Nadu).

AGRICULTURE

222 Green Revolution MODERATE

Simple meaning: The 1960s jump in foodgrain output using miracle seeds, fertilisers and irrigation.

Technical definition: The mid-1960s transformation of Indian agriculture through High Yielding Variety (HYV) seeds, chemical fertilisers, assured irrigation and credit — making India self-sufficient in foodgrains, first in wheat.

TNPSC key point: Norman Borlaug is the global father; M.S. Swaminathan is the father of India's Green Revolution; it succeeded first in wheat in Punjab, Haryana and western UP.

Hook: GREEN REVOLUTION = MIRACLE SEED SKYSCRAPER → HYV seeds ended food imports.

Example: M.S. Swaminathan, born in Kumbakonam, Tamil Nadu, led the HYV programme that made India food self-sufficient.

AGRICULTURE

223 Buffer Stock TOUGH

Simple meaning: Government's emergency store of foodgrains.

Technical definition: Stocks of foodgrains (mainly rice and wheat) procured at MSP and held by the Food Corporation of India (FCI) to meet PDS needs, emergencies and to stabilise prices by releasing grain when prices rise.

TNPSC key point: Buffer stock is maintained by the FCI; buffer norms are fixed by the CCEA — released through open market sales to cool prices.

Hook: BUFFER STOCK = GRAIN FORTRESS → FCI's stored grain shields prices and the PDS.

Example: During COVID-19, free grain under PMGKAY came straight out of FCI buffer stocks.

AGRICULTURE

224 Public Distribution System (PDS)

MODERATE

Simple meaning: The ration-shop network selling cheap foodgrains to households.

Technical definition: The government network of Fair Price Shops distributing subsidised foodgrains and essentials, run jointly by the Centre (procurement via FCI) and states (distribution); targeted as TPDS since 1997 and backed by the National Food Security Act, 2013.

TNPSC key point: Tamil Nadu runs a UNIVERSAL PDS — every family card is entitled, unlike the targeted (BPL-based) PDS in other states. Classic TNPSC question.

Hook: PDS = RATION SHOP; TAMIL NADU'S DOOR IS OPEN TO ALL → universal, not targeted.

Example: Tamil Nadu's universal PDS supplies rice at token prices to all ration card holders through Fair Price Shops.

AGRICULTURE

225 Land Reforms TOUGH

Simple meaning: Laws that took land from big landlords and protected tillers.

Technical definition: Post-independence measures to restructure land ownership: abolition of zamindari/intermediaries, tenancy reforms (security and fair rent), ceilings on land holdings, and consolidation of fragmented holdings.

TNPSC key point: Land reform laws were shielded from court challenge by placing them in the NINTH SCHEDULE created by the First Constitutional Amendment (1951).

Hook: LAND REFORMS = CUTTING THE LANDLORD'S ROPES → land to the tiller, protected by the Ninth Schedule.

Example: Tamil Nadu's ryotwari legacy and its land ceiling acts redistributed surplus land to landless labourers.

AGRICULTURE

226 Agricultural Subsidy MODERATE

Simple meaning: Government pays part of farming costs so inputs stay cheap.

Technical definition: Financial support that lowers the cost of farm inputs and outputs — fertiliser, power, irrigation, seeds and credit subsidies on the input side, plus food subsidy on the consumer side.

TNPSC key point: Fertiliser subsidy is the largest INPUT subsidy of the Union government; the food subsidy (PDS/NFSA) is a separate consumer subsidy.

Hook: SUBSIDY = GOVERNMENT PAYS MOST OF THE BILL → cheap inputs for farmers.

Example: Urea sold to Indian farmers far below cost, and Tamil Nadu's free farm power supply, are classic agricultural subsidies.

AGRICULTURE

227 Kisan Credit Card MODERATE

Simple meaning: A card that gives farmers quick, cheap crop loans.

Technical definition: A scheme (1998) giving farmers timely short-term credit for cultivation and allied needs through a revolving credit card-style limit from banks, with concessional interest via government subvention.

TNPSC key point: KCC was launched in 1998 on the recommendation of the R.V. Gupta Committee, with the scheme designed by NABARD.

Hook: KCC = SWIPE THE CARD, SKIP THE MONEYLENDER → instant cheap crop credit since 1998.

Example: Tamil Nadu farmers use KCC limits through cooperative and commercial banks to fund each paddy season.

AGRICULTURE

228 Contract Farming TOUGH

Simple meaning: Farmer and company fix the price and quantity BEFORE the crop is grown.

Technical definition: An agreement between farmers and buyers (agri-firms, processors, exporters) made before production, fixing price, quality and quantity; the buyer often supplies inputs and technology, reducing the farmer's price risk.

TNPSC key point: The Model Contract Farming Act, 2018 (Centre's model law) guides states; the deal covers the PRODUCE — the buyer gets no rights over the farmer's LAND.

Hook: CONTRACT FARMING = HANDSHAKE BEFORE HARVEST → price locked before the crop exists.

Example: Sugar mills and poultry integrators in Tamil Nadu, and PepsiCo's potato tie-ups with farmers, run on contract farming.

AGRICULTURE

229 Crop Insurance (PMFBY)

TOUGH

Simple meaning: Insurance that pays farmers when crops fail.

Technical definition: Pradhan Mantri Fasal Bima Yojana (2016) insures notified crops against natural calamities, pests and diseases; farmers pay a low fixed premium and the government pays the balance to insurers.

TNPSC key point: PMFBY (2016) farmer premium: 2% for kharif, 1.5% for rabi, 5% for annual commercial/horticultural crops — the rest is subsidised.

Hook: PMFBY = UMBRELLA AGAINST CROP DISASTERS → tiny premium, big protection.

Example: Delta farmers hit by cyclones like Gaja claimed compensation for damaged paddy under crop insurance.

AGRICULTURE

230 e-NAM TOUGH

Simple meaning: One online market where farmers can sell to buyers anywhere in India.

Technical definition: National Agriculture Market — a pan-India electronic trading portal launched in 2016 that networks APMC mandis into one unified online market for transparent price discovery of farm produce.

TNPSC key point: e-NAM is an ONLINE trading platform launched in 2016 linking APMC mandis; implemented by the Small Farmers Agribusiness Consortium (SFAC).

Hook: e-NAM = IPL AUCTION FOR CROPS ON A PHONE → one national online mandi since 2016.

Example: Regulated markets in Tamil Nadu are integrated with e-NAM so local produce gets bids from buyers across states.

INDUSTRY

231 Industrial Policy TOUGH

Simple meaning: The government's master plan for which industries grow and how.

Technical definition: Official statements setting the role of public and private sectors, licensing, and foreign investment in industry — key milestones: IPR 1948, IPR 1956 and the New Industrial Policy of 1991.

TNPSC key point: The Industrial Policy Resolution 1956 is called the "Economic Constitution of India"; the 1991 policy abolished licence raj (delicensing) and opened the economy.

Hook: INDUSTRIAL POLICY = HIGHWAY RULES FOR FACTORIES → 1956 the constitution, 1991 the liberation.

Example: After the 1991 delicensing, auto majors set up plants around Chennai, turning it into the "Detroit of India".

INDUSTRY

232 MSME MODERATE

Simple meaning: Micro, Small and Medium Enterprises — the small factories and shops that employ crores.

Technical definition: Enterprises classified since 2020 by COMPOSITE criteria — investment in plant and machinery/equipment AND annual turnover — registered online through the Udyam portal (limits revised upward in Budget 2025-26).

TNPSC key point: Classification uses BOTH investment AND turnover (composite criteria, same for manufacturing and services) with Udyam registration.

Hook: MSME = THREE BROTHERS, TWO MEASURING TAPES → investment + turnover decide the size.

Example: Tiruppur's knitwear units and Coimbatore's pump manufacturers are classic Tamil Nadu MSME clusters.

INDUSTRY

233

Index of Industrial Production (IIP)

TOUGH

Simple meaning: The monthly report card of India's factories, mines and power plants.

Technical definition: A monthly index measuring the volume of industrial output across three sectors — mining, manufacturing and electricity — released by the NSO (MoSPI) with base year 2011-12.

TNPSC key point: IIP is released MONTHLY by NSO, base year 2011-12; MANUFACTURING carries the highest weight (about 78%) among its three sectors.

Hook: IIP = MONTHLY FACTORY REPORT CARD → mining + manufacturing + electricity, base 2011-12.

Example: A festival-season surge in vehicle and textile production shows up as a jump in India's IIP numbers.

INDUSTRY

234

Core Industries (Eight Core Sectors)

ADVANCED

Simple meaning: The eight backbone industries the rest of the economy stands on.

Technical definition: Coal, crude oil, natural gas, refinery products, fertilisers, steel, cement and electricity — tracked by a monthly Index of Eight Core Industries because their output feeds every other sector.

TNPSC key point: The eight core sectors carry about 40% weight in the IIP; REFINERY PRODUCTS has the highest weight among the eight.

Hook: CORE = EIGHT PILLARS UNDER THE ECONOMY → about 40% of the whole IIP.

> **DO NOT CONFUSE:** vs IIP — the eight core sectors are only a PART of the IIP with roughly 40% weight; the core index is not the IIP itself.

Example: Neyveli's lignite (coal) and Salem's steel plant in Tamil Nadu belong to India's core sectors.

INDUSTRY

235

Public-Private Partnership (PPP model)

TOUGH

Simple meaning: Government and private companies build big projects together.

Technical definition: A long-term contract where a private partner finances, builds and operates public infrastructure (roads, ports, metros) sharing risks with government — via models like BOT and BOOT, often supported by Viability Gap Funding.

TNPSC key point: PPP = government + private sector sharing cost and RISK in infrastructure; BOT (Build-Operate-Transfer) is the classic model.

Hook: PPP = TWO HANDS, ONE KEY → public plus private builds the infrastructure.

> **DO NOT CONFUSE:** vs Purchasing Power Parity — same letters, different world: PPP model = Public-Private Partnership in infrastructure; Purchasing Power Parity compares currencies by price levels.

Example: Many national highway stretches and airport modernisations in India are built on the PPP (BOT) model.

INDUSTRY

236 Special Economic Zone (SEZ)

TOUGH

Simple meaning: A special export zone with tax breaks and easy rules.

Technical definition: A duty-free enclave deemed foreign territory for trade operations and duties, with tax incentives and simplified procedures to boost exports, investment and jobs — governed by the SEZ Act, 2005.

TNPSC key point: SEZ Act passed in 2005 (in force 2006); Asia's FIRST export processing zone was set up at Kandla, Gujarat in 1965.

Hook: SEZ = FOREIGN TERRITORY INSIDE INDIA → duty-free enclave for exports.

Example: Madras Export Processing Zone (MEPZ) in Chennai, one of India's earliest zones, now functions as an SEZ.

INDUSTRY

237 Gig Economy TOUGH

Simple meaning: Short-term, app-based work instead of permanent jobs.

Technical definition: A labour market of flexible, task-based work — often mediated by digital platforms — where workers earn per "gig" without traditional employer-employee benefits.

TNPSC key point: "Gig worker" and "platform worker" were legally defined for the first time in the Code on Social Security, 2020.

Hook: GIG = ONE WORKER, MANY APPS, PAY PER TASK → flexible work, no fixed job.

Example: Food-delivery and cab-hailing riders across Chennai and other Indian cities are gig workers.

INDUSTRY

238 Minimum Wage MODERATE

Simple meaning: The lowest wage an employer is legally allowed to pay.

Technical definition: The statutory floor wage below which no employer may pay, first fixed under the Minimum Wages Act, 1948; the Code on Wages, 2019 universalises it and empowers a national floor wage.

TNPSC key point: Minimum Wages Act 1948; the Code on Wages 2019 extends minimum wages to ALL workers and provides for a national floor wage.

Hook: MINIMUM WAGE = THE LEGAL PAY BAR → no wage may slip below it.

> **DO NOT CONFUSE:** vs Living Wage — minimum wage is the legal bare floor; living wage is higher, covering a decent life (education, health, comfort) and is a Directive Principle goal (Article 43).

Example: Tamil Nadu notifies minimum wages for scheduled employments like construction and textile work.

INDUSTRY

239 MGNREGA MODERATE

Simple meaning: A law guaranteeing 100 days of paid work a year to rural households.

Technical definition: The Mahatma Gandhi National Rural Employment Guarantee Act, 2005 — a demand-driven LEGAL guarantee of at least 100 days of unskilled manual wage employment per rural household per year, with unemployment allowance if work is not given within 15 days.

TNPSC key point: MGNREGA (2005) gives a statutory RIGHT to 100 days of work per rural HOUSEHOLD — employment guarantee is a legal entitlement, not a scheme favour.

Hook: MGNREGA = SPADE + LEGAL SCROLL → 100 days of work as a right, since 2005.

Example: Rural women in Tamil Nadu form a large share of MGNREGA workers deepening ponds and laying village roads.

INDUSTRY

240 Trade Union MODERATE

Simple meaning: Workers joining together to bargain with employers as one voice.

Technical definition: A registered association of workers formed to protect wages, safety and working conditions through collective bargaining; recognised under the Trade Unions Act, 1926 (now subsumed in the Industrial Relations Code, 2020).

TNPSC key point: Trade Unions Act 1926 gave unions legal status; the right to form unions flows from Article 19(1)(c) (freedom of association).

Hook: TRADE UNION = ONE GIANT MEGAPHONE OF WORKERS → collective bargaining power.

Example: The Madras Labour Union (1918), among India's earliest organised unions, was formed by textile workers in Chennai.

TRADE

241 Balance of Trade MODERATE

Simple meaning: Exports of goods minus imports of goods.

Technical definition: The difference between the value of a country's merchandise (visible goods) exports and imports over a period; surplus if exports exceed imports, deficit if imports exceed exports.

TNPSC key point: Balance of Trade counts GOODS ONLY (visible trade) — services and money transfers are excluded.

Hook: BoT = SHIPS-ONLY WEIGHING SCALE → goods exports vs goods imports, nothing else.

> **DO NOT CONFUSE:** vs Balance of Payments — BoT covers goods only; BoP records ALL transactions with the world: goods, services, transfers and capital flows.

Example: India's large crude oil and gold imports keep its balance of trade in persistent deficit.

TRADE

242 Balance of Payments (BoP)

TOUGH

Simple meaning: The complete account book of ALL money flowing in and out of a country.

Technical definition: A systematic record of all economic transactions between a country's residents and the rest of the world in a period — goods, services, income, transfers (current account) plus investments and loans (capital account).

TNPSC key point: BoP = current account + capital account, and in the accounting sense it always BALANCES.

Hook: BoP = THE BORDER'S FULL LEDGER → every transaction with the world, always balancing.

> **DO NOT CONFUSE:** vs Balance of Trade — BoT is just the goods line inside the BoP; BoP is the whole book covering goods, services, transfers and capital.

Example: India's 1991 crisis was a BoP crisis — forex reserves fell to barely a few weeks of imports, forcing reforms.

TRADE

243 Current Account TOUGH

Simple meaning: The part of BoP for everyday flows — trade, services, income and gifts.

Technical definition: The BoP account recording trade in goods and services, primary income (interest, profits, wages) and current transfers (remittances, gifts, grants) — the country's regular dealings with the world.

TNPSC key point: Current account = goods + SERVICES + income + transfers (remittances); it does NOT include investments or loans.

Hook: CURRENT = DAILY-EARNINGS COUNTER → trade, services, income, remittances.

> **DO NOT CONFUSE:** vs Capital Account — current account is trade in goods/services, income and transfers; capital account is investments, loans and banking capital.

Example: Remittances from Tamil workers in the Gulf enter India's BoP through the current account.

TRADE

244 Capital Account TOUGH

Simple meaning: The part of BoP for investments and loans crossing the border.

Technical definition: The BoP account recording transactions that change assets and liabilities — FDI, portfolio investment (FPI), external loans and borrowings, and banking capital, along with changes in forex reserves.

TNPSC key point: Capital account = FDI + FPI + loans/ECB + banking capital — it is these inflows that FINANCE a current account deficit.

Hook: CAPITAL = THE VAULT COUNTER → investments and loans, not daily trade.

> **DO NOT CONFUSE:** vs Current Account — capital account handles investments, loans and banking capital; current account handles goods, services, income and transfers.

Example: A Korean carmaker's investment in its Chennai plant enters India's BoP through the capital account as FDI.

TRADE

245 Current Account Deficit (CAD)

TOUGH

Simple meaning: The country pays more to the world than it earns from it in regular dealings.

Technical definition: The excess of current account payments (imports of goods and services, income paid out) over current account receipts (exports, income and remittances received), usually expressed as a percentage of GDP.

TNPSC key point: CAD is an EXTERNAL gap financed by capital account inflows (FDI/FPI/loans) — always quoted as % of GDP.

Hook: CAD = LEAKING EARNINGS BUCKET → world payments exceed world earnings.

> **DO NOT CONFUSE:** vs Fiscal Deficit — CAD is the country's gap WITH THE WORLD (external); fiscal deficit is the GOVERNMENT's budget gap at home (internal borrowing need).

Example: When global crude oil prices spike, India's import bill swells and its CAD widens.

TRADE

246 Terms of Trade ADVANCED

Simple meaning: How many imports one unit of exports can buy.

Technical definition: The ratio of a country's export price index to its import price index (multiplied by 100); a rise means export prices have improved relative to import prices — favourable terms of trade.

TNPSC key point: Terms of Trade = (Export price index / Import price index) x 100 — IMPROVEMENT means exports buy MORE imports.

Hook: ToT = WHAT ONE EXPORT SACK FETCHES → export prices vs import prices.

Example: When world crude prices crash, India's terms of trade improve — the same exports pay for far more oil.

TRADE

247 Comparative Advantage

ADVANCED

Simple meaning: Each country should make what it gives up least to make.

Technical definition: David Ricardo's theory that countries gain by specialising in goods with the LOWER OPPORTUNITY COST and trading — beneficial even when one country is absolutely better at producing everything.

TNPSC key point: Comparative advantage (Ricardo) rests on OPPORTUNITY COST — trade pays even when one nation holds absolute advantage in ALL goods.

Hook: COMPARATIVE ADVANTAGE = LAWYER GIVES UP THE TYPING → specialise where opportunity cost is lowest.

> **DO NOT CONFUSE:** vs Absolute Advantage — absolute (Adam Smith) = simply producing more efficiently; comparative (Ricardo) = lower OPPORTUNITY cost, so trade benefits both even when one country is better at everything.

Example: India exports software services and imports crude oil — specialising by comparative advantage.

TRADE

248 Tariff

MODERATE

Simple meaning: A tax charged on imported goods at the border.

Technical definition: A customs duty levied on imports (occasionally exports) that raises the price of foreign goods, protecting domestic producers and earning government revenue.

TNPSC key point: A tariff is a TAX (customs duty) — it raises import PRICES and gives the government REVENUE.

Hook: TARIFF = PRICE-STICKER SLAP AT THE BORDER → import tax that shields local goods.

> **DO NOT CONFUSE:** vs Quota — a tariff TAXES imports (any quantity may enter, at a higher price); a quota LIMITS the quantity allowed in and earns no direct tax revenue.

Example: India levies customs duty on imported gold, both to earn revenue and to curb the import bill.

TRADE

249 Dumping

TOUGH

Simple meaning: Selling exports abroad cheaper than at home to capture the market.

Technical definition: Exporting a product at a price below its normal value (home-market price or cost) to grab foreign market share; the importing country may counter it with an anti-dumping duty, which WTO rules permit.

TNPSC key point: Dumping = exporting BELOW home price; the remedy is an ANTI-DUMPING DUTY (recommended in India by DGTR, imposed by the Finance Ministry).

Hook: DUMPING = TRUCK TIPS CHEAP GOODS ON THE MARKET → below-home-price exports, answered by anti-dumping duty.

Example: India has repeatedly imposed anti-dumping duties on cheap Chinese steel and chemicals to protect domestic industry.

TRADE

250 World Trade Organization (WTO)

MODERATE

Simple meaning: The global referee that sets and enforces trade rules between countries.

Technical definition: The multilateral body governing international trade rules and settling trade disputes; established on 1 January 1995 under the Marrakesh Agreement as the successor to GATT (1948).

TNPSC key point: WTO: born 1995, successor of GATT, headquarters GENEVA (Switzerland); India is a founding member; the Ministerial Conference is its top decision-making body. Current membership count: [CURRENT DATA — VERIFY SEPARATELY].

Hook: WTO = GENEVA'S TRADE REFEREE → 1995 successor of GATT with the rulebook.

Example: India defends its MSP-based food procurement at the WTO under the "peace clause" in agriculture negotiations.

EXCHANGE

251 Globalisation

MODERATE

Simple meaning: Connecting our country's economy with the whole world for trade, money and ideas.

Technical definition: The integration of a national economy with the world economy through free flow of goods, services, capital, technology and labour across borders.

TNPSC key point: Globalisation is the "G" of the LPG Reforms of 1991 (Liberalisation, Privatisation, Globalisation), launched after the Balance of Payments crisis.

Hook: GLOBALISATION = GLOBE WITH HANDSHAKE BRIDGES → one world economy, all connected.

Example: After 1991, Chennai became a global auto hub ("Detroit of Asia") with Hyundai, Ford and other foreign carmakers setting up plants in Tamil Nadu.

EXCHANGE

252 Protectionism

TOUGH

Simple meaning: Government blocking or taxing foreign goods to protect home industries.

Technical definition: A trade policy that shields domestic industries from foreign competition using tariffs, quotas, import licences and other barriers.

TNPSC key point: Protectionism uses two main weapons — tariffs (tax on imports) and quotas (quantity limits on imports); it is the opposite of free trade.

Hook: PROTECTIONISM = BORDER SHIELD → block foreign goods, protect home industry.

> **DO NOT CONFUSE:** vs Free Trade — Protectionism raises barriers (tariffs, quotas); free trade removes barriers and lets goods flow freely.

Example: Before 1991, India protected its industries with high tariffs and import licences; even today higher duties on some imports protect Indian producers.

EXCHANGE

253 Import Substitution ADVANCED

Simple meaning: Making goods at home instead of buying them from foreign countries.

Technical definition: An inward-looking trade strategy that replaces imports with domestic production, usually behind high tariff walls and licences.

TNPSC key point: Import substitution was India's dominant strategy from the Second Five Year Plan until the 1991 reforms replaced it with an outward-looking, export-oriented approach.

Hook: IMPORT SUBSTITUTION = FACTORY REPLACES SHIP → make at home, don't import.

> **DO NOT CONFUSE:** vs Export Promotion — import substitution looks inward (produce for home market); export promotion looks outward (produce to sell abroad).

Example: Pre-1991 India built public sector steel and machinery plants to avoid imports; today's "Make in India" and PLI schemes echo the idea of producing locally.

EXCHANGE

254 Exchange Rate MODERATE

Simple meaning: The price of one country's money in terms of another country's money.

Technical definition: The rate at which one currency can be exchanged for another, e.g. how many rupees buy one US dollar.

TNPSC key point: India currently follows a managed (or "dirty") floating exchange rate system — the market decides the rate, but RBI intervenes to control excessive volatility.

Hook: EXCHANGE RATE = PRICE TAG ON CURRENCY → what one money costs in another money.

Example: A Tiruppur garment exporter checks the rupee-dollar exchange rate daily, because a weaker rupee means more rupees for every dollar of T-shirts sold abroad.

EXCHANGE

255 Fixed Exchange Rate TOUGH

Simple meaning: The government or central bank locks the currency's value at a fixed level.

Technical definition: An exchange rate regime where the currency's value is officially pegged to another currency or gold, and the central bank buys or sells forex to maintain that peg.

TNPSC key point: Under a fixed regime, only the government/central bank can change the rate — a deliberate cut is called devaluation, a deliberate rise is revaluation.

Hook: FIXED RATE = PADLOCKED NOTE → government locks the value; market cannot move it.

> **DO NOT CONFUSE:** vs Floating Exchange Rate — fixed is set by the government/central bank; floating is set by market demand and supply.

Example: India followed a fixed/pegged exchange rate system after Independence; the rupee was officially devalued under this regime in 1949, 1966 and 1991.

EXCHANGE

256 Floating Exchange Rate TOUGH

Simple meaning: The market — buyers and sellers of currency — decides the currency's value.

Technical definition: An exchange rate regime where the currency's value is determined by demand and supply in the foreign exchange market, without an official peg.

TNPSC key point: In a floating regime, a market-driven fall is depreciation and a market-driven rise is appreciation; India moved to market-determined rates in 1993 (managed floating).

Hook: FLOATING RATE = NOTE ON WAVES → market waves of demand and supply set the value.

> **DO NOT CONFUSE:** vs Fixed Exchange Rate — floating moves with market forces; fixed stays locked until the government itself changes it.

Example: Since 1993 the rupee's daily value against the dollar is market-determined, with RBI stepping in only to smooth wild swings.

EXCHANGE

257 Currency Depreciation TOUGH

Simple meaning: The currency loses value on its own because of market forces.

Technical definition: A fall in the value of a currency against foreign currencies due to market demand and supply, under a floating exchange rate regime.

TNPSC key point: Depreciation is caused by MARKET FORCES in a floating regime — no government order involved; it makes exports cheaper and imports costlier.

Hook: DEPRECIATION = LEAKING BALLOON IN THE MARKET → value falls by itself, market's doing.

> **DO NOT CONFUSE:** vs Devaluation — depreciation is a market-driven fall (floating regime); devaluation is a deliberate official cut by the government/central bank (fixed regime).

Example: When the rupee slides against the dollar in forex trading, Chennai IT exporters earn more rupees per dollar, but petrol imports become costlier for India.

EXCHANGE

258 Devaluation TOUGH

Simple meaning: The government itself officially cuts the currency's value.

Technical definition: A deliberate downward adjustment of a currency's official value by the government or central bank under a fixed exchange rate regime, usually to boost exports.

TNPSC key point: India devalued the rupee THREE times — 1949, 1966 and 1991 — all deliberate government/RBI decisions, not market events.

Hook: DEVALUATION = GOVERNMENT'S SWORD CUT → official, deliberate value cut (1949, 1966, 1991).

> **DO NOT CONFUSE:** vs Depreciation — devaluation is announced by the government under a fixed regime; depreciation happens quietly through market forces under a floating regime.

Example: In July 1991, during the BoP crisis, India devalued the rupee in two quick steps to make exports competitive and rebuild forex reserves.

EXCHANGE

259 Currency Appreciation TOUGH

Simple meaning: The currency gains value on its own because of market forces.

Technical definition: A rise in the value of a currency against foreign currencies due to market demand and supply, under a floating exchange rate regime.

TNPSC key point: Appreciation is MARKET-driven (floating regime); it makes imports cheaper and exports costlier — the exact mirror of depreciation.

Hook: APPRECIATION = RISING BALLOON → market demand lifts the currency's value up.

> **DO NOT CONFUSE:** vs Revaluation — appreciation is a market-driven rise; revaluation is a deliberate official increase by the government under a fixed regime.

Example: When heavy foreign investment flows into India, demand for rupees rises and the rupee appreciates — good news for students paying fees abroad, tough news for Tiruppur exporters.

EXCHANGE

260 Revaluation TOUGH

Simple meaning: The government itself officially raises the currency's value.

Technical definition: A deliberate upward adjustment of a currency's official value by the government or central bank under a fixed exchange rate regime.

TNPSC key point: Remember the 2x2 grid — market fall = depreciation, market rise = appreciation, official fall = devaluation, official RISE = REVALUATION.

Hook: REVALUATION = OFFICIAL CRANE LIFT → government deliberately raises the currency's value.

> **DO NOT CONFUSE:** vs Appreciation — revaluation is an official act under a fixed regime; appreciation is the market doing it by itself under a floating regime.

Example: India has devalued but not revalued the rupee; a classic world example is China occasionally revaluing the yuan upward under its managed peg.

FOREIGN INVESTMENT

261 Foreign Direct Investment (FDI)

MODERATE

Simple meaning: Foreign company puts long-term money into building real business here — factories, machines, jobs.

Technical definition: Long-term investment by a foreign entity giving it ownership and management control (controlling stake) in a domestic enterprise, typically in plant, machinery and operations.

TNPSC key point: FDI = long-term + controlling stake + physical assets (plant and machinery); it is stable capital that cannot flee overnight, unlike FPI.

Hook: FDI = FACTORY FROM A SUITCASE WITH ROOTS → long-term foreign money that builds and stays.

> **DO NOT CONFUSE:** vs FPI — FDI builds factories and takes controlling stake for the long term; FPI just buys shares/bonds as "hot money" and can flee in a day.

Example: Hyundai's car plant at Sriperumbudur near Chennai is FDI — Korean capital permanently invested in Tamil Nadu's land, machinery and workforce.

FOREIGN INVESTMENT

262

Foreign Portfolio Investment (FPI)

TOUGH

Simple meaning: Foreigners buying our shares and bonds only to earn returns, not to run companies.

Technical definition: Short-term investment by foreign investors in a country's financial assets — shares, bonds, securities — without ownership control of any company.

TNPSC key point: FPI is called "hot money" — it enters and exits fast through stock markets and can flee the country overnight during a crisis.

Hook: FPI = SPRINTER WITH SHARES → quick money in, quick money out — hot money.

> **DO NOT CONFUSE:** vs FDI — FPI buys paper assets short-term with no control; FDI builds real assets long-term with a controlling stake.

Example: Foreign funds buying Infosys or TCS shares on the NSE are FPI; when global panic hits, such funds sell Indian shares and the rupee weakens.

FOREIGN INVESTMENT

263 Capital Account Convertibility

ADVANCED

Simple meaning: Freedom to convert rupees into foreign currency for buying assets abroad — investments, property, shares.

Technical definition: The freedom to convert domestic currency into foreign currency (and back) for capital transactions — investment in foreign assets, loans and property — without restrictions.

TNPSC key point: India has FULL current account convertibility (since 1994) but only PARTIAL capital account convertibility; the Tarapore Committee laid down the roadmap for fuller convertibility.

Hook: CAC = THE HALF-OPEN DOOR → India's capital account is only partly convertible; current account door is fully open.

> **DO NOT CONFUSE:** vs Current Account Convertibility — current account (trade, travel, remittances) is FULLY convertible since 1994; capital account (assets, investments) is only PARTIALLY convertible.

Example: An Indian can freely convert rupees to dollars to pay for imports (current account), but converting large sums to buy foreign assets faces RBI limits like the Liberalised Remittance Scheme.

FOREIGN INVESTMENT

264 Hot Money ADVANCED

Simple meaning: Foreign money that rushes in for quick profit and rushes out at the first sign of trouble.

Technical definition: Short-term speculative capital that moves rapidly between countries chasing higher interest rates or quick market gains, typically through portfolio flows.

TNPSC key point: FPI flows are the classic form of hot money — their sudden exit can crash the stock market and cause sharp rupee depreciation.

Hook: HOT MONEY = BURNING NOTES WITH WINGS → too hot to hold, flies out fast.

Example: When US interest rates rise, hot money often exits Indian stock markets for American bonds, pulling down the SENSEX and pressuring the rupee.

FOREIGN INVESTMENT

265 Participatory Notes ADVANCED

Simple meaning: A backdoor ticket that lets unregistered foreigners invest in Indian shares through registered foreign investors.

Technical definition: Offshore derivative instruments issued by SEBI-registered FPIs to overseas investors who are not registered in India, giving them exposure to Indian securities anonymously.

TNPSC key point: P-Notes let the actual investor stay anonymous — raising money-laundering concerns — which is why SEBI has repeatedly tightened P-Note rules.

Hook: P-NOTES = TICKET BOUGHT BY PROXY → invest in India without showing your face.

Example: An unregistered overseas fund wanting exposure to Indian shares can buy P-Notes from a SEBI-registered FPI instead of registering itself with SEBI.

FOREIGN INVESTMENT

266 External Commercial Borrowing (ECB)

ADVANCED

Simple meaning: Indian companies taking loans from foreign lenders in foreign currency.

Technical definition: Commercial loans — bank loans, bonds, buyers' credit — raised by eligible Indian entities from non-resident lenders, regulated by the RBI under FEMA guidelines.

TNPSC key point: ECB is DEBT (a loan to be repaid with interest), not equity investment like FDI — and it carries currency risk if the rupee depreciates before repayment.

Hook: ECB = FISHING DOLLARS FROM ABROAD → foreign loan, must repay in foreign currency.

Example: Large Indian corporates like power and infrastructure companies raise ECBs from global banks because foreign interest rates can be lower than domestic rates.

FOREIGN INVESTMENT

267 Remittances MODERATE

Simple meaning: Money sent home by people working in foreign countries.

Technical definition: Private money transfers sent by migrants working abroad to their families in the home country; recorded in the CURRENT account of the Balance of Payments.

TNPSC key point: India is among the world's largest recipients of remittances, and remittances appear in the current account (not capital account) of the BoP.

Hook: REMITTANCES = MONEY METEOR FROM ABROAD → workers' earnings flying home to family.

Example: Lakhs of Tamil workers in Singapore, Malaysia and the Gulf send money home every month, supporting families and boosting India's current account.

FOREIGN INVESTMENT

268 Forex Reserves MODERATE

Simple meaning: The country's emergency stock of foreign money and gold, kept by RBI.

Technical definition: Foreign exchange assets held by the RBI, comprising foreign currency assets, gold, SDRs and the Reserve Tranche Position with the IMF.

TNPSC key point: The four components — Foreign Currency Assets (largest), Gold, SDRs, Reserve Tranche Position — all held and managed by the RBI; the 1991 crisis hit when reserves fell to barely a few weeks of imports.

Hook: FOREX RESERVES = RBI'S FOUR-PILE TREASURE CHEST → the nation's foreign money safety stock.

Example: In 1991 India's reserves were so low that gold was airlifted abroad as collateral for loans — the trigger for the LPG reforms.

FOREIGN INVESTMENT

269 Real Effective Exchange Rate (REER)

ADVANCED

Simple meaning: The rupee's average value against a basket of currencies, corrected for inflation differences.

Technical definition: The weighted average of a currency's exchange rate against a basket of trading partners' currencies, adjusted for relative inflation differentials between the countries.

TNPSC key point: REER = NEER adjusted for inflation differentials — REER is the true measure of export competitiveness; a rising REER means exports are losing competitiveness.

Hook: REER = NEER WEARING INFLATION GOGGLES → basket rate corrected for inflation.

> **DO NOT CONFUSE:** vs NEER — NEER is the plain weighted-basket rate; REER is NEER adjusted for inflation differentials.

Example: RBI publishes REER indices for the rupee; if India's inflation runs higher than partners', the REER rises even when the nominal rate is steady, hurting Tiruppur's export edge.

FOREIGN INVESTMENT

270 Currency Swap ADVANCED

Simple meaning: Two countries or parties agree to exchange currencies now and reverse the exchange later.

Technical definition: An agreement to exchange principal (and interest) in one currency for another at a pre-fixed rate, reversing the exchange on a set future date — used to secure forex and stabilise currencies.

TNPSC key point: RBI operates currency swap arrangements (e.g. with SAARC countries) to provide dollar/rupee liquidity and shield partner economies from forex crises.

Hook: CURRENCY SWAP = BRIEFCASE EXCHANGE WITH AN ALARM CLOCK → trade currencies now, swap back later.

Example: Under the SAARC currency swap framework, RBI has extended swap support to neighbours like Sri Lanka and the Maldives during forex stress.

FINANCIAL MARKETS

271 Money Market TOUGH

Simple meaning: The market for borrowing and lending money for short periods — up to one year.

Technical definition: The market for short-term funds and instruments with maturity up to one year — Treasury Bills, Commercial Paper, Certificates of Deposit and call money — largely regulated by the RBI.

TNPSC key point: Money market = SHORT-term (up to 1 year); its instruments are T-Bills, CP, CD and call money; RBI is the key regulator.

Hook: MONEY MARKET = FAST-FOOD CASH COUNTER → quick short-term money, one year maximum.

DO NOT CONFUSE: vs Capital Market — money market handles short-term funds (up to 1 year: T-Bills, CP, CD, call money); capital market handles long-term funds (shares, bonds).

Example: An Indian bank short of cash for a day borrows overnight in the call money market instead of issuing long-term bonds.

FINANCIAL MARKETS

272 Capital Market TOUGH

Simple meaning: The market where long-term money is raised through shares and bonds.

Technical definition: The market for long-term funds (maturity above one year) through instruments like equity shares, debentures and bonds; regulated in India mainly by SEBI.

TNPSC key point: Capital market = LONG-term funds via shares and bonds, regulated by SEBI; it splits into primary market (new issues) and secondary market (trading).

Hook: CAPITAL MARKET = DEEP-ROOTED MONEY TREE → long-term funds through shares and bonds.

DO NOT CONFUSE: vs Money Market — capital market is long-term (shares, bonds, SEBI); money market is short-term up to one year (T-Bills, CP, CD, RBI).

Example: A Chennai manufacturing company issuing shares on the BSE to fund a new plant is raising long-term money in the capital market.

FINANCIAL MARKETS

273 Primary Market TOUGH

Simple meaning: The market where companies sell brand-new shares directly to investors for the first time.

Technical definition: The market for fresh issues of securities, where companies raise new capital directly from investors through IPOs, FPOs and rights issues; money goes to the company.

TNPSC key point: Primary market = NEW issues (IPO) — the company itself receives the money; it is also called the "new issues market".

Hook: PRIMARY MARKET = FRESH-INK SHOWROOM → new shares born here, money goes to the company.

DO NOT CONFUSE: vs Secondary Market — primary sells NEW securities (company gets the money); secondary trades EXISTING securities between investors (company gets nothing).

Example: When an Indian startup launches its IPO, investors applying for those new shares are buying in the primary market.

FINANCIAL MARKETS

274 Secondary Market TOUGH

Simple meaning: The market where investors buy and sell already-issued shares among themselves.

Technical definition: The market where existing securities are traded between investors on stock exchanges like BSE and NSE; the issuing company receives no money from these trades.

TNPSC key point: Secondary market trades EXISTING securities — the daily buying and selling on BSE/NSE; it gives liquidity but no fresh funds to the company.

Hook: SECONDARY MARKET = SECOND-HAND SHARE BAZAAR → old shares change hands, company gets nothing.

DO NOT CONFUSE: vs Primary Market — secondary is investor-to-investor trading of existing shares; primary is company-to-investor sale of new shares.

Example: Buying TCS shares today through a broker on the NSE is a secondary market transaction — your money goes to the seller, not to TCS.

FINANCIAL MARKETS

275 Treasury Bill (T-Bill) ADVANCED

Simple meaning: A short-term IOU of the central government, sold cheap and repaid at full face value.

Technical definition: A short-term, zero-coupon money market instrument of the Government of India (91, 182 and 364 days), issued at a discount and redeemed at face value; the discount is the return.

TNPSC key point: T-Bills pay NO interest (zero coupon) — return comes from the discount; issued only by the CENTRAL government (state governments cannot issue T-Bills).

Hook: T-BILL = DISCOUNT TICKET → buy below face value, redeem at full value, no coupon.

DO NOT CONFUSE: vs G-Sec — T-Bill is short-term (up to 364 days) and zero coupon at a discount; G-Sec is long-term and pays regular coupon interest.

Example: Indian banks park surplus short-term funds in 91-day T-Bills auctioned by the RBI on behalf of the Government of India.

FINANCIAL MARKETS

276 Commercial Paper ADVANCED

Simple meaning: A short-term IOU issued by big companies to borrow money quickly.

Technical definition: An unsecured, short-term money market instrument issued as a promissory note by highly-rated companies at a discount to raise working capital.

TNPSC key point: Commercial Paper is issued by COMPANIES (corporates), is unsecured, and belongs to the money market (short-term) — introduced in India in 1990.

Hook: COMMERCIAL PAPER = COMPANY'S PAPER PLANE IOU → short-term unsecured borrowing by corporates.

DO NOT CONFUSE: vs Certificate of Deposit — Commercial Paper is issued by COMPANIES; Certificate of Deposit is issued by BANKS.

Example: A highly-rated Indian corporate like a large NBFC or manufacturer issues Commercial Paper to fund short-term working capital needs instead of taking a bank loan.

FINANCIAL MARKETS

277 Certificate of Deposit

ADVANCED

Simple meaning: A short-term deposit receipt issued by a bank for large sums of money.

Technical definition: A negotiable, short-term money market instrument issued by banks (and select financial institutions) against large deposits at a discount or fixed rate.

TNPSC key point: Certificate of Deposit is issued by BANKS — the mirror twin of Commercial Paper (issued by companies); both are short-term money market instruments.

Hook: CD = BANK'S GOLDEN RECEIPT → banks issue it for big short-term deposits.

> **DO NOT CONFUSE:** vs Commercial Paper — CD comes from BANKS; CP comes from COMPANIES. Remember: C-D = "Come, Deposit (in a bank)".

Example: An Indian mutual fund parks a large sum for three months by buying a Certificate of Deposit issued by a scheduled commercial bank.

FINANCIAL MARKETS

278 Call Money Market

ADVANCED

Simple meaning: The market where banks lend money to each other for just one day.

Technical definition: The interbank market for very short-term funds — overnight borrowing is call money, 2 to 14 days is notice money; the interest rate is the call rate.

TNPSC key point: Call money = OVERNIGHT interbank lending; the call rate is the most sensitive indicator of liquidity in the banking system.

Hook: CALL MONEY = MIDNIGHT ZIP-LINE CASH → banks lending to banks, overnight only.

Example: An Indian bank falling short of its CRR requirement on a given day borrows overnight in the call money market to meet the RBI's reserve rule.

FINANCIAL MARKETS

279 Government Securities (G-Sec)

TOUGH

Simple meaning: Long-term bonds issued by the government that pay regular interest.

Technical definition: Tradeable debt instruments issued by the central or state governments; dated G-Secs are long-term and pay a fixed coupon, and are considered risk-free (sovereign) securities.

TNPSC key point: G-Secs are LONG-term and pay COUPON interest — unlike T-Bills (short-term, zero coupon); state government versions are called State Development Loans (SDLs).

Hook: G-SEC = GRANDFATHER CLOCK BOND → long life, regular coupon chimes, government guaranteed.

> **DO NOT CONFUSE:** vs T-Bill — G-Sec is long-term with coupon interest; T-Bill is short-term (up to 364 days), zero coupon, sold at a discount.

Example: Indian banks hold G-Secs to meet the SLR requirement; the Tamil Nadu government raises long-term funds by issuing State Development Loans.

FINANCIAL MARKETS

280 Bond Yield

ADVANCED

Simple meaning: The actual return an investor earns from a bond at its current market price.

Technical definition: The effective annual return on a bond, calculated from its coupon relative to its current market price; yield changes as the bond's price changes in the market.

TNPSC key point: Bond price and bond yield move in OPPOSITE directions — when bond prices rise, yields FALL; when prices fall, yields RISE.

Hook: BOND YIELD = SEE-SAW WITH PRICE → price up, yield down; price down, yield up.

Example: When RBI cuts the repo rate and investors rush to buy existing G-Secs, their prices climb and the 10-year G-Sec yield — India's benchmark — falls.

STOCK MARKET

281 Equity Share

MODERATE

Simple meaning: A share that makes you a part-owner of the company.

Technical definition: A unit of ownership capital in a company that carries voting rights and a claim on profits through dividends, which are not fixed or guaranteed.

TNPSC key point: Equity shareholders are OWNERS — they get dividends (variable, not guaranteed) and voting rights, and are paid LAST if the company winds up.

Hook: EQUITY SHARE = CROWNED CERTIFICATE → ownership, votes, variable dividends.

> **DO NOT CONFUSE:** vs Debenture — equity share means ownership with variable dividend; debenture means loan with fixed interest and no ownership.

Example: Buying one equity share of an Indian company like TVS Motor makes you a part-owner entitled to dividends and a vote at its annual general meeting.

STOCK MARKET

282 Debenture

TOUGH

Simple meaning: A loan you give to a company in return for fixed interest.

Technical definition: A long-term debt instrument issued by a company promising fixed interest and repayment of principal; debenture holders are creditors, not owners.

TNPSC key point: Debenture holders are CREDITORS — fixed interest must be paid even in loss years, and they rank ahead of equity shareholders during winding up.

Hook: DEBENTURE = MONEYLENDER'S BELL → fixed interest loan to the company, no ownership.

> **DO NOT CONFUSE:** vs Equity Share — debenture is a LOAN earning fixed interest (creditor); equity is OWNERSHIP earning variable dividend (owner).

Example: Indian NBFCs frequently raise funds by issuing non-convertible debentures (NCDs) to the public, paying a fixed interest rate.

STOCK MARKET

283 Initial Public Offering (IPO)

MODERATE

Simple meaning: A private company sells its shares to the public for the very first time.

Technical definition: The first sale of a company's shares to the general public in the primary market, after which the shares get listed and traded on a stock exchange; regulated by SEBI.

TNPSC key point: IPO is a PRIMARY market event (fresh issue, company receives the money) and is regulated by SEBI; after the IPO, shares trade in the secondary market.

Hook: IPO = COMPANY'S GRAND DEBUT SHOW → first-ever public sale of shares.

Example: When a Chennai-based company lists on the NSE by offering shares to the public for the first time, investors across Tamil Nadu apply for its IPO through their demat accounts.

STOCK MARKET

284 SENSEX & NIFTY

MODERATE

Simple meaning: The two famous scoreboards showing how India's stock market is performing.

Technical definition: Benchmark stock indices — SENSEX tracks 30 large stocks on the Bombay Stock Exchange (BSE); NIFTY tracks 50 large stocks on the National Stock Exchange (NSE).

TNPSC key point: SENSEX = 30 stocks on BSE; NIFTY = 50 stocks on NSE — memorise the pairing 30-BSE and 50-NSE.

Hook: SENSEX-30-BSE, NIFTY-50-NSE → two scoreboards, remember the numbers with the exchanges.

Example: Evening Tamil news bulletins report "Sensex up, Nifty up" daily — those movements reflect the shares of India's biggest companies on the BSE and NSE.

STOCK MARKET

285 Bull Market

MODERATE

Simple meaning: A market where prices keep rising and everyone is hopeful.

Technical definition: A prolonged period of rising share prices driven by optimism and strong buying; a "bull" is an investor who expects prices to rise.

TNPSC key point: Bull = OPTIMIST = RISING market — a bull attacks by tossing its horns UPWARD, so bull market means prices going up.

Hook: BULL = HORNS TOSS UP → optimism, rising prices.

> **DO NOT CONFUSE:** vs Bear Market — bull tosses prices UP (optimism, rising); bear swipes prices DOWN (pessimism, falling).

Example: After the 1991 reforms and again in the mid-2000s, Indian markets saw famous bull runs where the SENSEX multiplied within a few years.

STOCK MARKET

286 Bear Market

MODERATE

Simple meaning: A market where prices keep falling and everyone is fearful.

Technical definition: A prolonged period of falling share prices driven by pessimism and heavy selling; a "bear" is an investor who expects prices to fall.

TNPSC key point: Bear = PESSIMIST = FALLING market — a bear attacks by swiping its paw DOWNWARD, so bear market means prices going down.

Hook: BEAR = PAW SWIPES DOWN → pessimism, falling prices.

> **DO NOT CONFUSE:** vs Bull Market — bear swipes prices DOWN (pessimism, falling); bull tosses prices UP (optimism, rising).

Example: During the 2008 global financial crisis, Indian markets entered a deep bear phase and the SENSEX lost more than half its value from its peak.

STOCK MARKET

287 Mutual Fund

MODERATE

Simple meaning: Many small investors pool their money, and an expert invests it for them.

Technical definition: An investment vehicle that pools money from many investors and invests it in shares, bonds and other securities under professional management; regulated by SEBI, valued daily by NAV.

TNPSC key point: Mutual funds are regulated by SEBI, and each unit's value is the Net Asset Value (NAV); UTI (1963) was India's first mutual fund.

Hook: MUTUAL FUND = COMMUNITY MONEY POT → pooled money, expert-managed, shared returns.

Example: A Chennai salaried employee investing Rs. 500 monthly through a SIP joins lakhs of others whose pooled money a fund manager invests across Indian companies.

STOCK MARKET

288 Derivative

ADVANCED

Simple meaning: A financial contract whose value depends on something else, like a share or commodity.

Technical definition: A financial contract that derives its value from an underlying asset — shares, indices, commodities, currencies — main types being forwards, futures, options and swaps.

TNPSC key point: A derivative has NO independent value — it derives value from an underlying asset; futures and options are the most traded derivatives in India.

Hook: DERIVATIVE = SHADOW OF THE ASSET → its value comes only from the underlying.

Example: NIFTY futures and options traded on the NSE are derivatives — their prices dance to the movements of the underlying NIFTY 50 index.

STOCK MARKET

289 SEBI MODERATE

Simple meaning: The watchdog that regulates India's stock markets and protects investors.

Technical definition: The Securities and Exchange Board of India — statutory regulator of the securities market, protecting investors and regulating stock exchanges, brokers, mutual funds and listed companies.

TNPSC key point: SEBI was set up in 1988 and became a STATUTORY body through the SEBI Act, 1992; headquarters at Mumbai — it regulates SECURITIES markets, not banks.

Hook: SEBI = STOCK MARKET TRAFFIC POLICE → securities watchdog, statutory since 1992.

> **DO NOT CONFUSE:** vs RBI — SEBI regulates the securities/stock market (statutory 1992); RBI regulates banks, money supply and monetary policy.

Example: When a company launches an IPO or a broker in Chennai opens your demat account, every step follows SEBI's regulations.

STOCK MARKET

290 Unified Payments Interface (UPI)

MODERATE

Simple meaning: The system that lets you send money instantly from phone to phone, any bank to any bank.

Technical definition: A real-time payment system that transfers money instantly between bank accounts through mobile phones using a virtual payment address; built by NPCI and launched in 2016.

TNPSC key point: UPI was built by NPCI (National Payments Corporation of India) and launched in 2016 — instant, 24x7, bank-to-bank transfers.

Hook: UPI = MONEY TELEPORTER → NPCI's 2016 instant bank-to-bank magic.

Example: From Chennai tea kadais to Madurai vegetable markets, tiny QR-code boards let customers pay even Rs. 10 instantly through UPI apps.

INDIAN ECONOMY

291 Financial Inclusion MODERATE

Simple meaning: Bringing banking services to every person, especially the poor.

Technical definition: Delivery of affordable financial services — bank accounts, credit, insurance, pensions — to all sections of society, especially low-income and unbanked groups.

TNPSC key point: Pradhan Mantri Jan Dhan Yojana (PMJDY, 2014) is India's flagship financial inclusion scheme — zero-balance bank accounts for every household.

Hook: FINANCIAL INCLUSION = WALKING BANK → banking reaches every doorstep, no one left out.

Example: Under PMJDY, crores of Jan Dhan accounts were opened across India, letting rural Tamil Nadu families receive government benefits straight into their own bank accounts.

INDIAN ECONOMY

292 Microfinance TOUGH

Simple meaning: Very small loans given to poor people who cannot get normal bank loans.

Technical definition: Provision of small loans, savings and other financial services to low-income households without collateral, typically through microfinance institutions and self-help groups.

TNPSC key point: Microfinance = small loans WITHOUT collateral; the model was popularised by Muhammad Yunus's Grameen Bank in Bangladesh (Nobel Peace Prize 2006).

Hook: MICROFINANCE = TINY LOAN, NO COLLATERAL → small money that grows big livelihoods.

Example: A rural Tamil Nadu woman takes a small microfinance loan through her SHG to buy a sewing machine and start a home tailoring business.

INDIAN ECONOMY

293 Self-Help Group (SHG)

MODERATE

Simple meaning: A small group of village people, mostly women, who save together and lend to each other.

Technical definition: A voluntary group of typically 10-20 members, mostly women, who pool savings regularly and provide small loans to members, often linked to banks under NABARD's SHG-Bank Linkage Programme.

TNPSC key point: The SHG movement is especially strong in Tamil Nadu — the state's pioneering Mahalir Thittam programme built a massive network of women's SHGs.

Hook: SHG = SAVINGS CIRCLE UNDER THE TREE → women save together, lend to each other.

Example: Tamil Nadu's Mahalir Thittam SHGs helped lakhs of women access bank credit, run micro-businesses and gain a voice in village decisions.

INDIAN ECONOMY

294 JAM Trinity TOUGH

Simple meaning: Linking bank accounts, Aadhaar and mobiles to send government money straight to people.

Technical definition: The combination of Jan Dhan bank accounts + Aadhaar identity + Mobile numbers, used to deliver subsidies and welfare through Direct Benefit Transfer (DBT), cutting out leakages.

TNPSC key point: JAM = Jan Dhan + Aadhaar + Mobile — the backbone of Direct Benefit Transfer that stops middlemen and duplicate beneficiaries.

Hook: JAM = THREE-HERO COMBO → Jan Dhan + Aadhaar + Mobile deliver benefits directly.

Example: An LPG subsidy lands directly in a Tamil Nadu household's Jan Dhan account, verified by Aadhaar and confirmed by SMS on the linked mobile — pure JAM in action.

INDIAN ECONOMY

295

Central Bank Digital Currency (e-Rupee)

ADVANCED

Simple meaning: Digital cash issued by the RBI itself — official money on your phone.

Technical definition: A digital form of legal tender currency issued by the central bank; India's e-Rupee (Digital Rupee) is issued by the RBI as its own liability, with pilots launched in 2022.

TNPSC key point: The e-Rupee is an RBI LIABILITY and LEGAL TENDER — completely different from private cryptocurrencies, which no one guarantees.

Hook: e-RUPEE = PIXEL MONEY WITH RBI'S SEAL → official digital legal tender.

> **DO NOT CONFUSE:** vs Cryptocurrency — e-Rupee is issued by RBI and is legal tender; cryptocurrency is private, unbacked and NOT legal tender in India.

Example: RBI's Digital Rupee pilots let users in select Indian cities pay merchants with e-Rupee wallets — sovereign digital cash, unlike Bitcoin.

INDIAN ECONOMY

296 NITI Aayog

MODERATE

Simple meaning: The government's policy think tank that replaced the old Planning Commission.

Technical definition: The National Institution for Transforming India, formed on 1 January 2015 as the government's premier policy think tank promoting cooperative federalism, with NO power to allocate funds.

TNPSC key point: NITI Aayog (2015) replaced the Planning Commission; it only advises — it has NO fund allocation power (funds are devolved via the Finance Commission, Art 280).

Hook: NITI AAYOG = BRAIN WITH EMPTY POCKETS → think tank since 2015, advice yes, funds no.

> **DO NOT CONFUSE:** vs Planning Commission and Finance Commission — NITI Aayog (2015, non-constitutional think tank, no funds) replaced the Planning Commission; the Finance Commission is a constitutional body (Art 280) that actually devolves taxes to states.

Example: NITI Aayog's Aspirational Districts Programme monitors development indicators in backward districts, including districts of Tamil Nadu, but the money flows through other channels.

INDIAN ECONOMY

297 Economic Survey

MODERATE

Simple meaning: The government's annual report card on the economy, released just before the Budget.

Technical definition: An annual document of the Ministry of Finance, prepared under the Chief Economic Adviser, reviewing the economy's performance and outlook; presented in Parliament a day before the Union Budget.

TNPSC key point: The Economic Survey is presented ONE DAY BEFORE the Union Budget and is prepared by the team of the Chief Economic Adviser (CEA).

Hook: ECONOMIC SURVEY = TRAILER BEFORE THE BUDGET MOVIE → CEA's report card, one day early.

> **DO NOT CONFUSE:** vs Union Budget — the Survey reviews the past year (by the CEA, day before); the Budget announces next year's revenue and spending (by the Finance Minister).

Example: Every year TNPSC aspirants study the Economic Survey's chapters on growth, inflation and employment tabled in Parliament the day before the Union Budget.

INDIAN ECONOMY

298 LPG Reforms 1991

MODERATE

Simple meaning: The big 1991 reforms that opened up India's economy to markets and the world.

Technical definition: The New Economic Policy of 1991 — Liberalisation (removing licences and controls), Privatisation (bigger private-sector role) and Globalisation (opening to world trade and investment) — triggered by the Balance of Payments crisis.

TNPSC key point: LPG 1991 = PM Narasimha Rao + FM Manmohan Singh, forced by the BoP crisis — the exam's favourite combo of names, year and cause.

Hook: LPG 1991 = THREE KEYS OPEN INDIA'S GATE → Liberalise, Privatise, Globalise after the BoP crisis.

Example: Post-1991 liberalisation brought global automakers, electronics firms and IT parks to Tamil Nadu, transforming Chennai's industrial belt.

INDIAN ECONOMY

299 Disinvestment

TOUGH

Simple meaning: Government selling part of its shares in public sector companies.

Technical definition: The sale of a portion of the government's equity stake in public sector undertakings (PSUs) to raise resources, while the government may still retain ownership or control.

TNPSC key point: Disinvestment = selling PART of the government's stake (control may remain with government); handled by DIPAM under the Ministry of Finance.

Hook: DISINVESTMENT = SELLING A SLICE, KEEPING THE CAKE → partial sale of government stake.

> **DO NOT CONFUSE:** vs Privatisation — disinvestment sells part of the stake (government may keep control); privatisation transfers ownership/control itself to private hands.

Example: The government selling a minority stake in a PSU through the stock market is disinvestment; the Air India sale, where control passed to the Tata group, went further into privatisation.

INDIAN ECONOMY

300

Gross State Domestic Product (GSDP) & Tamil Nadu Economy

TOUGH

Simple meaning: GSDP is a state's own GDP — the total value of everything produced inside that state in a year.

Technical definition: The money value of all final goods and services produced within a state's geographical boundaries in a financial year — the state-level counterpart of national GDP.

TNPSC key point: Tamil Nadu is among India's largest state economies and one of its most urbanised states — strong in automobiles (Chennai, the "Detroit of Asia"), textiles (Tiruppur, Coimbatore), leather and electronics.

Hook: GSDP = THE STATE'S OWN GDP METER → everything Tamil Nadu produces in a year.

> **DO NOT CONFUSE:** vs GDP — GDP measures the whole nation's output; GSDP measures one state's output within its own boundaries.

Example: Tamil Nadu's GSDP is powered by Chennai's auto plants, Tiruppur's knitwear exports, Coimbatore's textile and pump industries, and fast-growing electronics manufacturing.

A. Top 50 Must-Memorise Terms

1. **Opportunity Cost** (#2) — the "next best alternative foregone" definition is a direct-question staple.
2. **Law of Demand** (#12) — inverse price-quantity relation plus its Giffen exception appears again and again.
3. **Giffen Good** (#25) — the classic "exception to the law of demand" MCQ.
4. **Monopoly** (#32) — single seller as "price maker" is a favourite match-the-following item.
5. **Public Good** (#43) — the non-rival, non-excludable feature pair is asked almost verbatim.
6. **Stagflation** (#56) — "stagnation plus inflation together" is a one-line definition question TNPSC loves.
7. **Gross Domestic Product (GDP)** (#62) — the territory-based definition anchors every national income question.
8. **Gross National Product (GNP)** (#63) — the GDP + net factor income from abroad formula is tested repeatedly.
9. **Net National Product (NNP)** (#65) — "NNP at factor cost = National Income" is a perennial correct option.
10. **Real GDP** (#72) — measurement at constant base-year prices separates it from nominal GDP in MCQs.
11. **Inflation** (#81) — definition, causes and effects supply questions in nearly every paper.
12. **Deflation** (#82) — falling price level, and why it is dangerous, is a standard conceptual question.
13. **Disinflation** (#83) — the "slowing but still positive inflation" nuance is a built-in trap option.
14. **Wholesale Price Index (WPI)** (#91) — its goods-only coverage and non-target status get tested often.
15. **Consumer Price Index (CPI)** (#92) — "which index does RBI target?" is a repeat question.
16. **Broad Money (M3)** (#105) — composition of money aggregates is a favourite formula MCQ.
17. **Non-Performing Asset (NPA)** (#116) — the 90-day overdue rule is a precise fact TNPSC checks.
18. **Repo Rate** (#122) — the direction "RBI lends to banks" is tested against reverse repo constantly.
19. **Reverse Repo Rate** (#123) — the liquidity-absorbing opposite of repo; direction questions recur.
20. **Cash Reserve Ratio (CRR)** (#124) — "kept with RBI, in cash, no interest" is a three-fact MCQ goldmine.
21. **Statutory Liquidity Ratio (SLR)** (#125) — "kept with the bank itself" is the exact contrast examiners exploit.
22. **Monetary Policy Committee (MPC)** (#129) — 6-member composition and the CPI 4% ±2% target are direct facts.
23. **Lender of Last Resort** (#137) — a stock "function of RBI" match-the-following entry.
24. **Consolidated Fund of India** (#146) — Article 266 and the parliamentary-approval rule are exam regulars.
25. **Fiscal Deficit** (#151) — the borrowings-excluded formula is among the most repeated economics questions.
26. **Revenue Deficit** (#152) — revenue expenditure minus revenue receipts; tested against fiscal deficit.
27. **Primary Deficit** (#153) — "fiscal deficit minus interest payments" is asked as a straight formula.
28. **FRBM Act** (#159) — the 2003 year and fiscal-discipline targets are direct factual questions.
29. **Direct Tax** (#161) — classify-the-tax questions hinge on the non-shiftable burden idea.
30. **Goods and Services Tax (GST)** (#165) — 101st Amendment and 1 July 2017 rollout are guaranteed facts.
31. **Finance Commission** (#176) — Article 280 and the five-year cycle are among TNPSC's most-asked facts.
32. **Poverty Line** (#181) — committee names and the consumption basis feed repeat questions.
33. **Disguised Unemployment** (#191) — "zero marginal product in agriculture" is a signature Indian-economy MCQ.
34. **Demographic Dividend** (#204) — the working-age bulge concept is a favourite in development questions.
35. **Lorenz Curve** (#208) — the inequality diagram is tested with its partner, the Gini coefficient.
36. **Gini Coefficient** (#209) — the 0-to-1 scale meaning is a precise, frequently asked fact.
37. **Human Development Index (HDI)** (#211) — UNDP authorship and the three dimensions are certain questions.
38. **Minimum Support Price (MSP)** (#221) — "who recommends, who announces" is a classic agriculture MCQ.
39. **Green Revolution** (#222) — HYV seeds and the personalities involved are staple questions.
40. **Public Distribution System (PDS)** (#224) — Tamil Nadu's universal PDS is a state-specific favourite.
41. **MGNREGA** (#239) — 2005 Act and the 100-day legal guarantee are dependable factual questions.
42. **Balance of Payments (BoP)** (#242) — "always balances in accounting terms" is a tested subtlety.
43. **Current Account Deficit (CAD)** (#245) — its components versus the trade deficit are repeat material.
44. **World Trade Organization (WTO)** (#250) — 1995 birth and GATT parentage are fixed exam facts.
45. **Devaluation** (#258) — the official-versus-market distinction and 1949/1966/1991 years recur.
46. **Foreign Direct Investment (FDI)** (#261) — lasting interest and control define it in contrast questions.
47. **Foreign Portfolio Investment (FPI)** (#262) — the "hot money" tag makes it a ready trap option.
48. **Treasury Bill (T-Bill)** (#275) — zero-coupon, issued-at-discount features are precise MCQ facts.
49. **SEBI** (#289) — regulator identification and its statutory year are direct questions.
50. **NITI Aayog** (#296) — 2015 birth, Planning Commission replacement and no-fund-power are certainties.

B. Top 30 Most Confusing Term Pairs

1. **GDP vs GNP:** GDP counts production by LOCATION (inside India's territory); GNP counts by NATIONALITY (GDP + net factor income from abroad).
2. **GNP vs NNP:** NNP is simply GNP minus depreciation (capital consumption); NNP at factor cost is National Income.
3. **Nominal GDP vs Real GDP:** Nominal uses current-year prices; Real uses constant base-year prices, removing inflation.
4. **Fiscal Deficit vs Revenue Deficit:** Fiscal deficit is the TOTAL borrowing gap (all expenditure minus all non-borrowing receipts); revenue deficit is the gap on the revenue account alone.
5. **Fiscal Deficit vs Primary Deficit:** Primary deficit = fiscal deficit MINUS interest payments — it shows this year's fresh borrowing need without past debt's burden.
6. **Inflation vs Deflation:** Inflation is a sustained RISE in the general price level; deflation is an actual FALL in it.
7. **Disinflation vs Deflation:** Disinflation is inflation SLOWING but still positive (prices still rising); deflation is prices actually falling.
8. **Repo Rate vs Reverse Repo Rate:** Repo: RBI LENDS to banks (injects liquidity); reverse repo: RBI BORROWS from banks (absorbs liquidity).
9. **CRR vs SLR:** CRR is cash parked WITH RBI earning nothing; SLR is liquid assets (cash, gold, G-Secs) held by the bank ITSELF.
10. **Direct Tax vs Indirect Tax:** Direct tax burden cannot be shifted (income tax); indirect tax burden is passed to the consumer (GST).
11. **Current Account vs Capital Account:** Current account records goods, services, income and transfers; capital account records asset and loan flows (FDI, FPI, ECB).
12. **BoT vs BoP:** Balance of Trade covers only GOODS exports-imports; Balance of Payments covers ALL external transactions.
13. **Economic Growth vs Economic Development:** Growth is a quantitative rise in output; development adds qualitative change — health, education, equity.
14. **Absolute Poverty vs Relative Poverty:** Absolute: below a fixed minimum-needs cut-off; relative: poor compared with others in society.
15. **FDI vs FPI:** FDI brings lasting interest and management control; FPI merely buys tradable securities — quick "hot money".
16. **Depreciation vs Devaluation:** Depreciation is a market-driven fall in currency value; devaluation is an OFFICIAL cut under a fixed-rate system.
17. **Appreciation vs Revaluation:** Appreciation is a market-driven rise in currency value; revaluation is an official upward reset by the government/central bank.
18. **Tax Buoyancy vs Tax Elasticity:** Buoyancy measures actual revenue growth INCLUDING rate/policy changes; elasticity measures response with tax rates UNCHANGED.
19. **Cess vs Surcharge:** Cess is levied for a SPECIFIC earmarked purpose; surcharge is a tax-on-tax with no earmark — neither is shared with states.
20. **Moral Hazard vs Adverse Selection:** Moral hazard is risky behaviour AFTER the contract (insured driver turns careless); adverse selection is hidden bad risk BEFORE the contract.
21. **Giffen Good vs Veblen Good:** Giffen: a poor man's staple bought MORE as price rises (income effect); Veblen: a rich man's status good desired BECAUSE it is pricey.
22. **M1 vs M3:** M1 (narrow money) = currency + demand deposits + other RBI deposits; M3 (broad money) = M1 + time deposits.
23. **Lorenz Curve vs Gini Coefficient:** Lorenz is the PICTURE of income distribution; Gini is the single NUMBER (0 to 1) derived from that picture.
24. **Money Market vs Capital Market:** Money market deals in short-term funds (up to one year); capital market deals in long-term funds (shares, bonds).
25. **Primary Market vs Secondary Market:** Primary market issues NEW securities (IPOs, fresh capital to the company); secondary market trades EXISTING ones among investors.
26. **Equity Share vs Debenture:** Equity is OWNERSHIP with variable dividend; debenture is a LOAN to the company with fixed interest, repaid first.
27. **NITI Aayog vs Finance Commission:** NITI Aayog is an advisory think tank created by executive resolution; the Finance Commission is a CONSTITUTIONAL body (Art 280) that devolves taxes.
28. **Green GDP vs Green Economy:** Green GDP is a MEASUREMENT (GDP adjusted for environmental costs); green economy is a development MODEL that is low-carbon and resource-efficient.
29. **Payments Bank vs Small Finance Bank:** Payments banks accept limited deposits but CANNOT lend; small finance banks can both take deposits AND lend to small borrowers.
30. **PPP model vs Purchasing Power Parity:** PPP model = Public-Private Partnership in infrastructure projects; Purchasing Power Parity = a method of comparing currencies by what they buy.

C. Top 30 TNPSC Trap Concepts

1. **Trap:** RBI targets WPI inflation → **Truth:** RBI targets CPI (Combined) at 4% ±2%, decided by the MPC.
2. **Trap:** Fiscal deficit counts borrowings as receipts → **Truth:** borrowings are EXCLUDED from receipts; fiscal deficit equals the government's borrowing requirement.
3. **Trap:** Devaluation and depreciation are the same → **Truth:** devaluation is an official act under fixed rates; depreciation is a market-driven fall.
4. **Trap:** National Income = NNP at market price → **Truth:** National Income is NNP at FACTOR COST (market price minus indirect taxes plus subsidies).
5. **Trap:** An Indian company's factory in Dubai adds to India's GDP → **Truth:** GDP is territorial; that output enters India's GNP via net factor income from abroad.
6. **Trap:** Pensions and scholarships are counted in national income → **Truth:** transfer payments are excluded — no production takes place against them.
7. **Trap:** Disinflation means prices are falling → **Truth:** prices still RISE during disinflation, only at a slower rate; falling prices is deflation.
8. **Trap:** CRR is maintained in the bank's own vault → **Truth:** CRR is cash kept WITH RBI; it is SLR that stays with the bank itself.
9. **Trap:** Banks earn interest on CRR balances → **Truth:** RBI pays NO interest on CRR.
10. **Trap:** Repo rate is the rate at which RBI borrows → **Truth:** repo is RBI LENDING to banks; reverse repo is RBI borrowing.
11. **Trap:** Bank Rate and Repo Rate are identical → **Truth:** repo lending is against securities for the short term; Bank Rate is long-term lending without such collateral.
12. **Trap:** The Constitution uses the word "Budget" → **Truth:** Article 112 calls it the "Annual Financial Statement".

13. **Trap:** Government can freely withdraw from the Consolidated Fund → **Truth:** every withdrawal needs parliamentary appropriation; only the Contingency Fund (Art 267) allows advance spending pending approval.
14. **Trap:** Public Account withdrawals need Parliament's approval → **Truth:** they do NOT — the government holds this money (provident funds, small savings) as a banker or trustee.
15. **Trap:** Vote on Account and Interim Budget are the same → **Truth:** Vote on Account authorises only EXPENDITURE for a short period; an interim budget presents both receipts and expenditure.
16. **Trap:** Finance Bill and Appropriation Bill do the same job → **Truth:** the Finance Bill enacts TAX proposals; the Appropriation Bill authorises WITHDRAWAL from the Consolidated Fund.
17. **Trap:** GST came through the 100th Amendment, launched in 2016 → **Truth:** it is the 101st Constitutional Amendment Act 2016, rolled out on 1 July 2017.
18. **Trap:** GST is a direct tax because consumers pay it → **Truth:** GST is an INDIRECT tax — the burden is shifted to the consumer through prices.
19. **Trap:** Cess and surcharge are shared with states → **Truth:** both lie OUTSIDE the divisible pool; states get no share.
20. **Trap:** NITI Aayog devolves taxes to states → **Truth:** tax devolution is the Finance Commission's constitutional job (Art 280); NITI Aayog only advises.
21. **Trap:** India's poverty line is based on income → **Truth:** it is based on CONSUMPTION expenditure, estimated through NSS surveys.
22. **Trap:** HDI is published by the World Bank → **Truth:** HDI comes from the UNDP's Human Development Report (since 1990).
23. **Trap:** A Gini coefficient of 1 means perfect equality → **Truth:** 0 means perfect equality; 1 means extreme inequality.
24. **Trap:** MPI is just another name for HDI → **Truth:** MPI measures overlapping DEPRIVATIONS of the poor (UNDP with OPHI); HDI measures average achievement.
25. **Trap:** Balance of Payments can be in overall deficit → **Truth:** BoP always balances in accounting terms; the imbalance appears in components like the current account.
26. **Trap:** Trade deficit and current account deficit are the same → **Truth:** CAD also includes services, income and remittances — a big trade deficit can shrink after services earnings.
27. **Trap:** Foreign purchase of shares on the stock exchange is FDI → **Truth:** that is FPI; FDI means lasting interest and a role in management.
28. **Trap:** WPI includes services like transport and haircuts → **Truth:** WPI covers only GOODS; services enter the CPI basket.
29. **Trap:** RBI or CACP declares the MSP → **Truth:** CACP only RECOMMENDS; the Union Government (CCEA) announces the MSP.
30. **Trap:** Disguised unemployed persons are visibly jobless → **Truth:** they APPEAR employed (on the family farm), but their marginal product is near zero.

D. 50 One-Line Revision Questions

R1. Which Article of the Constitution provides for the Finance Commission?

▼ Answer

Article 280.

R2. Who wrote "The Wealth of Nations" (1776)?

▼ Answer

Adam Smith, the father of economics.

R3. Which 2009 expert group redefined India's poverty line methodology?

▼ Answer

The Suresh Tendulkar Committee.

R4. In which year was the RBI established?

▼ Answer

1935 (under the RBI Act, 1934).

R5. When was the RBI nationalised?

▼ Answer

1949.

R6. Who issues the one-rupee note?

▼ **Answer**

The Government of India (it bears the Finance Secretary's signature, not the RBI Governor's).

R7. On what date was GST rolled out nationwide?

▼ **Answer**

1 July 2017.

R8. Which Constitutional Amendment introduced GST?

▼ **Answer**

The 101st Constitutional Amendment Act, 2016.

R9. Under which Article was the GST Council constituted?

▼ **Answer**

Article 279A.

R10. The "Annual Financial Statement" is presented under which Article?

▼ **Answer**

Article 112.

R11. The Contingency Fund of India is provided under which Article?

▼ **Answer**

Article 267.

R12. On what date was NITI Aayog formed?

▼ **Answer**

1 January 2015, replacing the Planning Commission.

R13. In which year was the Planning Commission set up?

▼ **Answer**

1950 (by an executive resolution).

R14. What was the period of the First Five Year Plan?

▼ **Answer**

1951 to 1956.

R15. The Second Five Year Plan was based on whose model?

▼ Answer

P. C. Mahalanobis (heavy-industry model).

R16. Who is called the father of the Green Revolution in India?

▼ Answer

M. S. Swaminathan (Norman Borlaug globally).

R17. Operation Flood (White Revolution) is associated with whom?

▼ Answer

Verghese Kurien.

R18. Which body introduced the HDI, and in which year?

▼ Answer

The UNDP, in 1990 (pioneered by Mahbub ul Haq).

R19. Who coined the phrase "Hindu rate of growth"?

▼ Answer

Economist Raj Krishna.

R20. Who developed the Physical Quality of Life Index (PQLI)?

▼ Answer

Morris D. Morris.

R21. Which country measures Gross National Happiness?

▼ Answer

Bhutan.

R22. In which year was MGNREGA enacted?

▼ Answer

2005.

R23. How many days of employment does MGNREGA guarantee?

▼ Answer

100 days per rural household per year, as a legal right.

R24. When was the WTO established?

▼ Answer

1 January 1995.

R25. Which agreement was the predecessor of the WTO?

▼ Answer

GATT (General Agreement on Tariffs and Trade).

R26. The IMF and World Bank were born at which conference?

▼ Answer

The Bretton Woods Conference, 1944.

R27. Where is the headquarters of the WTO?

▼ Answer

Geneva, Switzerland.

R28. In which three years was the Indian rupee devalued?

▼ Answer

1949, 1966 and 1991.

R29. In which year were the LPG (liberalisation) reforms launched?

▼ Answer

1991.

R30. In which year were 14 major banks nationalised?

▼ Answer

1969 (six more followed in 1980).

R31. When was NABARD established?

▼ Answer

1982.

R32. In which year were Regional Rural Banks first set up?

▼ Answer

1975 (the first was Prathama Bank).

R33. After how many days overdue is a loan classified as an NPA?

▼ Answer

90 days.

R34. Who acts as the lender of last resort in India?

▼ Answer

The Reserve Bank of India.

R35. What is the formula for narrow money, M1?

▼ Answer

Currency with the public + demand deposits + other deposits with the RBI.

R36. Under the Minimum Reserve System (1956), what backing must RBI keep for issuing currency?

▼ Answer

Rs. 200 crore of gold and foreign securities.

R37. What is the composition of the Monetary Policy Committee?

▼ Answer

Six members — three from RBI and three appointed by the Government; the Governor has the casting vote.

R38. What is India's official inflation target?

▼ Answer

CPI (Combined) inflation of 4%, with a tolerance band of ±2%.

R39. In which year was the FRBM Act passed?

▼ Answer

2003.

R40. State the formula for fiscal deficit.

▼ Answer

Total expenditure minus total receipts EXCLUDING borrowings.

R41. State the formula for primary deficit.

▼ Answer

Fiscal deficit minus interest payments.

R42. Which body recommends the Minimum Support Price?

▼ Answer

The Commission for Agricultural Costs and Prices (CACP); the Government announces it.

R43. Who prepares the Economic Survey, and when is it presented?

▼ Answer

The Ministry of Finance (Chief Economic Adviser's team), presented before the Union Budget.

R44. What does Engel's Law state?

▼ Answer

As income rises, the proportion of income spent on food falls.

R45. What does Say's Law state?

▼ Answer

Supply creates its own demand.

R46. The Phillips Curve shows a trade-off between which two variables?

▼ Answer

Inflation and unemployment.

R47. The Laffer Curve relates which two variables?

▼ Answer

Tax RATE and tax REVENUE — beyond a point, higher rates reduce revenue.

R48. What does the Kuznets Curve depict?

▼ Answer

An inverted-U relationship between economic growth and inequality.

R49. In which year did SEBI get statutory powers?

▼ Answer

1992 (it was formed in 1988).

R50. Which organisation developed the Unified Payments Interface (UPI)?

▼ Answer

The National Payments Corporation of India (NPCI).

E. 50 Practice MCQs

Q1. In economics, the "opportunity cost" of a decision is best defined as?

a. The total money actually spent on the chosen alternative
b. The value of the next best alternative foregone
c. The sum of the values of all alternatives foregone
d. The accounting cost minus the implicit cost

▼ Show answer

(b) — Opportunity cost is the value of the single next best alternative sacrificed, not all alternatives together.

Q2. Which of the following is a POSITIVE economic statement?

a. The government should raise the minimum wage to help workers
b. India ought to spend more of its budget on public health
c. An increase in money supply, other things being equal, tends to raise the price level
d. Rich states must transfer more resources to poorer states

▼ Show answer

(c) — Positive economics states verifiable "what is" relationships; "should/ought/must" statements are normative value judgements.

Q3. According to Engel's Law, as household income rises, what happens to spending on food?

a. The proportion of income spent on food falls
b. The absolute amount spent on food always falls
c. The proportion of income spent on food rises
d. Food spending stays exactly constant

▼ Show answer

(a) — Engel's Law: the share (proportion) of income spent on food declines as income rises, even if absolute food spending grows.

Q4. The Minimum Support Price (MSP) for major crops is announced by the Government of India on the recommendations of which body?

a. NITI Aayog
b. Food Corporation of India
c. Finance Commission
d. Commission for Agricultural Costs and Prices (CACP)

▼ Show answer

(d) — MSP is a floor price fixed by the government based on CACP recommendations; FCI only procures at that price.

Q5. Which statement correctly distinguishes a Giffen good from a Veblen good?

a. Both are luxury goods bought for social prestige
b. A Giffen good is a highly inferior good whose demand rises when price rises because the income effect dominates; a Veblen good is a prestige good demanded more at higher prices for status
c. A Giffen good is a status symbol, while a Veblen good is a staple of the poor
d. Both goods obey the law of demand but violate the law of supply

▼ Show answer

(b) — Giffen: inferior staple, income effect outweighs substitution effect; Veblen: luxury, higher price itself adds snob appeal — both are exceptions to the law of demand for opposite reasons.

Q6. If the cross elasticity of demand between two goods is positive, the goods are?

a. Complementary goods
b. Unrelated goods
c. Substitute goods
d. Necessarily inferior goods

▼ Show answer

(c) — A rise in the price of one good raising demand for the other (positive cross elasticity) marks substitutes; complements show negative cross elasticity.

Q7. A market in which there is a single buyer facing many sellers is called?

a. Monopoly
b. Monopsony
c. Oligopoly
d. Duopoly

▼ Show answer

(b) — Monopsony = single buyer (e.g., one large employer in a town); monopoly = single seller — the classic trap pair.

Q8. A formal agreement among rival firms to fix prices or restrict output is known as?

a. A cartel
b. A merger
c. Monopolistic competition
d. Price discrimination

▼ Show answer

(a) — A cartel is collusion among independent oligopoly firms (e.g., OPEC-style output/price fixing) to act like a monopoly.

Q9. Which pair of characteristics defines a pure public good?

a. Rival and excludable
b. Non-rival but excludable
c. Rival but non-excludable
d. Non-rival and non-excludable

▼ Show answer

(d) — A pure public good (e.g., national defence) is non-rival (one person's use does not reduce another's) and non-excludable (non-payers cannot be kept out).

Q10. A person begins driving carelessly AFTER purchasing comprehensive car insurance. This behaviour is an example of?

a. Adverse selection
b. Moral hazard
c. Free rider problem
d. Negative externality

▼ Show answer

(b) — Moral hazard is riskier behaviour AFTER a contract is signed; adverse selection is hidden information BEFORE the transaction (e.g., the sickest people buying health cover).

Q11. The term "stagflation" describes an economy experiencing?

a. High inflation together with rapid economic growth
b. Falling prices together with full employment
c. High inflation together with stagnant output and high unemployment
d. Zero inflation with zero growth

▼ Show answer

(c) — Stagflation = stagnation + inflation occurring simultaneously, which defies the simple Phillips Curve trade-off.

Q12. The short-run Phillips Curve depicts which relationship?

a. An inverse relationship between the rate of inflation and the rate of unemployment
b. A direct relationship between money supply and GDP
c. An inverse relationship between tax rates and tax revenue
d. A direct relationship between savings and investment

▼ Show answer

(a) — In the short run, lower unemployment is associated with higher inflation and vice versa — the Phillips trade-off.

Q13. Gross National Product (GNP) equals Gross Domestic Product (GDP) plus?

a. Depreciation of capital
b. Net indirect taxes
c. Transfer payments
d. Net factor income from abroad (NFIA)

▼ Show answer

(d) — GNP = GDP + NFIA; GDP is territory-based ("domestic") while GNP is nationality/resident-based, differing only by net factor income from abroad.

Q14. The "National Income" of a country, in the conventional sense, is equal to?

a. GDP at market price
b. NNP at factor cost
c. GNP at market price
d. NDP at market price

▼ Show answer

(b) — National Income = NNP at factor cost, i.e., GNP minus depreciation, valued at factor cost (net of indirect taxes less subsidies).

Q15. The GDP deflator is calculated as?

a. (Nominal GDP ÷ Real GDP) × 100
b. (Real GDP ÷ Nominal GDP) × 100
c. Nominal GDP − Real GDP
d. (CPI ÷ WPI) × 100

▼ Show answer

(a) — The deflator converts nominal into real terms: (Nominal ÷ Real) × 100; it covers all goods and services in GDP, unlike the fixed-basket CPI.

Q16. Purchasing Power Parity (PPP) compares the value of currencies on the basis of?

a. The official exchange rate fixed by central banks
b. The interest rate differential between two countries
c. The cost of a common basket of goods and services in each country
d. The gold reserves held by each country

▼ Show answer

(c) — PPP asks what a common basket costs in each currency, so it corrects for price-level differences that market exchange rates ignore.

Q17. A country's inflation rate falls from 7.2% to 5.1% to 4.3% over three years while prices continue to rise each year. This situation is called?

a. Deflation
b. Disinflation
c. Reflation
d. Depression

▼ Show answer

(b) — Disinflation is a falling inflation RATE that is still above zero (prices rising more slowly); deflation requires the price level itself to fall (negative inflation).

Q18. Inflation caused primarily by rising wages and raw material prices pushing up production costs is called?

a. Cost-push inflation
b. Demand-pull inflation
c. Reflation
d. Base effect

▼ Show answer

(a) — Cost-push inflation comes from the supply side (input costs); demand-pull comes from excess aggregate demand ("too much money chasing too few goods").

Q19. Which of the following statements about WPI and CPI is CORRECT?

a. WPI includes the prices of services while CPI does not
b. CPI is compiled by the Office of the Economic Adviser, DPIIT
c. WPI measures retail prices paid by final consumers
d. WPI excludes services, while CPI captures retail prices including services paid by consumers

▼ Show answer

(d) — WPI tracks wholesale goods prices only (no services); CPI tracks the retail consumption basket including services, which is why the RBI targets CPI.

Q20. If the nominal interest rate on a deposit is 9% and inflation is 6%, the approximate real interest rate is?

a. 15%
b. 9%
c. 3%
d. −3%

▼ Show answer

(c) — Real interest rate ≈ nominal rate − inflation rate = 9% − 6% = 3% (the Fisher approximation).

Q21. Broad money (M3) equals narrow money (M1) plus?

a. Demand deposits with banks
b. Net time deposits with the banking system
c. Currency held by the public
d. Other deposits with the RBI

▼ Show answer

(b) — M1 = currency with public + demand deposits + other deposits with RBI; adding time deposits converts it into M3, the trap being that M1's components already include the other three options.

Q22. High-powered money (M0), the monetary base, consists of?

a. Currency in circulation + bankers' deposits with RBI + other deposits with RBI
b. Currency with public + demand deposits with banks
c. M1 + time deposits
d. Only the currency notes issued by the RBI

▼ Show answer

(a) — M0 is the liability of the RBI: circulation currency plus bankers' and other deposits held with the RBI; the money multiplier expands M0 into broad money.

Q23. Under RBI norms, a loan account is generally classified as a Non-Performing Asset (NPA) when interest or principal remains overdue for more than?

a. 30 days
b. 60 days
c. 90 days
d. 180 days

▼ Show answer

(c) — The standard NPA recognition norm for bank term loans is 90 days past due.

Q24. Which statement about Payments Banks is CORRECT?

a. They can extend large corporate loans like commercial banks
b. They can accept deposits but cannot extend loans or issue credit cards
c. They are identical to Small Finance Banks in every respect
d. They are outside the regulatory purview of the RBI

▼ Show answer

(b) — Payments Banks take small deposits and provide remittances but cannot lend or issue credit cards; Small Finance Banks, by contrast, do lend (with priority-sector focus).

Q25. The Repo Rate is best described as the rate at which?

a. The RBI lends short-term funds to commercial banks against government securities
b. The RBI borrows surplus funds from commercial banks
c. Commercial banks lend to their best corporate customers
d. Banks lend to each other overnight in the call money market

▼ Show answer

(a) — Repo: RBI LENDS to banks (injects liquidity); Reverse Repo is the opposite — RBI ABSORBS surplus liquidity from banks.

Q26. Which of the following correctly distinguishes CRR from SLR?

a. CRR is maintained by the bank in its own vaults; SLR is kept with the RBI
b. Both CRR and SLR are kept as cash with the RBI
c. CRR is a share of NDTL kept as cash with the RBI, while SLR is a share of NDTL maintained by the bank itself in cash, gold and approved securities
d. Both CRR and SLR earn attractive interest for banks

▼ Show answer

(c) — CRR: cash parked WITH the RBI (earns no interest); SLR: liquid assets (cash/gold/approved G-secs) held BY the bank itself.

Q27. Under India's flexible inflation targeting framework, the RBI's mandated target is?

a. WPI inflation of 4% with no band
b. CPI inflation of 6% with a ±2% band
c. GDP deflator growth of 4%
d. CPI inflation of 4% with a tolerance band of ±2% (i.e., 2%–6%)

▼ Show answer

(d) — The Monetary Policy Committee targets headline CPI at 4%, with a lower bound of 2% and upper bound of 6% — CPI, not WPI.

Q28. A situation where interest rates are already near zero and monetary policy fails to stimulate demand because people prefer to hold cash is called?

a. A liquidity trap
b. Crowding out
c. A bank run
d. Sterilisation

▼ Show answer

(a) — In a liquidity trap (a Keynesian idea), additional money is simply hoarded, making further rate cuts ineffective.

Q29. MGNREGA, enacted in 2005, provides a legal guarantee of?

a. 200 days of employment to every urban household
b. At least 100 days of wage employment in a financial year to every rural household whose adult members volunteer to do unskilled manual work
c. Permanent government jobs for all landless labourers
d. 50 days of employment to every individual citizen

▼ Show answer

(b) — The guarantee is 100 days per rural HOUSEHOLD (not per person) of unskilled manual wage employment, enforceable as a legal right.

Q30. Which of the following is a CAPITAL receipt of the Union Government?

a. Corporate tax collections
b. Dividends received from public sector undertakings
c. Proceeds from disinvestment of a PSU
d. GST collections

▼ Show answer

(c) — Capital receipts either create a liability (borrowings) or reduce assets (disinvestment); taxes and PSU dividends are revenue receipts.

Q31. Which statement about government funds is CORRECT?

a. Withdrawals from the Public Account require prior parliamentary authorization
b. The Consolidated Fund can be operated by the executive without any parliamentary vote
c. Provident fund and small savings collections go into the Consolidated Fund
d. Withdrawals from the Consolidated Fund need parliamentary authorization, while the Public Account operates without such a vote

▼ Show answer

(d) — The Consolidated Fund (Art 266(1)) needs Parliament's sanction for withdrawal; the Public Account (Art 266(2)) holds money in trust (PF, small savings) and needs no such vote.

Q32. Fiscal Deficit is defined as?

a. Total expenditure minus total receipts excluding borrowings
b. Revenue expenditure minus revenue receipts
c. Total expenditure minus interest payments
d. Total receipts minus total expenditure including borrowings

▼ Show answer

(a) — Fiscal Deficit = Total Expenditure − Total Receipts EXCLUDING borrowings; it therefore equals the government's total borrowing requirement for the year.

Q33. Primary Deficit is calculated as?

a. Revenue deficit minus grants for creation of capital assets
b. Fiscal deficit minus interest payments
c. Fiscal deficit plus interest payments
d. Revenue receipts minus revenue expenditure

▼ Show answer

(b) — Primary Deficit = Fiscal Deficit − interest payments; it shows fresh borrowing needed apart from servicing past debt (option (a) is the Effective Revenue Deficit).

Q34. Tax buoyancy differs from tax elasticity in that tax buoyancy?

a. Excludes the effect of all changes in tax rates
b. Measures only the growth of direct taxes
c. Is always equal to tax elasticity in the long run
d. Measures the actual response of tax revenue to GDP growth INCLUDING the effect of discretionary changes in rates and coverage

▼ Show answer

(d) — Buoyancy = total observed revenue response (with discretionary rate/base changes); elasticity strips out discretionary changes to show the built-in response alone.

Q35. The Goods and Services Tax (GST) came into force in India through which Constitutional Amendment and from which date?

a. 100th Amendment; 1 April 2016
b. 122nd Amendment; 8 November 2016
c. 101st Constitutional Amendment; 1 July 2017
d. 102nd Amendment; 1 January 2018

▼ Show answer

(c) — The 101st Constitutional Amendment Act enabled GST, which was rolled out nationwide from 1 July 2017 (122nd was the Bill's number, a classic trap).

Q36. Which statement correctly distinguishes a cess from a surcharge?

a. Both stay outside the divisible pool shared with states, but a cess is levied for a SPECIFIC earmarked purpose while a surcharge is a tax on tax with no earmarked purpose
b. A cess is shared with states while a surcharge is not
c. A surcharge is earmarked for a specific purpose while a cess is not
d. Both are fully shared with states under Finance Commission awards

▼ Show answer

(a) — Neither cess nor surcharge enters the divisible pool; the difference is earmarking — cess (e.g., for education/health) is purpose-tied, surcharge is not.

Q37. The Finance Commission of India is constituted under which Article of the Constitution, and how often?

a. Article 360; every 10 years
b. Article 280; by the President every fifth year (or earlier)
c. Article 266; every 5 years by Parliament
d. Article 112; annually

▼ Show answer

(b) — Art 280 requires the President to constitute a Finance Commission every fifth year to recommend Centre–State tax devolution and grants.

Q38. Poverty measured against a fixed minimum consumption threshold is ______, while poverty judged in comparison with the living standards of others in society is ______?

a. Relative poverty; absolute poverty
b. Primary poverty; secondary poverty
c. Absolute poverty; relative poverty
d. Chronic poverty; transient poverty

▼ Show answer

(c) — Absolute poverty uses a fixed poverty-line basket; relative poverty is deprivation relative to the society's average, so it can persist even in rich countries.

Q39. The Multidimensional Poverty Index (MPI) measures deprivation across which three dimensions?

a. Income, wealth and consumption
b. Food, clothing and shelter
c. Employment, wages and savings
d. Health, education and standard of living

▼ Show answer

(d) — The MPI (UNDP–OPHI) aggregates indicators under health, education and living standards — going beyond income-only poverty lines.

Q40. If several workers are withdrawn from a family farm and total farm output does NOT fall, those workers were?

a. Disguisedly unemployed, since their marginal product was approximately zero
b. Frictionally unemployed
c. Cyclically unemployed
d. Fully and productively employed

▼ Show answer

(a) — Disguised unemployment (typical of Indian agriculture) means more workers are engaged than needed, so the marginal product of the extra workers is near zero.

Q41. An engineer loses her job permanently because automation has made her specific skills obsolete. This is an example of?

a. Frictional unemployment
b. Structural unemployment
c. Seasonal unemployment
d. Voluntary unemployment

▼ Show answer

(b) — Structural unemployment arises from a mismatch between skills and available jobs (technology/industry change); frictional is only the short spell between jobs.

Q42. Which statement about the Lorenz Curve and the Gini Coefficient is CORRECT?

a. The Gini coefficient is plotted on a graph while the Lorenz curve is a single number
b. A Gini value of 1 indicates perfect equality
c. The Gini coefficient is derived from the Lorenz curve, with 0 indicating perfect equality and 1 indicating perfect inequality
d. The Lorenz curve measures inflation while Gini measures growth

▼ Show answer

(c) — The Lorenz CURVE plots cumulative income share against cumulative population; the Gini NUMBER is the ratio of the gap area to the whole triangle — 0 = equality, 1 = total inequality.

Q43. Which statement correctly distinguishes economic growth from economic development?

a. Growth and development are identical concepts
b. Development is purely a rise in GDP while growth includes welfare
c. Growth is measured only in poor countries, development only in rich ones
d. Growth is the quantitative rise in output, while development includes growth PLUS qualitative improvements in health, education and distribution

▼ Show answer

(d) — Growth = more output (quantitative); development = growth plus structural and welfare change (qualitative) — growth is possible without development.

Q44. The Human Development Index (HDI), published by the UNDP, combines which dimensions?

a. A long and healthy life (life expectancy), knowledge (years of schooling) and a decent standard of living (per capita income)
b. Poverty, unemployment and inflation
c. Exports, imports and forex reserves
d. Health, caste and land ownership

▼ Show answer

(a) — HDI = health (life expectancy) + education (mean and expected years of schooling) + standard of living (income per capita), combined as an index.

Q45. Which statement correctly distinguishes Balance of Trade (BoT) from Balance of Payments (BoP)?

a. BoT includes services and remittances while BoP covers only goods
b. BoT covers only visible merchandise (goods) trade, while BoP records ALL economic transactions with the rest of the world including services, transfers and capital flows
c. BoT and BoP are two names for the same account
d. BoP covers only capital flows while BoT covers the current account

▼ Show answer

(b) — BoT = goods exports minus goods imports only; BoP is the comprehensive record (current account + capital/financial account) and always balances in the accounting sense.

Q46. Which statement correctly distinguishes currency depreciation from devaluation?

a. Depreciation is a deliberate government act; devaluation is caused by market forces
b. Both occur only under fixed exchange rate systems
c. Devaluation is an official, deliberate lowering of the currency's value under a fixed/pegged exchange rate, while depreciation is a market-driven fall under a floating regime
d. Depreciation raises export prices while devaluation lowers import prices

▼ Show answer

(c) — Devaluation = official act (fixed regime); depreciation = market outcome (floating regime); both make exports cheaper, but the cause differs.

Q47. Which statement correctly distinguishes FDI from FPI?

a. FPI gives management control while FDI does not
b. FDI flows only into government bonds
c. FPI is more stable and long-term than FDI
d. FDI involves a lasting interest and a degree of management control in an enterprise, while FPI is investment in shares/bonds without control and is more volatile

▼ Show answer

(d) — FDI brings ownership stake, technology and control (durable); FPI is portfolio "hot money" in financial assets that can exit quickly.

Q48. When market interest rates (yields) rise, the prices of existing bonds?

a. Fall, because bond prices and yields move in opposite directions
b. Rise, because bonds become more attractive
c. Remain unchanged, as coupons are fixed
d. First rise and then permanently stay higher

▼ Show answer

(a) — An old bond's fixed coupon looks less attractive when new yields are higher, so its market price must fall — the inverse price–yield rule.

Q49. Which statement correctly distinguishes an equity share from a debenture?

a. Debenture holders are owners of the company while equity holders are creditors
b. Equity holders are part-owners entitled to variable dividends, while debenture holders are creditors entitled to fixed interest
c. Both instruments carry guaranteed fixed returns
d. Equity is a debt instrument while a debenture confers voting rights

▼ Show answer

(b) — Equity = ownership, residual and variable returns, voting rights; debenture = loan capital, fixed interest, repayment priority over shareholders.

Q50. Which of the following statements about NITI Aayog is CORRECT?

a. It is a constitutional body created under Article 280
b. It allocates five-year plan funds to the states
c. It was established on 1 January 2015 as a policy think tank replacing the Planning Commission, without powers to allocate funds
d. It frames India's monetary policy jointly with the RBI

▼ Show answer

(c) — NITI Aayog (2015) replaced the Planning Commission as an advisory think tank promoting cooperative federalism; fund devolution rests with the Finance Commission and ministries.

F. 20 Match-the-Following

M1. Match List-I (RBI instruments) with List-II (meanings):

List-I	List-II
A. Repo Rate	1. Rate at which RBI absorbs surplus liquidity from banks
B. Reverse Repo Rate	2. Share of NDTL held by the bank itself in cash, gold and approved securities
C. Cash Reserve Ratio (CRR)	3. Rate at which RBI lends short-term funds to banks against securities
D. Statutory Liquidity Ratio (SLR)	4. Share of NDTL kept as a cash balance with the RBI

▼ Show answer

A-3, B-1, C-4, D-2

M2. Match List-I (deficits) with List-II (formulas):

List-I	List-II
A. Fiscal Deficit	1. Fiscal deficit − interest payments
B. Revenue Deficit	2. Total expenditure − total receipts excluding borrowings
C. Primary Deficit	3. Revenue deficit − grants for creation of capital assets
D. Effective Revenue Deficit	4. Revenue expenditure − revenue receipts

▼ Show answer

A-2, B-4, C-1, D-3

M3. Match List-I (curves) with List-II (what they show):

List-I	List-II
A. Phillips Curve	1. Cumulative income share plotted against cumulative population share (inequality)
B. Laffer Curve	2. Inequality first rising and then falling as an economy develops (inverted U)
C. Lorenz Curve	3. Relationship between tax rates and total tax revenue (inverted U)
D. Kuznets Curve	4. Short-run inverse relationship between inflation and unemployment

▼ Show answer

A-4, B-3, C-1, D-2

M4. Match List-I (milestones) with List-II (years):

List-I	List-II
A. MGNREGA enacted	1. 2003
B. FRBM Act	2. 2005
C. GST rollout	3. 1991
D. LPG Reforms	4. 2017

▼ Show answer

A-2, B-1, C-4, D-3

M5. Match List-I (institutions) with List-II (years):

List-I	List-II
A. World Trade Organization (WTO)	1. 1935
B. NITI Aayog	2. 1992
C. SEBI given statutory powers	3. 1995
D. Reserve Bank of India established	4. 2015

▼ Show answer

A-3, B-4, C-2, D-1

M6. Match List-I (indices) with List-II (compilers/publishers):

List-I	List-II
A. Wholesale Price Index (WPI)	1. National Statistical Office (MoSPI)
B. Index of Industrial Production (IIP)	2. United Nations Development Programme (UNDP)
C. Human Development Index (HDI)	3. Bombay Stock Exchange (BSE)
D. SENSEX	4. Office of the Economic Adviser, DPIIT

▼ Show answer

A-4, B-1, C-2, D-3

M7. Match List-I (types of unemployment) with List-II (descriptions):

List-I	List-II
A. Disguised Unemployment	1. Joblessness during the off-season, as in agriculture and tourism
B. Frictional Unemployment	2. More workers engaged than needed, with marginal product near zero
C. Structural Unemployment	3. Temporary spell while workers move between jobs or search for work
D. Seasonal Unemployment	4. Mismatch between workers' skills and the jobs available

▼ Show answer

A-2, B-3, C-4, D-1

M8. Match List-I (types of goods) with List-II (demand behaviour):

List-I	List-II
A. Giffen Good	1. Prestige good demanded MORE at higher prices for status display
B. Veblen Good	2. Demand rises as consumer income rises
C. Inferior Good	3. Highly inferior staple whose demand rises when its price rises (income effect dominates)
D. Normal Good	4. Demand falls as consumer income rises

▼ Show answer

A-3, B-1, C-4, D-2

M9. Match List-I (market structures) with List-II (features):

List-I	List-II
A. Perfect Competition	1. Many sellers offering differentiated products with some price-setting power
B. Monopoly	2. A few large, mutually interdependent firms dominate the market
C. Oligopoly	3. A single seller with no close substitutes for its product
D. Monopolistic Competition	4. Many sellers of a homogeneous product; every firm is a price taker

▼ Show answer

A-4, B-3, C-2, D-1

M10. Match List-I (inflation situations) with List-II (descriptions):

List-I	List-II
A. Demand-Pull Inflation	1. Extremely rapid price rise in which the currency loses value dramatically
B. Cost-Push Inflation	2. "Too much money chasing too few goods" — excess aggregate demand
C. Stagflation	3. High inflation coexisting with stagnant output and high unemployment
D. Hyperinflation	4. Prices pushed up by rising wages and raw material costs

▼ Show answer

A-2, B-4, C-3, D-1

M11. Match List-I (money concepts) with List-II (meanings):

List-I	List-II
A. High-Powered Money (M0)	1. M1 plus net time deposits with the banking system
B. Narrow Money (M1)	2. Ratio of broad money to the monetary base
C. Broad Money (M3)	3. Currency in circulation plus bankers' and other deposits with the RBI
D. Money Multiplier	4. Currency with the public plus demand deposits plus other deposits with the RBI

▼ Show answer

A-3, B-4, C-1, D-2

M12. Match List-I (budget concepts) with List-II (descriptions):

List-I	List-II
A. Consolidated Fund of India	1. Fund under Article 267 for unforeseen expenditure, at the disposal of the President
B. Contingency Fund of India	2. Fund under Article 266(1) holding all revenues and loans; withdrawal needs Parliament's sanction
C. Public Account of India	3. Parliament's advance grant to meet expenditure until the full budget is passed
D. Vote on Account	4. Account under Article 266(2) holding money in trust, such as provident funds and small savings

▼ Show answer

A-2, B-1, C-4, D-3

M13. Match List-I (exchange-rate terms) with List-II (meanings):

List-I	List-II
A. Currency Depreciation	1. Market-driven RISE in a currency's value under a floating regime
B. Devaluation	2. Official, deliberate LOWERING of the currency's value under a fixed regime
C. Currency Appreciation	3. Official, deliberate RAISING of the currency's value under a fixed regime
D. Revaluation	4. Market-driven FALL in a currency's value under a floating regime

▼ Show answer

A-4, B-2, C-1, D-3

M14. Match List-I (external accounts) with List-II (contents):

List-I	List-II
A. Balance of Trade	1. Trade in goods and services, income flows and transfers such as remittances
B. Current Account	2. FDI, FPI, external borrowings, loans and banking capital flows
C. Capital Account	3. Exports minus imports of visible merchandise (goods) only
D. Balance of Payments	4. Systematic record of ALL economic transactions with the rest of the world

▼ Show answer

A-3, B-1, C-2, D-4

M15. Match List-I (instruments) with List-II (features):

List-I	List-II
A. Treasury Bill	1. Negotiable short-term instrument issued by banks against deposits
B. Commercial Paper	2. Short-term (up to 364 days) zero-coupon government paper issued at a discount
C. Certificate of Deposit	3. Long-term dated government bond that pays periodic coupon interest
D. Government Security (dated G-Sec)	4. Unsecured short-term promissory note issued by corporates

▼ Show answer

A-2, B-4, C-1, D-3

M16. Match List-I (agricultural interventions) with List-II (purposes):

List-I	List-II
A. Minimum Support Price (MSP)	1. Pan-India electronic trading platform for agricultural commodities
B. Crop Insurance (PMFBY)	2. Credit facility giving farmers timely short-term loans for cultivation
C. e-NAM	3. Compensates farmers for crop loss due to natural calamities, pests and diseases
D. Kisan Credit Card	4. Floor price announced on CACP advice to protect farmers from price crashes

▼ Show answer

A-4, B-3, C-1, D-2

M17. Match List-I (taxes) with List-II (definitions):

List-I	List-II
A. Progressive Tax	1. Tax whose burden falls proportionally more heavily on the poor
B. Regressive Tax	2. Tax imposed to correct a negative externality such as pollution
C. Pigouvian Tax	3. Tax whose rate rises as the taxpayer's income rises
D. Tobin Tax	4. Proposed tax on foreign-exchange (currency) transactions to curb speculation

▼ Show answer

A-3, B-1, C-2, D-4

M18. Match List-I (poverty concepts) with List-II (meanings):

List-I	List-II
A. Head Count Ratio	1. Unconditional periodic cash transfer paid to all citizens
B. Poverty Trap	2. Proportion of the population living below the poverty line
C. Universal Basic Income (UBI)	3. Self-reinforcing mechanism that keeps the poor in poverty across generations
D. Feminisation of Poverty	4. Rising share of women among the world's poor

▼ Show answer

A-2, B-3, C-1, D-4

M19. Match List-I (advanced monetary tools) with List-II (meanings):

List-I	List-II
A. Quantitative Easing (QE)	1. Direct, non-repayable transfer of money to the public or government
B. Helicopter Money	2. Offsetting the liquidity impact of forex intervention through open market operations
C. Operation Twist	3. Simultaneous purchase of long-term and sale of short-term securities to flatten the yield curve
D. Sterilisation	4. Large-scale central bank purchases of assets to inject liquidity when rates are already low

▼ Show answer

A-4, B-1, C-3, D-2

M20. Match List-I (concepts) with List-II (economists associated):

List-I	List-II
A. Invisible Hand	1. David Ricardo
B. Say's Law ("supply creates its own demand")	2. John Maynard Keynes
C. Paradox of Thrift	3. Adam Smith
D. Comparative Advantage	4. Jean-Baptiste Say

▼ Show answer

A-3, B-4, C-2, D-1

G. 20 Assertion–Reason Questions

AR1.
Assertion (A): The fiscal deficit indicates the total borrowing requirement of the government for the year.
Reason (R): Fiscal deficit is defined as total expenditure minus total receipts excluding borrowings.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(a) — Because borrowings are excluded from receipts, the gap must be financed entirely by borrowing, so the definition itself explains the assertion.

AR2.
Assertion (A): Disinflation means a negative inflation rate, with the general price level falling.
Reason (R): Deflation is a sustained fall in the general price level.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(d) — A is false: disinflation is a FALLING inflation rate that is still above zero; R correctly defines deflation.

AR3.
Assertion (A): Devaluation of a currency is possible only under a fixed or pegged exchange rate system.
Reason (R): Under a floating exchange rate system, a fall in a currency's value caused by market forces is called depreciation.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(b) — Both statements are true, but R describes the floating-rate case and does not explain WHY devaluation requires an officially fixed parity to be lowered.

AR4.
Assertion (A): An increase in the repo rate tends to make bank credit costlier for borrowers.
Reason (R): The repo rate is the rate at which the RBI lends short-term funds to commercial banks against securities, so a higher repo rate raises banks' cost of funds.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(a) — Banks borrow from the RBI at the repo rate; when that cost rises, banks pass it on through higher lending rates — R directly explains A.

AR5.
Assertion (A): The Cash Reserve Ratio earns banks an attractive rate of interest.
Reason (R): CRR is the share of a bank's net demand and time liabilities that must be kept as a cash balance with the RBI.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(d) — A is false: the RBI pays NO interest on CRR balances; R correctly defines CRR.

AR6.
Assertion (A): When market interest rates rise, the prices of existing bonds fall.
Reason (R): The fixed coupon of an existing bond becomes less attractive relative to new higher-yielding bonds, so its price must drop to equalise returns.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(a) — This is exactly the mechanism behind the inverse bond price–yield relationship; R explains A.

AR7.
Assertion (A): A country's GNP can be smaller than its GDP.
Reason (R): Net factor income from abroad is negative when factor incomes paid to non-residents exceed factor incomes received by residents from abroad.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(a) — GNP = GDP + NFIA; when NFIA is negative (as it often is for India), GNP falls below GDP — R explains A.

AR8.
Assertion (A): Giffen goods are an exception to the law of demand.
Reason (R): For a Giffen good — a highly inferior staple — the negative income effect of a price rise outweighs the substitution effect, so quantity demanded rises with price.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(a) — The dominance of the income effect over the substitution effect is precisely why the demand curve slopes upward for Giffen goods.

AR9.
Assertion (A): The demand for a Veblen good rises when its price rises.
Reason (R): Veblen goods are highly inferior goods consumed mainly by the poor.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(c) — A is true (snob/prestige effect), but R is false — Veblen goods are LUXURY status goods; it is Giffen goods that are inferior staples.

AR10.
Assertion (A): GST is a destination-based consumption tax.
Reason (R): GST was enabled by the 101st Constitutional Amendment and implemented from 1 July 2017.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(b) — Both facts are true, but the amendment number and rollout date do not explain WHY GST accrues to the destination (consuming) state.

AR11.
Assertion (A): A Lorenz curve lying farther from the line of equality indicates greater income inequality.
Reason (R): The Gini coefficient is the ratio of the area between the line of equality and the Lorenz curve to the total area under the line of equality.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(b) — Both are true; but A follows from what the Lorenz curve itself plots (cumulative shares), not from how the Gini coefficient is computed from it.

AR12.
Assertion (A): Foreign Portfolio Investment is often described as "hot money".
Reason (R): FPI is held in easily tradable shares and bonds and can be pulled out of the country at short notice.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(a) — The quick-exit liquidity of portfolio flows is exactly what earns FPI the "hot money" label.

AR13.
Assertion (A): FDI is generally more volatile than FPI.
Reason (R): FDI involves a lasting interest in an enterprise along with a degree of management control.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(d) — A is false: FDI is the STABLE, long-term flow, and R's true description of lasting interest is the very reason why.

AR14.
Assertion (A): A rise in the Cash Reserve Ratio increases the money supply in the economy.
Reason (R): The money multiplier varies inversely with the reserve ratios banks must maintain.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(d) — A is false: a higher CRR curbs banks' capacity for credit creation, shrinking money supply; R's inverse multiplier relationship is true.

AR15.
Assertion (A): Tax buoyancy captures the effect of discretionary changes in tax rates and coverage on revenue growth.
Reason (R): Tax elasticity measures the response of tax revenue to GDP growth after excluding the effect of discretionary changes.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(b) — Both definitions are true, but the definition of elasticity does not explain what buoyancy includes; they are complementary, contrasting measures.

AR16.
Assertion (A): A Vote on Account enables the government to meet its expenditure for a few months before the full budget is passed.
Reason (R): No money can be withdrawn from the Consolidated Fund of India without authorization by Parliament.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(a) — Precisely because every withdrawal from the Consolidated Fund needs Parliament's sanction, an advance grant (Vote on Account) is required to keep spending lawful until the budget is enacted.

AR17.
Assertion (A): The reverse repo rate is normally kept higher than the repo rate.
Reason (R): Under reverse repo operations, the RBI absorbs surplus liquidity and pays interest to banks.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(d) — A is false: the reverse repo rate sits BELOW the repo rate (the policy corridor's floor); R correctly describes reverse repo operations.

AR18.
Assertion (A): MGNREGA gives rural households a legally enforceable right to demand wage employment.
Reason (R): MGNREGA was enacted by Parliament in the year 2005.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(b) — Both are true, but the year of enactment does not explain the rights-based character of the guarantee (which flows from the statute's provisions).

AR19.
Assertion (A): The Balance of Payments always balances in the accounting sense.
Reason (R): The Balance of Trade includes trade in services and remittances along with goods.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(c) — A is true (double-entry accounting makes BoP sum to zero with errors and omissions); R is false — BoT covers visible GOODS trade only.

AR20.
Assertion (A): Depreciation of the rupee tends to make Indian exports more price-competitive abroad.
Reason (R): Depreciation is a deliberate act carried out by an official government order.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

▼ Show answer

(c) — A is true (a cheaper rupee lowers the foreign-currency price of exports); R is false — depreciation is market-driven; the official act is devaluation.

H. Last-Day Revision Table (Top 50)

#	Term	One-line meaning	Memory image	Key trap
2	Opportunity Cost	Value of the next best alternative foregone	The crying ticket you gave up	Only the NEXT BEST alternative, not all of them
12	Law of Demand	Price up, quantity demanded down, other things equal	Seesaw: price up, quantity down	Giffen and Veblen goods are exceptions
25	Giffen Good	Inferior staple bought MORE when its price rises	Villain bread: price up, poor buy more	Not Veblen — that is a status good of the rich
32	Monopoly	Single seller who sets the price	One-seller king makes the price	Monopsony = single BUYER
43	Public Good	Non-rival and non-excludable good (defence, street light)	Street light shining for all	Merit goods (education) are excludable
56	Stagflation	Stagnant output and unemployment WITH high inflation	Stuck car with a swelling balloon	It defies the Phillips curve trade-off
62	GDP	Value of final output produced within domestic territory	Everything inside the fence	Location-based, not nationality (that is GNP)
63	GNP	GDP plus net factor income from abroad	The passport collects worldwide	Nationality-based, not territory
65	NNP	GNP minus depreciation	Passport sack minus rust scoop	NNP at FACTOR COST = National Income
72	Real GDP	GDP measured at constant base-year prices	Weighed with the jacket off	Nominal GDP uses current prices
81	Inflation	Sustained rise in the general price level	Balloon up, wallet down	Falling inflation is not falling prices
82	Deflation	Actual fall in the general price level	The punctured balloon	Not the same as disinflation
83	Disinflation	Inflation slowing down but still positive	The tired balloon-blower	Prices still rise, only slower

91	WPI	Index of wholesale prices of goods only	Godown scale that rejects the barber	No services; NOT RBI's target
92	CPI	Index of retail prices of the consumer basket	The crowned family basket	RBI targets CPI, not WPI
105	Broad Money (M3)	M1 plus time deposits with banks	Broad sumo with FD belly	Time deposits sit in M3, not M1
116	NPA	Loan overdue beyond 90 days, no longer "performing"	Loan in a hospital bed	The rule is 90 days, not 180
122	Repo Rate	Rate at which RBI lends short-term to banks	RBI pours money into bank's bucket	Reverse repo is the opposite flow
123	Reverse Repo Rate	Rate at which RBI borrows from banks	Money flowing back into RBI	Raising it ABSORBS liquidity
124	CRR	Share of deposits banks keep as cash with RBI	Cash locked in RBI's safe	Kept with RBI, earns NO interest
125	SLR	Share of deposits held as liquid assets by the bank itself	Treasure shelf in bank's own vault	With the bank itself, not RBI
129	MPC	Six-member body that sets the repo rate to hit the CPI target	Six judges and one golden gavel	Governor has the casting vote; target is CPI 4% ±2%
137	Lender of Last Resort	RBI's emergency lending to banks in crisis	RBI lifeguard's final rescue	A function of RBI, not the government
146	Consolidated Fund of India	Main government fund; withdrawal needs Parliament's nod	Vault whose key is with Parliament	Contingency Fund (Art 267) allows spending before approval
151	Fiscal Deficit	Total expenditure minus receipts excluding borrowings	Leaking govt wallet filled by borrowing	Borrowings are NOT counted as receipts
152	Revenue Deficit	Revenue expenditure exceeding revenue receipts	Grocery bill bigger than salary	Only the revenue account, not the whole budget
153	Primary Deficit	Fiscal deficit minus interest payments	Fiscal deficit minus interest backpack	Subtract interest PAYMENTS, nothing else
159	FRBM Act	2003 law imposing fiscal discipline targets	2003 borrowing diet belt	Year is 2003; target fiscal deficit 3% of GDP
161	Direct Tax	Tax whose burden cannot be shifted to others	Arrow glued to your chest	Income tax is direct; GST is indirect
165	GST	Single nationwide indirect tax on goods and services	Many taxes blended into one bottle	101st Amendment, not 100th; from 1 July 2017
176	Finance Commission	Constitutional body dividing taxes between Centre and states	The five-yearly cake-cutter	Article 280; NITI Aayog cannot devolve taxes
181	Poverty Line	Consumption cut-off below which a person is officially poor	The red cut-off line	Based on consumption, not income
191	Disguised Unemployment	Extra workers whose removal leaves output unchanged	Five workers on a two-man field	They LOOK employed; marginal product is zero
204	Demographic Dividend	Growth boost when working-age share of population rises	Youth army lifts the coin	A bonus only if the youth are skilled and employed
208	Lorenz Curve	Graph of cumulative income share against population share	Sagging hammock vs straight rope	Deeper sag = MORE inequality
209	Gini Coefficient	Inequality number derived from the Lorenz curve	Judge's score for the hammock	0 = perfect equality, 1 = extreme inequality
211	HDI	Composite index of health, education and income	Three-legged stool	Published by UNDP, not the World Bank
221	MSP	Guaranteed floor price for notified crops	The floor farmers cannot fall through	CACP recommends; the Government (CCEA) announces

222	Green Revolution	HYV-seed-led surge in foodgrain output	Miracle seed skyscraper	Wheat benefited first; Swaminathan led it in India
224	PDS	Subsidised foodgrain delivery through ration shops	Ration shop with TN's door open to all	Tamil Nadu runs a UNIVERSAL PDS
239	MGNREGA	Legal right to 100 days of rural wage employment	Spade plus legal scroll	2005 Act; 100 days per HOUSEHOLD, not per person
242	Balance of Payments	Record of all transactions with the rest of the world	The border's full ledger	Always balances overall in accounting terms
245	Current Account Deficit	Current account payments exceeding receipts	Leaking earnings bucket	Not the same as the trade deficit
250	WTO	Global trade rules body set up in 1995	Geneva's trade referee	Successor of GATT, not of the IMF
258	Devaluation	Official cut in a currency's value under fixed rates	Government's deliberate sword cut	Market-driven fall is depreciation; years 1949, 1966, 1991
261	FDI	Foreign investment with lasting interest and control	Factory from a suitcase with roots	Stock-exchange buying is FPI, not FDI
262	FPI	Foreign purchase of tradable shares and bonds	Sprinter with shares, hot money	Exits fast — "hot money", unlike FDI
275	Treasury Bill	Short-term zero-coupon paper of the Central Government	Discount ticket redeemed at full value	No interest coupon; issued by the Centre only
289	SEBI	Regulator of India's securities market	Stock market traffic police	Formed 1988, statutory only in 1992
296	NITI Aayog	Government think tank that replaced the Planning Commission	Brain with empty pockets	Since 2015; advises but allocates NO funds

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Remember the image → remember the term → win the mark. Figures marked [CURRENT DATA — VERIFY SEPARATELY] must be checked against the latest Economic Survey / RBI releases.